



ASICS Integrated Report

2021

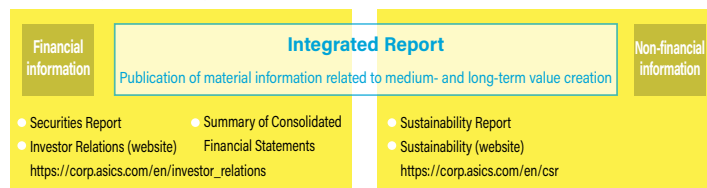
asics
sound mind, sound body

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Positioning of the Integrated Report



Message on the Report from
Yasuhito Hirota,
President, CEO and COO,
Representative Director



Editorial Policy

To remain a Company trusted by shareholders and all other stakeholders, ASICS publishes this integrated report presenting a systematic summary of efforts to resolve social issues through business activities and enhance corporate value from both financial and non-financial perspectives. In compiling this report, we referred to the International Integrated Reporting Council (IIRC) International IR Framework as well as the Ministry of Economy, Trade and Industry Guidance for Collaborative Value Creation. Based on the ASICS SPIRIT founding philosophy, we aim to convey the ASICS business model and value creation story up to realizing our vision of creating high-quality lifestyles through intellectual sports technologies.

Special Note Regarding Forward-Looking Statements

Information contained in this report includes forward-looking statements regarding future projections. It includes risks and unknown factors based on ASICS determinations at the time the report was created. Please be aware of the potential for actual results to differ from future projections due to a variety of constantly changing factors.

Environment
Social
Governance





ASICS
Spirit

ASICS Overview

Message from the CEO

Value Creation at ASICS

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Message from the Chairman

Corporate Governance

Data Section

Philosophy

Founding Philosophy

“Anima Sana in Corpore Sano”

“Anima Sana In Corpore Sano”

The history of ASICS began over 70 years ago with a decision by founder Kihachiro Onitsuka to enter the sports business and contribute to nurturing Japan's youth, who were still struggling after WWII, based on the Latin phrase “Anima Sana in Corpore Sano,” which translates as “a sound mind in a sound body.”

He believed that to overcome high hurdles from the start would enable the Company to more easily overcome subsequent hurdles. He decided to take on the challenge of developing shoes for basketball, the most difficult type of shoe to design at the time. Critical to the development process is the concept of “human-centric science,” whereby the bodies and movements of athletes are observed and the data incorporated into product development. This is the unchanging spirit that has been passed down from the time of our founding to the present day.

The ASICS Philosophy

- 1. Provide valuable products and services through sport to all our customers
- 2. Fulfill our social responsibility and help improve conditions for communities around the world
- 3. Share profits brought by our sound services with our shareholders, communities and employees
- 4. Maintain a spirit of freedom, fairness and discipline, respectful of all individuals

Vision

Create Quality Lifestyle Through Intelligent Sport Technology

Create Quality Lifestyle Through Intelligent Sport Technology

Values

- Article 1 Respect Rules
- Article 2 Be Courteous
- Article 3 Be Persistent
- Article 4 Work as One Team
- Article 5 Be Prepared
- Article 6 Learn from Failure



ASICS History



The MAGIC RUNNER shoe when first released

1960

The release of Magic Runner, protecting athletes' feet through science

At the time, marathon runners in Japan had been using rubber-soled tabi sock-like footwear designed for exercise, a holdover from the prewar era. But tabi footwear was very hard on runners, and it was common for them to develop blisters. The Magic Runner that was released in 1960 was a revolutionary shoe that defied the conventional wisdom.

The developers of the Magic Runner incorporated scientific principles that were pioneering at the time, employing a lengthy process of trial and error to prevent blisters. As blisters are caused by frictional heat from impacts between the foot and the ground, the development team drew inspiration from air-cooled motorcycle engines to develop a mechanism that harnesses the running action to circulate air through the shoe and expel heat. Magic Runner shoes were even worn by international marathon runner Kenji Kimihara and developed into a long-running product adored by marathon runners long thereafter. This is where ASICS began its rapid advance in the area of performance running, its mainstay category.



Scene from the merger commemoration ceremony



Exterior view of the ASICS Institute of Sport Science



New types of events connecting people through digital relay sashes

1977

The birth of ASICS Corporation as a general sporting goods company

Three companies, Onitsuka Co., Ltd., GTO Co., Ltd. and JELENK Co., Ltd. merged as equals to form ASICS Corporation as a general sporting goods company that would take on the world. The origin of the company name, ASICS, derives from the initial letters of "Anima Sana in Corpore Sano," a phrase penned by the ancient Roman satirist Juvenal. It means "(If you pray to God, you should pray for) a sound mind in a sound body." The phrase itself is the founding philosophy of ASICS, with the corporate purpose it expresses passed down over the generations within the very name of the company.



1990

Completion of the ASICS Institute of Sport Science, exploring the science of the body and mind

The ASICS Institute of Sport Science is a research and development facility completed in Kobe City in 1990 for the purpose of carrying out R&D into sports gear. In addition to an all-weather athletic track and other full-scale competitive sporting facilities, the institute houses a wide variety of experimental and research equipment. The institute is a rarity even by global standards, designed to not only delve into physical aspects, but to conduct scientific analysis and research that considers the balance between mind and body. As well as cutting-edge product development for elite athletes, research is conducted into human characteristics, materials, structures, analytical evaluation methods and production technologies. In 2015 the institute was updated and expanded, and continues to play a core role in ASICS' product development activities as a research institute that embodies the founding spirit of human-centric science.

2020

Organizing ASICS World Ekiden 2020 to connect the world through a digital relay race

In November 2020, ASICS held ASICS World Ekiden 2020 as a virtual relay race. The race was planned out of a desire for people to run or walk with more fun and positivity by having the same goals as fellow relay team members even under conditions with many restrictions imposed by the COVID-19 pandemic. This was a marathon-length relay race with the 42.195 km distance split into six segments. Runners used the ASICS Runkeeper app to run for their assigned distance, aiming for the goal by handing over their digital relay sash. In addition to the ability to check on team progress and records during the race, information about runners' psychological states are also visualized and shared between relay team members, providing various mechanisms with the use of digital technologies. Some 56,007 runners in 13,602 teams from more than 179 countries and regions signed up to take part, making it the largest virtual race in ASICS' history.

ASICS At a Glance

ASICS has developed into a sports brand that has established a solid position in the global sports market by manufacturing and marketing sports shoes, sportswear and sporting goods for all lovers of sport.

The highly functional performance of shoes created in conjunction with performance athletes incorporated into running shoes optimized for average sports enthusiasts make ASICS running shoes the favorite of many amateur marathon runners around the world.

ASICS business results and other achievements		Towards building a running ecosystem		Going all-in on digital strategy!		Contributing to a sustainable society	
Net sales	404.0 billion yen	Number of people who have downloaded the running app	Over 60 million people (Global)	e-commerce net sales	63.8 billion yen	Rate of CO ₂ reductions through our business activities	28% (Comparison with 2015)
Total assets	345.7 billion yen	Number who are active members	2.60 million people/month	Digital human resources	400 -member team	Percentage of recycled materials used in new products	95% or higher
Total employees	8,861 people	Number of people who signed up to take part in the ASICS World Ekiden	56,000 people	OneASICS™ members	5.80 million people (as of the end of January 2022)	Providing financial assistance and sporting goods to the community	409,000 dollars



External Evaluations

Sustainability Yearbook
Member 2021
S&P Global



Results of initiatives aimed at solving social and environmental issues through our business

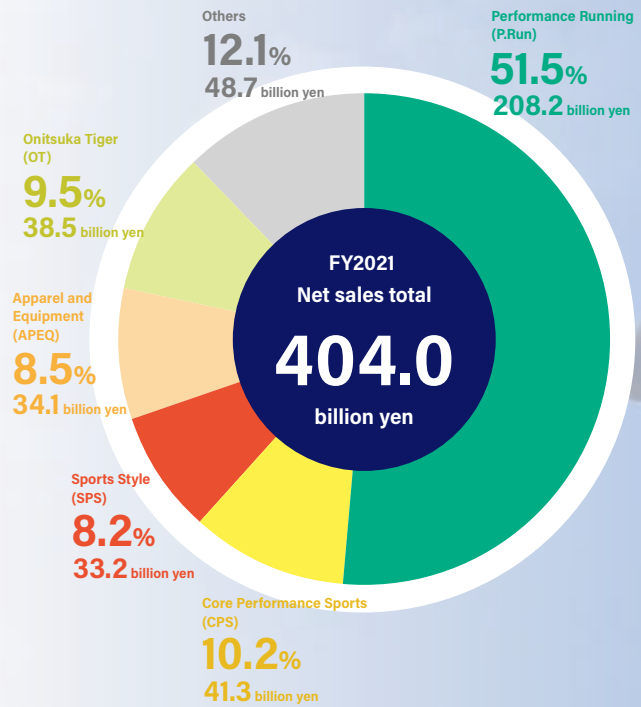
Member of
Dow Jones Sustainability Indices
Powered by the S&P Global CSA





ASICS Category

Net Sales by Category



Performance Running (P.Run)

Net sales
208.2 billion yen
31.0% increase year on year

ASICS offers running shoes that provide excellent fit and comfort to all runners, realizing running efficiency and safety so runners can feel and perform better in any running experience.



METASPEED™ SKY

Core Performance Sports (CPS)

Net sales
41.3 billion yen
23.2% increase year on year

We develop shoes for athletics, tennis, volleyball and other competitive sports offering excellent functionality enabling athletes to display high performance.



COURT FF 2 tennis shoes

Sports Style (SPS)

Net sales
33.2 billion yen
12.5% increase year on year

ASICS develops well-designed shoes combining world-class sports technologies with a range of styles that match various needs so everyone can lead an active daily life.



GEL-1130

Apparel and Equipment (APEQ)

Net sales
34.1 billion yen
14.5% increase year on year

We offer highly functional running wear, training apparel, uniforms for other competitions, apparel for sports and various types of equipment.



LITE-SHOW WINTER JACKET/TIGHT

Onitsuka Tiger (OT)

Net sales
38.5 billion yen
13.6% increase year on year

Shoes once used for competitions have been reproduced as a premium lifestyle brand for those who demand a sophisticated style comprising fashionable shoes, apparel and accessories.

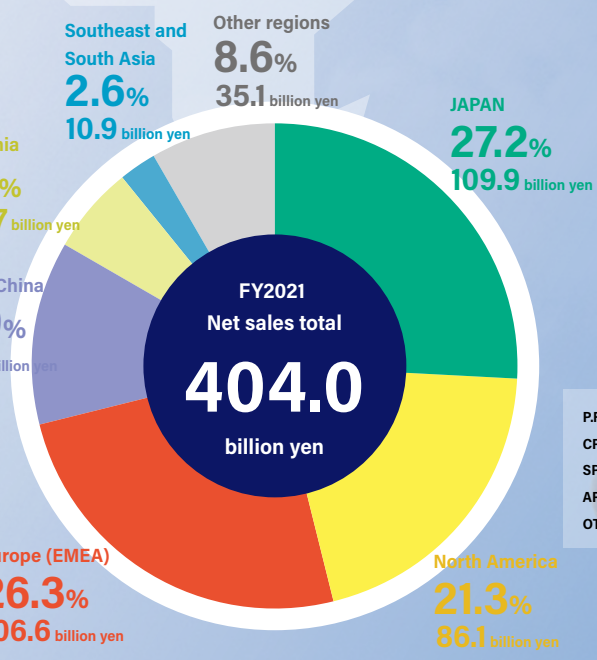


HMR PEAK BOOTS

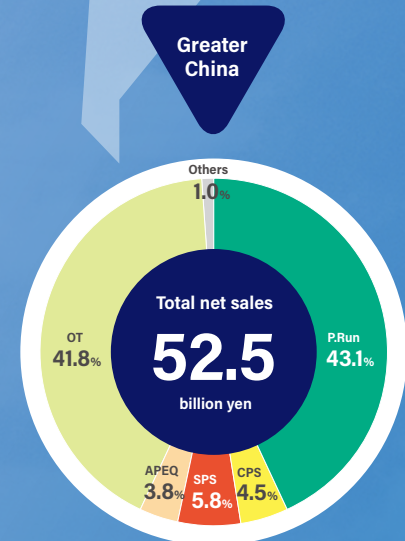
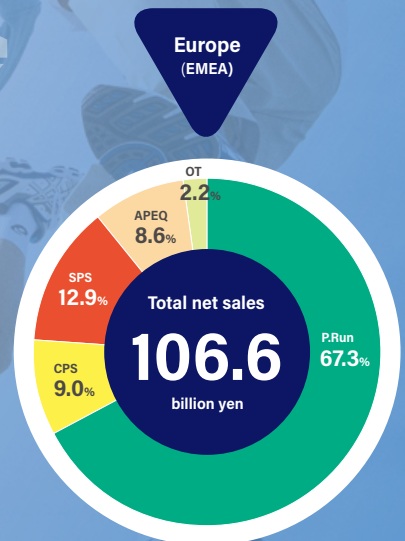
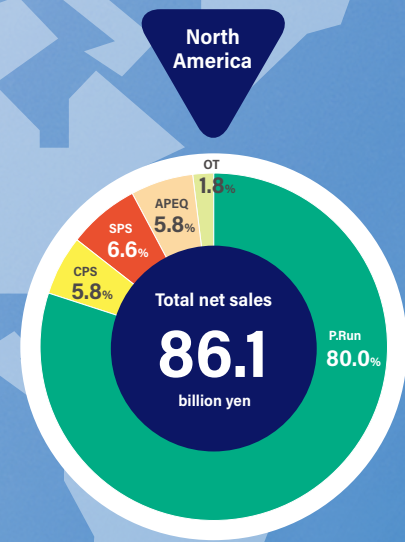
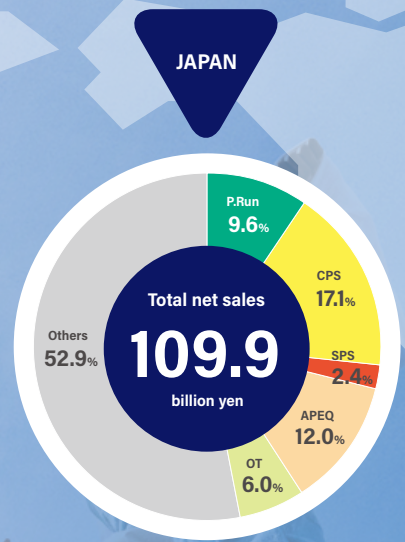
ASICS Segment

Net Sales by Region

ASICS is expanding worldwide through 64 consolidated subsidiaries. We are working to expand our mainstay running business in Japan, further enhance our presence in Europe and the United States to become No. 1 in the running market, and pursuing greater earnings growth for P.Run throughout the fast-growing Greater China region.



P.Run: Performance Running
CPS: Core Performance Sports
SPS: Sports Style
APEQ: Apparel and Equipment
OT: Onitsuka Tiger



*Regional sales include inter-segment internal sales or transfers.

Sound Mind, Sound Body » P.2

ASICS' Overview

Message from the CEO

Value Creation at ASICS

Special Feature

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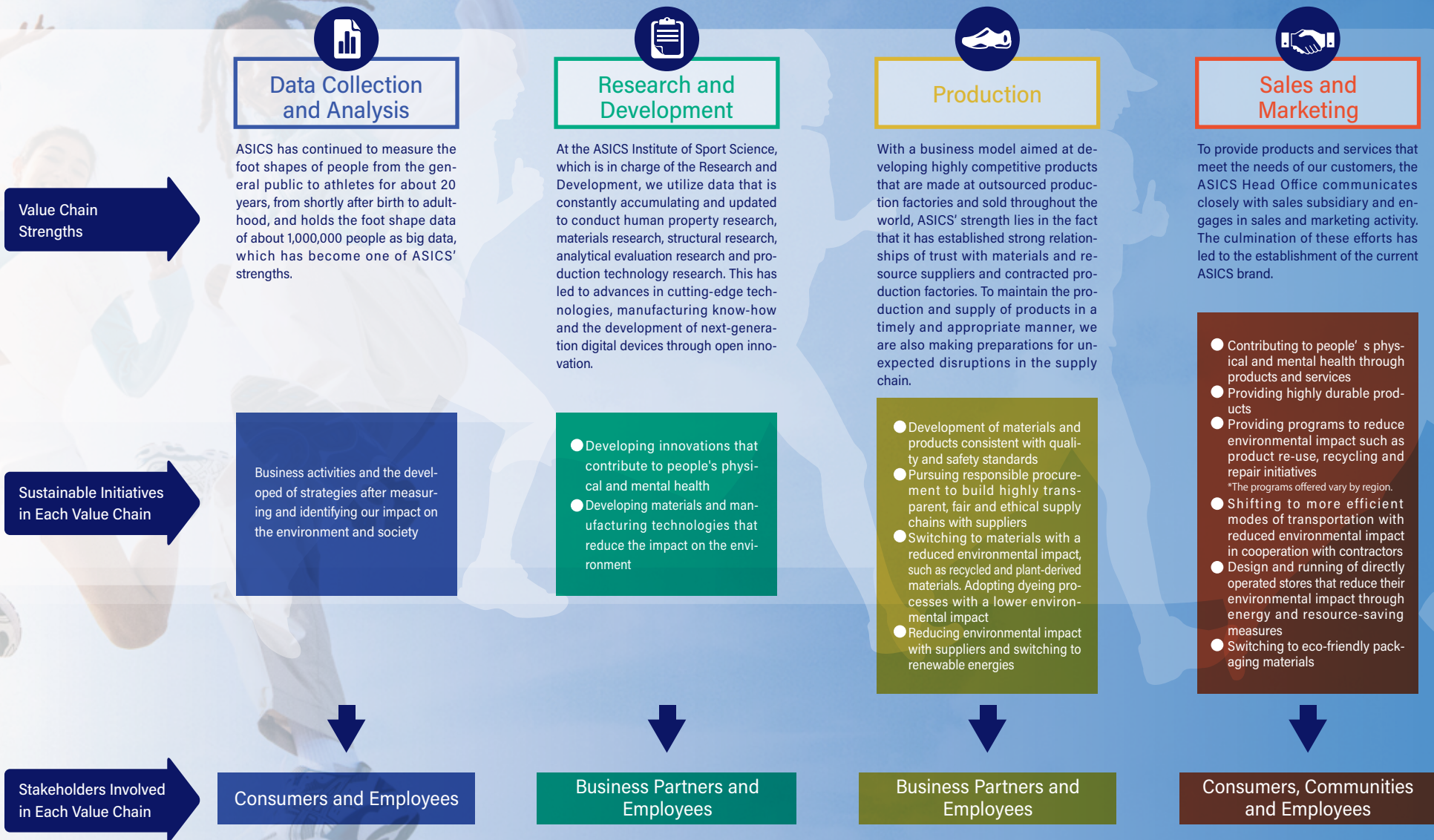


ASICS ValueChain

ASICS' Value Chains

ASICS utilizes the data on people's movements and foot shapes it has accumulated to date for research, development and the creation of new products and services. This enables us to help customers select the shoes that meet their individual needs and suggest optimum services. In this way, we engage in business activities based on "human-centric" approaches through every value chain.

Business activities based on this human-centric approach represent ASICS' strength, and the cycle of these value chains themselves serve as the driver of value creation for ASICS.



Management Message

Yasuhito Hirota
President, CEO and COO, Representative Director,
ASICS Corporation



With the results of our reforms now steadily materializing, in 2022 we will seek even further progress while carrying on the legacy of Tokyo 2020.

Review of 2021

The results of reforms are powerfully reflected in business performance

Last year I mentioned that in Mid-Term Plan 2023, we would aspire to reforms that involve “digging deep and jumping high.” It turned out that in 2021, the results of past reforms were strongly reflected in our business performance, making it a year in which we built solid foundations toward future growth. Our biggest accomplishment was seeing through our role as a Gold Partner to the Tokyo 2020 Games. This filled us with a great deal of confidence. Despite almost no opportunities for merchandise sales at venues due to events being held without spectators, over the course of the Games we managed to draw global attention to the ASICS brand through the media. We also saw positive business performance. Net sales returned to the 400 billion yen range and operating income broke 20 billion yen for the first time in five years, with each profit metric going back into positive territory.

The health-conscious movement will continue in a post-COVID world

Looking at the business environment, although we have still not overcome COVID-19, rates of participation in sports such as walking and running have risen above pre-pandemic levels, against a backdrop of rising health consciousness. ASICS future vision of ensuring a world in which each and every one of us can engage in exercise and sports throughout our lives and continue to live in good health, both mentally and physically (Lifetime Athletes in All of Us) is also riding this global trend of health awareness, and we expect that when restrictions under the pandemic are eliminated, this movement will gain even greater momentum.

Due to the spread of COVID-19 infections, last year ASICS temporarily suspended operations at its Vietnam factory, which accounts for almost half of its total production, but even when these risks materialized, we managed to secure profits by swiftly implementing measures such as reducing low-profit items and revising inventory. There are many other risks lurking in supply chains, but we will take proper measures and seize upon the significant growth opportunities that tailwinds bring.

Category strategies, winning in the realm of performance running

With "winning at performance running" positioned as our top priority, we have expanded our product lineup of shoes that meet all manner of runner needs. As a result, in 2021 we saw strong growth in the performance running category, recording an increase of 30% year on year. METASPEED™, our speed-focused model for top athletes, even helped some top athletes on the way to achieving personal bests.

Aiming to recapture the leading position among top athletes

METASPEED™ is a strategic product that is part of the Chojo Project (C Project) designed to recapture a leading market share in the area of top athletes. The shoes even received an award from the world's most prestigious running magazine. At the New Year Ekiden and Hakone Ekiden held in January 2021, we faced the frustrating experience of zero athletes competing in ASICS shoes, but this year we earned the support of over 10% of athletes, and managed to impress the world with the beginnings of ASICS' counterattack. Seeing success from the C Project has led to improved confidence and unifying force on our part, and we are committed to breaking our competitors' stranglehold in the area of top athletes by releasing new products with improved functionality.



Current status and future of the global portfolio

Over 75% of ASICS' sales come from overseas. Operations in Australia and Europe are highly profitable, followed closely by China, and although operations in Japan and the US have moved into the black, further improvements to profitability remain as an issue. Of all these regions, ASICS is focused on product strength and attentive sales in the U.S., a dominant country in the running world where it aims to achieve a leading market share.

Passing on the legacy of the Tokyo 2020 Games to future generations

The Tokyo 2020 Games are over, and efforts have gotten underway to pass on insights gained from the experience as a legacy for future generations. One of these is Para Sports. If ASICS is serious about striving to ensure a world in which each and every one of us can engage in exercise and sports throughout our lives and continue to live in good health, both mentally and physically, it must make a full-fledged commitment to Para Sports. I personally have experience serving as a guide runner for a blind marathon athlete, and believe that we can gain insights and new lessons by deepening our understanding of Para Sports and people with disabilities. With the Para Sports Planning Department that was newly established this year playing a central role, we will start by considering development based around running and walking.

Another of these insights is to do with new sports. Among these, starting this year ASICS will make a full-scale entry into the US markets in addition to Japan for skateboarding, whose competitive population is expected to grow in the future. Skateboarding is a sport that involves split-second skills and is the subject of a thriving area of digital analysis. By combining its technologies in many ways, ASICS will be able to create value that goes beyond the conventional provision of products, including in the area of facilities & community digitally providing locations and communities for people to enjoy sports, and the area of analysis & diag-



nosis involving the provision of analysis and diagnostic findings using data obtained from those activities. Beyond the fusion of sport and digital technologies, we also hope to develop the new world of e-sports. We also aim to further expand the scope of the C Project that has to date focused on middle and long distances in track and field in a serious attempt to reach the pinnacle of performance in short distance and sprinting categories as well. We have begun developing new products and signing deals with athletes, aiming to reach the summit together with athletes who have the ability to make the podium in international competition for track and field's highest profile event, the 100-meter sprint. In Japan, the support culture of TEAM RED that was cultivated during the Tokyo 2020 Games and the SUNRISE RED attire worn by Japanese Olympic athletes will continue to be passed down in the future. We will weave a legacy for the next generation in terms of both products and branding to ensure the idea that "ASICS is associated with the Olympics and Paralympics" firmly takes root.





Towards medium and long-term growth

Switching to management based on digital technologies



In Mid-Term Plan 2023 formulated to achieve the long-term VISION 2030, ASICS has positioned digital strategy as one of its strategic goals. While continuing to emphasize the need to cash in on our existing businesses, we will seek to maximize efficiency gains and profitability across the supply chain with new business development and new business models with digital at their core.

Working from a base of more than 5.8 million members (as of February 28, 2022) on our free membership-based service OneASICS™, we will organically link the smartphone-based exercise recording app Runkeeper™ used in about 250 countries and regions around the world with the Race Roster race sign-up platform mainly used in the US and Canada and the Register Now race sign-up platform in Aus-

tralia. Together with these services, we will form a worldwide running ecosystem providing services to runners, including through Runmetrix, which uses sensor technologies to measure running in real time and provide coaching, and Shoe Finder, which recommends shoes that are best for each individual based on their running style and images of their feet taken with a smartphone. In addition, in 2021 we launched ASICS STEPNOTE, an app-based service that measures the size of small children's feet and predicts their growth to recommend the right shoes, reflecting our efforts to also develop a kids ecosystem. To make this running ecosystem a reality, we will need to foster and instill an organizational culture that thinks of everything in digital terms. We will transform ASICS into a digitally-driven company by appointing human resources from the digital native generation and re-skilling employees.

Sustainability is the core of management

Another strategic goal declared in Mid-Term Plan 2023 is sustainability. Sport is a symbol of peace, and sports will not be possible unless a good global environment is preserved. As a sports-related manufacturer, ASICS sees protecting a global environment that enables sports to be synonymous with safeguarding its own survival as a business.

In terms of consideration for the environment, in 2019 ASICS was the first sports-related manufacturer in the world to indicate support for the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), and to achieve the goal of reducing our CO₂ emissions by 63% compared with 2015 levels by the year 2030, we are pursuing the initiatives outlined below.

(1) We are shifting to 100% renewable energy usage at domestic operating sites and promoting a shift to renewable energies at contracted production factories.

(2) We have promoted recycling-oriented production utilizing recycled materials for at least 90% of new shoe products, and are continuing efforts with the ultimate goal of using 100% recycled materials for polyester, a major material used in our products.

(3) In terms of finance, we have issued Japan's first sustainability-linked bonds in which CO₂ emission credits are purchased based on the target achievement levels. Measures to combat climate change are more effective when companies cooperate with one another through teamwork instead of going it alone. Going forward, ASICS will continue to run at the head of the pack and lead the way with sustainable initiatives.

From the perspective of contributing to society, we will work harder to improve working environments for the many skilled workers involved with our shoe manufacturing processes in Vietnam, Indonesia, Cambodia and elsewhere. Since shoes feature many curves, there are many aspects to the manufacturing process that rely on skilled manual sewing work, and retaining skilled workers in these areas is extremely important for maintaining and improving production quality. We have been implementing human rights due diligence activities in our over-

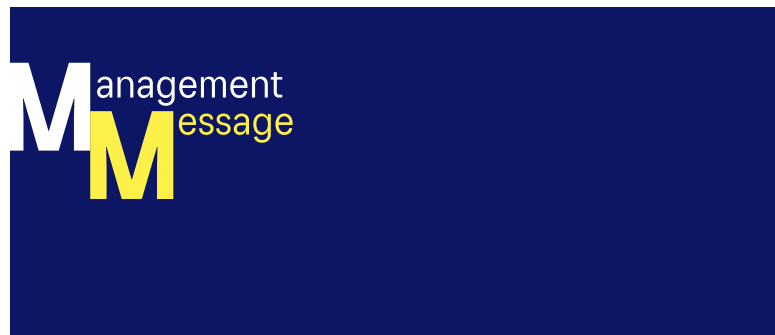
seas supply chains for more than two decades, and have introduced internal reporting systems and developed mechanisms to conduct engagement surveys and other activities simultaneously on a global basis. Each year we conduct technical skills training for more than 60 of our primary, secondary and tertiary suppliers, and also continue efforts to enhance welfare benefits and offer higher wages than our competitors. While being interrupted by the COVID-19 pandemic, I usually visit our manufacturing factories once a year to speak with factory managers and check working conditions on-site. To ensure that ASICS is the choice for multiple stakeholders, including employees and customers, sustainability is the core of management.

Diverse human capital fosters innovation

The employees of our sales companies and manufacturing factories working around the globe represent vital human capital. We have introduced a common global human resource grade system and competencies as part of efforts to enhance our human resources around the world.

As a company where human resources of all different backgrounds including gender, nationality, culture, age and career path gather, ASICS engineers new insights and creative ideas by having people with diverse values share and discuss their opinions with one another.

We also actively invest in education to develop our human resources. Developing the next generation of successors is a pressing issue. HR Committee established in July 2021 deals with human resource development systems and also discusses the placement of candidate successors selected from the global pool of human resources.



Digitally minded human resources are the subject of intense competition for recruitment. At ASICS, some 400 digitally-literate human resources collaborate organically in Boston (headquarters of ASICS Digital), Toronto (Digital Strategy Development Division) and Amsterdam (IT Headquarters) with a sense of speed and sensitivity to human rights, leading the way in fostering and enhancing the digital mindset of all employees.

Making 2022 a breakthrough year!

In 2022, the uncertain management environment is ongoing, with the prolonged COVID-19 pandemic, Russia's invasion of Ukraine and other developments. But on the starting line for ASICS is a solid foundation built through past reforms, and I believe that 2022 will be a breakthrough year for us. By "breakthrough" I don't mean rapid growth as a result of something accidental; I envisage significant growth as a result of all our efforts to date.

As the world changes, so will the way sports are played, enjoyed and supported. ASICS will continue to pass down its founding philosophy of "a sound mind in a sound body" ("Anima Sana In Corpore Sano") and the "Sound Mind, Sound Body" brand tagline while providing products and services that are valuable to all sports enthusiasts and stakeholders involved with ASICS' businesses through reforms consistent with the today's digital revolution. As a member of top management, I promise that we will seize upon changes in the times and major opportunities, engage in sound and transparent management, and enhance corporate value sustainably in the long term.

I hope that all of our stakeholders will look forward to seeing the ASICS Group achieve significant growth through the actions we take in line with the strategies and policies we have set forth.



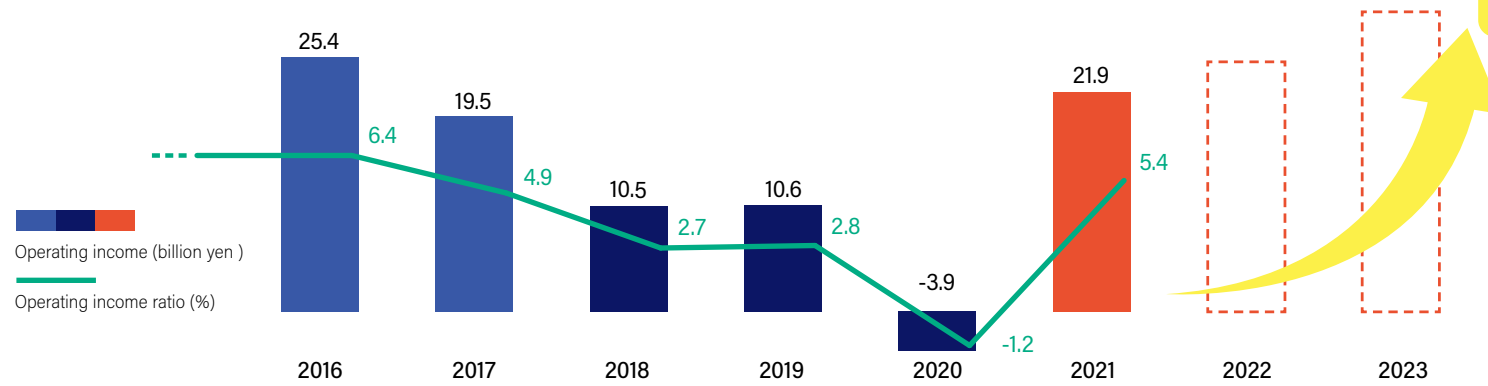
ASICS Value Creation

Previous Mid-Term Plans and Achievements



Achieving VISION 2030

- Providing value enabling anyone to continue to live in good physical and mental health over the course of their lives
- Further contributing to lowering the impact on the global environment
- Scaling up the business in line with profit



AGP* 2020(2016-2020)

Contributing to society through the realization of our vision combining sports and lifestyle

	Pre-Revision AGP2020 Targets	FY2016	FY2017
Net sales	750.0 billion yen or higher	399.1 billion yen	400.1 billion yen
Operating income ratio	10% or higher	6.4%	4.9%
ROE	15% or higher	7.8%	6.5%

Summary

Sales continued to expand until 2015, when we were targeting customer base expansion and a CAGR of 12%, but our inability to respond to changes in the marketplace caused sales to slump. Further, we made several long-term investments assuming the proactive opening of new directly operated stores and growth in sales, but our inability to control SG&A caused profitability to decline.

Issues

Issues identified include improving profitability by focusing management resources in areas where sales growth is expected, increasing awareness of profitability among all ASICS employees and improving efficiency in all business processes.

Revised AGP* 2020(2018-2020)

Transitioning to a focus on profitability, achieving sustainable growth

	Revised AGP2020 Targets	FY2018	FY2019	FY2020
Net sales	500.0 billion yen or higher	386.6 billion yen	378.0 billion yen	328.7 billion yen
Operating income ratio	7% or higher	2.7%	2.8%	-1.2%
ROE	10% or higher	-11.2%	4.5%	-11.6%

Summary

Introduced a category structure management system, set Performance Running, China and digital as priority areas for concentrating management resources. Despite efforts to improve profitability, the impact of COVID-19 led to substantially missed targets.

Issues

Issues identified include the need to respond flexibly to the external environment, including the societal and other changes accelerated by COVID-19, while executing strategy aimed at establishing an ongoing profit structure.

Mid-Term Plan 2023 (2021-2023)

We will focus on enhancing profitability and establish a stable financial base for sustainable growth in the future

Strategic targets

Switching to management based on digital technologies
Achieving a sustainable society through our business activities

Strategic priorities

Reinforce business foundation >> P.16
Expand profit drivers >> P.17
Transform to profitable business >> P.19

Priority initiatives

Marketing strategy >> P.21
Digital strategy >> P.23
Human capital strategy >> P.25

Financial targets	FY2021 (results)	FY2023 (targets)
Operating income	21.9 billion yen	25.0 billion yen
Operating income ratio	5.4%	6.0% or higher
ROA	2.8%	4.0%
Non-financial targets	FY2023 (targets)	
EC growth	Three times higher (compared to FY2019)	
OneASICS™ members	Five million or more people (three times higher compared to FY2019)	
CO ₂ emission per product	Approximate 15% reduction (compared to FY2015)	
Female manager ratio	35.0% (global overall)	

*AGP: ASICS Growth Plan



Mid-Term Plan 2023
Three Strategic Priorities

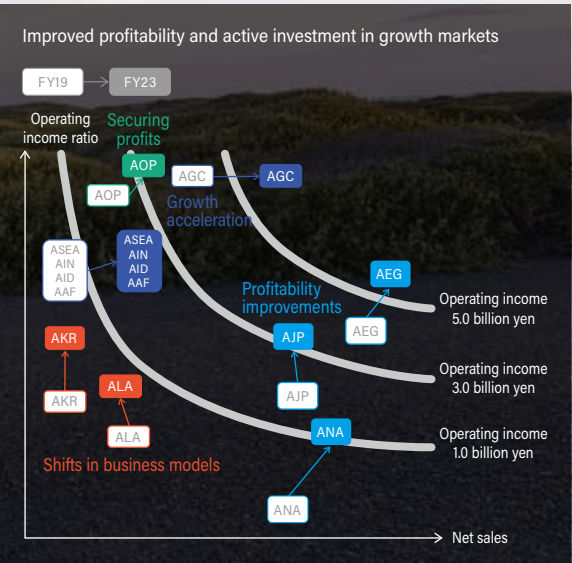
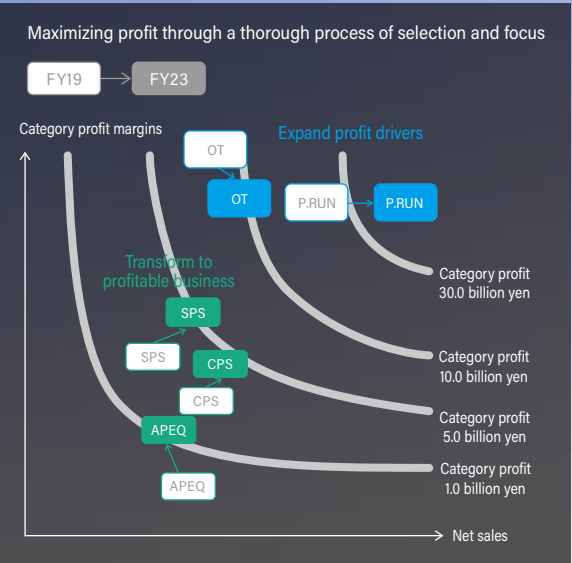
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Reinforce business foundation

Promoting Category Management 2.0 Introduction of category-based management

The ASICS Action Plan formulated in August 2018 introduced a category-based management system integrating manufacturing and sales, strengthening cooperation between the Head Office and sales companies and establishing a structure focused on profitability. Based on a policy of selection and focus, we have seen tangible results with categories developing leads in light of the direction to be pursued for each category.

Portfolio management through selection and focus Expanding profit drivers and improving profitability through business restructuring



Mid-Term Plan 2023
Three Strategic Priorities

02

Expand profit drivers

Performance Running (P.Run)

Concentrating management resources to reclaim the No.1 position

With the declared goal "to be the No. 1 running and racing brand," ASICS aims to expand its share in the US, European and Japanese running markets.

Last year, many athletes produced results while wearing ASICS' new products, namely METASPEED SKY™ and METASPEED EDGE™. In part thanks to favorable reviews for these and other products, we achieved double-digit year-on-year growth in net sales across major regions for the fiscal year ended December 31, 2021. We will continue with initiatives in tandem with running specialty stores, pursue enhanced digital marketing aimed at young and female demographics, and continue going on the offense to regain market share.

In addition, the shift to e-commerce due to the development of a running ecosystem and our focus on high profit margin products will lead to improved gross profit margins. We will continue to focus our management resources on Performance Running as our most important category, and will seek to achieve accelerated growth with profit.

Performance Running (P.Run) Performance Data

	FY2020	FY2021	Increase/Decrease
Net sales	159.0 billion yen	202.8 billion yen	+31.0%
Category profit	24.9 billion yen	42.6 billion yen	+71.2%
Category profit margins	15.70%	20.50%	+4.8 ppt



GEL-NIMBUS LITE3

Onitsuka Tiger (OT)

Enhancing brand strength as a premium lifestyle brand

We are working to further enhance the product and brand value of Onitsuka Tiger as a premium lifestyle brand. To strengthen sales through in-house distribution channels with a focus on directly operated stores allowing us to properly convey the brand message, last year we opened flagship stores in Los Angeles, London, Chengdu, Kuala Lumpur and elsewhere. In Europe and North America in particular, we have increased touchpoints with customers by actively utilizing flagship stores and taking part in fashion events such as Milan Fashion Week.

Net sales for the fiscal year ended December 31, 2021 increased by double-digit year on year in Greater China, Southeast Asia and South Asia.

Going forward, through communication leveraging our flagship stores, and an omni-channel strategy that includes the shift to a platform that can integrate e-commerce, apps and physical stores that is currently being pursued, we will continue striving to enhance brand recognition and brand value globally.

Onitsuka Tiger (OT) Performance Data

	FY2020	FY2021	Increase/Decrease
Net sales	33.9 billion yen	38.5 billion yen	+13.6%
Category profit	3.6 billion yen	4.8 billion yen	+34.6%
Category profit margins	10.70%	12.60%	+1.9 ppt



MOAGE CO

Greater China

Accelerating sales growth with profit

Given the size of the market and its high potential for growth, we aim to accelerate growth that will drive ASICS as a whole.

In the fiscal year ended December 31, 2021, net sales recorded double-digit growth year on year, representing growth that far outpaced our forecasts. These results were driven by the Performance Running and Onitsuka Tiger categories. Going forward, we will work at further business expansion by drawing attention to innovative technologies and high quality by utilizing digital content and our directly operated stores.

In addition, to leverage digital technologies enabling us to provide products that are in high demand from consumers, we will work to respond with greater agility through local development and local production.

In addition, we have already launched collaborative efforts with local partners in order to accelerate growth in the sports style and kids segments.

Greater China Performance Data

	FY2020	FY2021	Increase/Decrease
Net sales	41.1 billion yen	52.5 billion yen	+27.9%
Operating income	4.3 billion yen	9.1 billion yen	+112.5%
Operating income ratio	10.4%	17.4%	+7.0 ppt



ASICS STORE SHANGHAI QIANTAN TAIKOO LI



Mid-Term Plan 2023
Three Strategic Priorities

03

Transform to profitable business

Apparel Business

Boosting earnings capabilities with global products and higher production efficiency

We will strengthen our earnings capabilities by boosting efficiency globally while at the same time making efforts to solve issues in each region.

In the fiscal year ended December 31, 2021, as a result of concentrating management resources on running and training, we not only increased net sales in almost every region, but shifted category profits back into positive territory in Japan, Europe and Greater China, which helped significantly improve profits for the entire business.

This year, we will roll out the global strategic product ACTIBREEZE (a feature that identifies the places where body temperature is prone to rising and effectively lowers humidity) and raise efficiency on the production side by consolidating sourcing factories and other measures, thus continually enhancing our earnings capabilities.

Concentrating on selected sports categories

Focusing on tennis and indoor sports

For core performance sports, we will concentrate on tennis and indoor sports globally, while selecting and strengthening efforts on specific competitive sports based on conditions in each region.

In the fiscal year ended December 31, 2021, we achieved double-digit growth in net sales year on year. In particular, strong sales of tennis shoes and indoor shoes in North America and Europe drove higher sales overall.

Going forward, we will continue to gain the trust of customers by expanding brand recognition with the use of ambassadors, and by providing systematic support to junior athletes.

We will also expand the domestic and overseas business for walking shoes, which are highly regarded in Japan.

Improving earnings in mature markets

Focusing on running and continuing with reforms in apparel

Our approach will involve focusing on performance running in each region, implementing reforms in apparel, shifting to e-commerce and controlling SG&A expenses.

In North America, we have seen strong performance in performance running, which accounts for a large percentage of sales. This and other factors have led to profitability improvements outpacing forecasts. In 2021, we achieved an operating profit in the region for the first time in four years.

In Europe, we maintained our high share in the performance running market, with higher net sales and improved gross margins leading to a significant increase in operating income, more than double the previous year.

In Japan, sales of performance running products still account for a smaller percentage than in other regions, but we will continue to focus management resources and stay on the offensive to capture market share in performance running.

Revising strategy for directly operated stores

Thoroughly evaluating profit and loss at individual stores and improving the value of the store experience

Directly operated stores are important places to increase touchpoints with customers and cultivate ASICS fans by having customers try out ASICS products and experience the service we provide. However, due to changes to the environment related to the COVID-19 pandemic, we have again revised the role of directly operated stores and conducted thorough evaluations of profit and loss at individual locations. As a result of operations based on regional strategies, such as proactively opening new stores in regions expected to grow and shutting down unprofitable stores, in the fiscal year ended December 31, 2021 we made significant improvements to the profitability of directly operated stores. In major regions, we are planning to run trials in stores focused on running categories and will integrate with e-commerce and digital tools to further improve the value of store experiences.



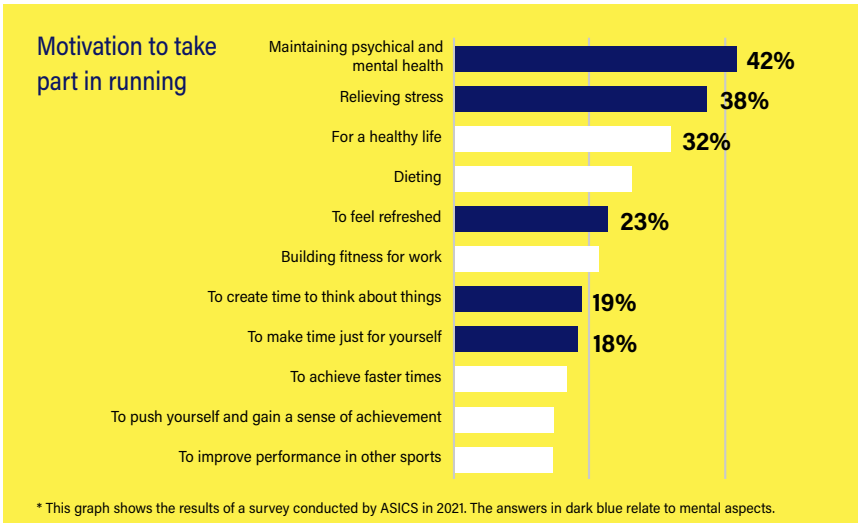
Marketing strategy

This is an introduction to ASICS' strategic marketing initiatives to strengthen and expand customer contact points by cutting across the three strategic priorities established in Mid-Term Plan 2023.



Background to Strategy Formulation

COVID-19 infections started to spread around the world at the beginning of 2020. Over a period of two years, the pandemic had a serious impact on people's lives. As a result, a large number of people complained of psychological issues such as mental health and stress. We conducted research into runners, asking them why they ran, and more than half of respondents reported mental health as their motivation. From 2021, ASICS started to express its founding philosophy of "a sound mind in a sound body" as simply "Sound Mind, Sound Body," and has continued to disseminate the message that physical exercise promotes both physical and mental health. In 2022, we will adopt the "#Live Uplifted" season theme under the Sound Mind, Sound Body tagline, disseminate a consistent message across all sports categories, and aim to expand recognition of the ASICS brand. Based on the research we conducted regarding activation, we determined that the town of Redford was the city in England with the lowest level of exercise and ran a campaign to enliven the town with sporting activity. The mental health of town residents improved by an average of 27% by incorporating exercise into their daily routines. In addition to publicity efforts, going forward ASICS hopes to provide experiences and develop a deep relationship with consumers as a brand that is designed for people.



Overview of Marketing Strategy

ASICS broadly divides its marketing strategy into two approaches, brand building and customer understanding and connections, and has set four strategies for each, together with KPIs.

For brand building, we pursue a strategy of (1) improving the brand recognition of "Sound Mind, Sound Body" and promote proper understanding of the concept, (2) leading by innovation, (3) firmly capturing the markets for women and young people, and (4) being recognized as a sustainable brand.

For customer understanding and connections, we have developed four customer engagement strategies, namely (1) using all available data to deepen our understanding of customers, (2) strengthening PR efforts not only through advertising but by having our brand and product better known through third-party feedback, (3) building digital services to make the most of connections with customers, and (4) utilizing OneASICS™ (free ASICS membership service) to value the relationship with customers that begin once they have purchased an ASICS product or service, and maintain a long-lasting relationship.

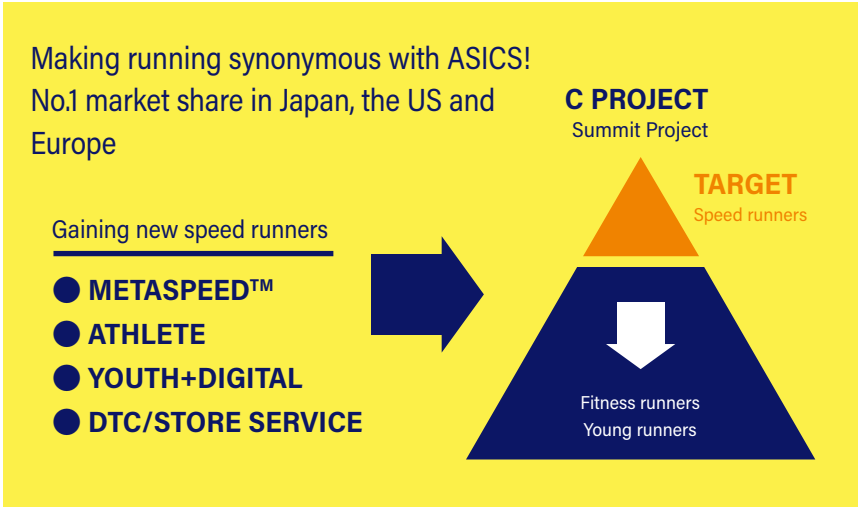
For each of these initiatives we will formulate plans to achieve each KPI, and implement a range of measures to do so.





Winning in the realm of performance running!!

To achieve results in this category, we will implement the CHOJO ("Summit") Project to retain market share among the speed runner demographic, which is the most influential (see page 31 for details), and work to win over athletes who will run in shoes that are packed with innovations from ASICS. To attract younger runners, we will optimize e-commerce as a purchase contact point and work to deepen engagement while improving efforts at specialty stores. In addition, a group that accounts for around 25% of customers is fitness runners who run less than three times a month. Over 60% in this group are women. In addition to providing them with shoes incorporating optimum innovations, we will appeal to them in functional and emotional ways. We will also utilize the Runkeeper™ running app and continue to promote optimization to its online aspects as an opportunity for engagement.



Global campaign to improve customer engagement

The "Sound Mind, Sound Body" global campaign run in Europe in 2021 enhanced brand favorability and led to an expanded share in the high-priced shoes market. Then in March 2021, the Innovation Summit was held to coincide with the release of METASPEED™ SKY. Our reach was expanded through various media including the web, news outlets and social media, increasing media exposure in the running category during the summit.



Online exposure 640	Reach through news outlets 4.08 Billion
SHARE OF VOICE #2 in Running Share of Voice (March 15st-April 30th)	Reach through social media 4,847 Posts (LY:1000 Pots) 288M Reach (LY:128M)

ASICS has declared the shift to management based on digital technologies as the strategy goal of Mid-Term Plan 2023. A digital strategy will create new customers experiences and lead to the further reinforcement of our business foundation.



Positioning of strategy and promotion structure

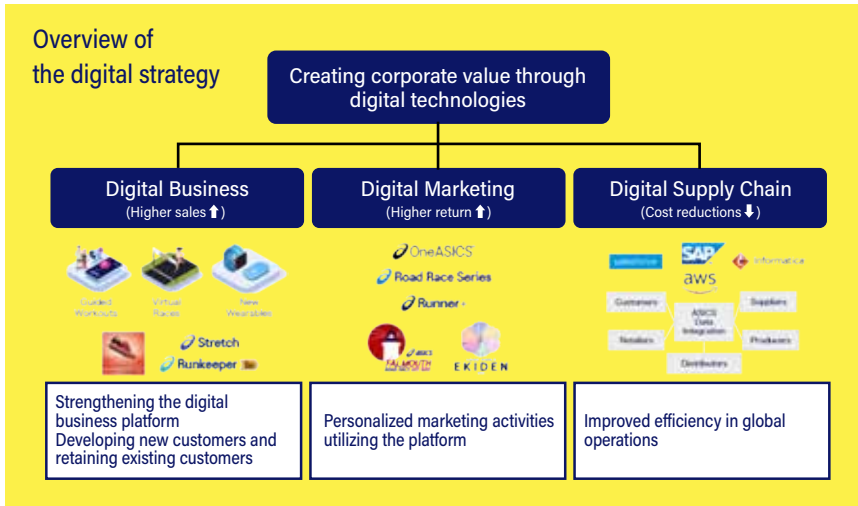
In the Mid-Term Plan we declared “transformation into a digital-driven company” as a strategic objective, and have accelerated efforts to incorporate digital technologies including investment on a companywide scale. To become a digital-driven company across the board, we are assembling more than 400 professional staff members under the CDO/CIO, promoting organic integration between Runkeeper, Race Roster and ASICS Digital in North America, divisions leading enterprise IT systems in the Netherlands, and divisions handling the supply chain and corporate partnerships in Japan. We are also coordinating closely with the Institute of Sport Science. The percentage of e-commerce sales has risen sharply from 4% in 2018 to 15% in 2021, and the increasing percentage of sales from e-commerce, which carry high gross margins, has helped improve gross margins overall. Going forward we will further strengthen our efforts in the digital realm with the aim of raising the percentage of e-commerce sales into the mid-20s range by the year 2030.

Three pillars of the digital strategy

In formulating the digital strategy, we created a runner-centric “customer journey” and developed a new business model that increases contact points with runners while utilizing digital technologies. We are promoting a digital strategy comprising three pillars: Digital Business, Digital Marketing and Digital Supply Chain.

With Digital Business, we are creating a unified global digital platform to provide training, race participation and recovery support to runners. This is an effort to increase touchpoints with runners digitally in order to gain new customers and provide new value to existing customers. With Digital Marketing, we will fully utilize the platform mentioned above to deliver optimum messages to each customer when it is needed, through the OneASICSTM free membership service. Through personalization we will achieve more effective communication, with the aim of improving the return on our marketing investment.

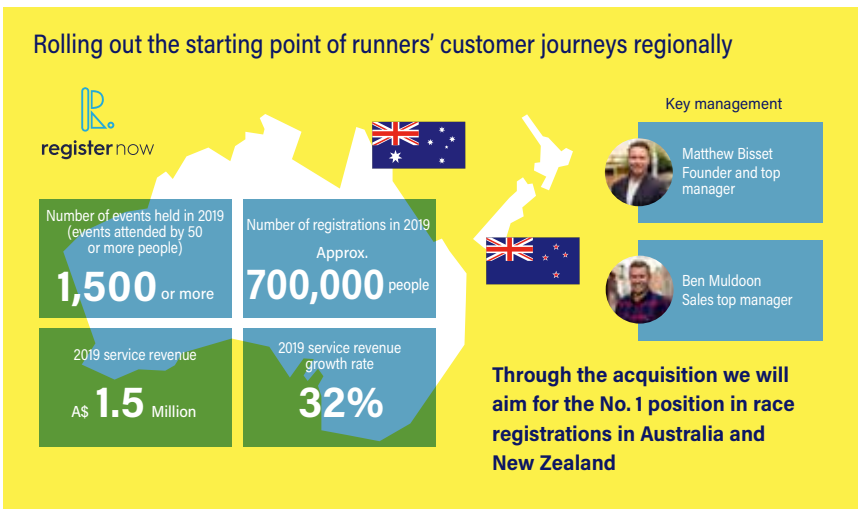
With Digital Supply Chain, we will promote the standardization of operations by unifying ERP, e-commerce and master data globally. This will reduce system and operating costs while visualizing management.





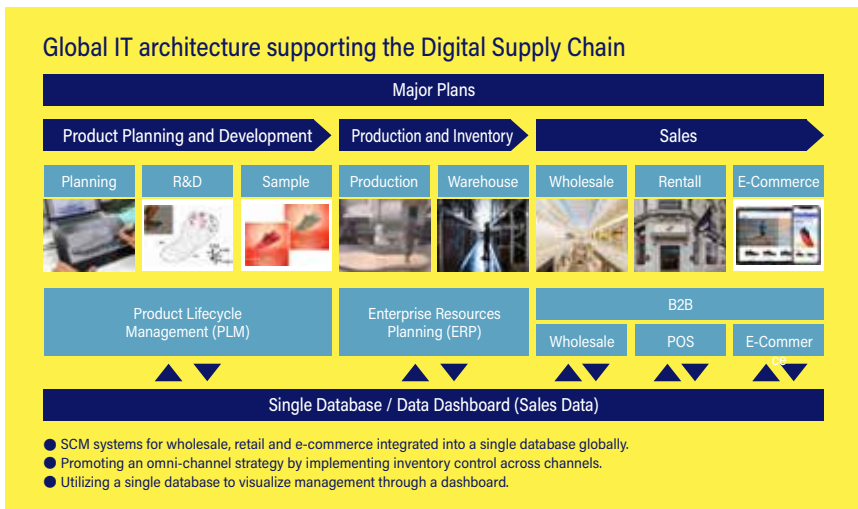
Further improving the customer experience with the acquisition of Register Now

ASICS is continuing to evolve a running ecosystem made possible with digital technologies. OneASICS™ boasts over five million members globally. The running app Runkeeper, which has more than 50 million registered users, is actively used by more than 3.6 million people a month in Europe, the US and other major countries. The Race Roster is the second-ranked marathon race registration platform in North America, boasting 1.8 million users a year with support for 4,150 events. By integrating these three services into a single ecosystem, we can further enhance the customer experience, providing personalized messaging on pre-race training, race-day schedules and the latest products that runners need from a single platform. In 2021 we went a step further with the acquisition of Register Now, the No. 1 race registration app in Australia and New Zealand, an important region for ASICS. While ASICS has maintained a No. 1 market share in the performance running category in these two countries, with this acquisition we will also secure a leading position in digital services, further accelerating and reinforcing the running ecosystem integrated with OneASICS™, Runkeeper and Race Roster.



Strengthening infrastructure by utilizing the Digital Supply Chain

As the global IT architecture supporting the Digital Supply Chain, ASICS has integrated its wholesale, retail and e-commerce SCM systems globally into a single database and introduced inventory control spanning these multiple channels in the implementation of its omni-channel strategy. In addition to allowing a customer to purchase a product on the spot using e-commerce if it is not available in store as well as exchange a product purchased using e-commerce at a store, this system enables customers to enjoy the benefits of visiting a physical store, such as receiving product explanations and trying out products, together with the convenience of e-commerce. Additionally, six years ago we had been operating more than 20 mission-critical systems globally, but in January 2022 we completed the project of consolidating them into a single core system. Going forward, we will seek further management visualization and improved efficiency in operations. In addition, ASICS' digital platform comprehensively links its Digital Business, OneASICS™ and back-end systems on the basis of OneASICS™ IDs. This enhances coordination on the marketing, product and service fronts, and promotes a shift to data-driven management and a digitally-driven platform that will serve as the foundation for achieving VISION 2030.



Human capital strategy

ASICS has set reinforcing its business foundation as one of its strategic priorities in the Mid-Term Plan 2023. This section introduces the initiatives related to strengthening human capital that ASICS is undertaking to promote this.



Approach to strategy formulation and policy

ASICS aims to foster a corporate culture that raises employee motivation and enables both individual and company growth. With this in mind, through various programs we will develop an environment that embraces employees' diversity, and enables them to respect one another and unleash their individuality and creativity. Specifically, based on Mid-Term Plan 2023, we will promote the following three strategies.

- 1

Realize "Sound Mind, Sound Body" through employees

Improve work styles by promoting advanced work style reforms utilizing digital technologies
- 2

Develop talent that will lead the business globally

Expand investment in talent who are prospects for top management in the future
- 3

Embrace and foster a diverse & inclusive organization

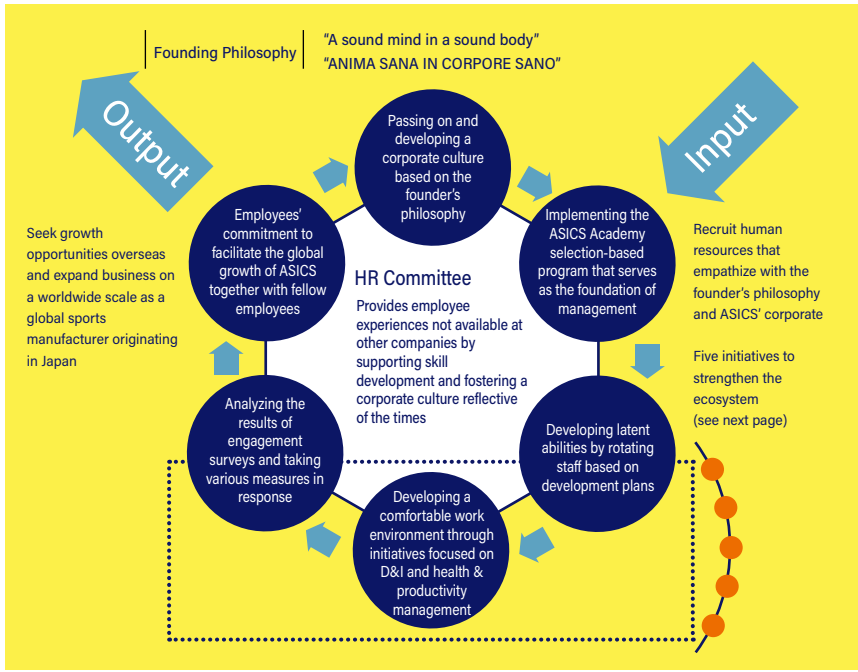
Utilize a diverse range of employees to cultivate a culture where different opinions are accepted and promoted
Revitalize human resources by ensuring that 35% of all managerial positions are filled by women



1 - Realize "Sound Mind, Sound Body" through employees

The human capital ecosystem

At ASICS, we place an emphasis on each employee epitomizing the concept of Sound Mind, Sound Body that draws from our founding philosophy. The human capital ecosystem is the mechanism for achieving this, and is promoted primarily by the HR Committee that was launched in 2021. In the human capital ecosystem, we promote human resource development that takes into account individual career paths in addition to talent management across the company, including hiring, development, placement and evaluation. This leads to the fostering of a culture of development and growth across the company.

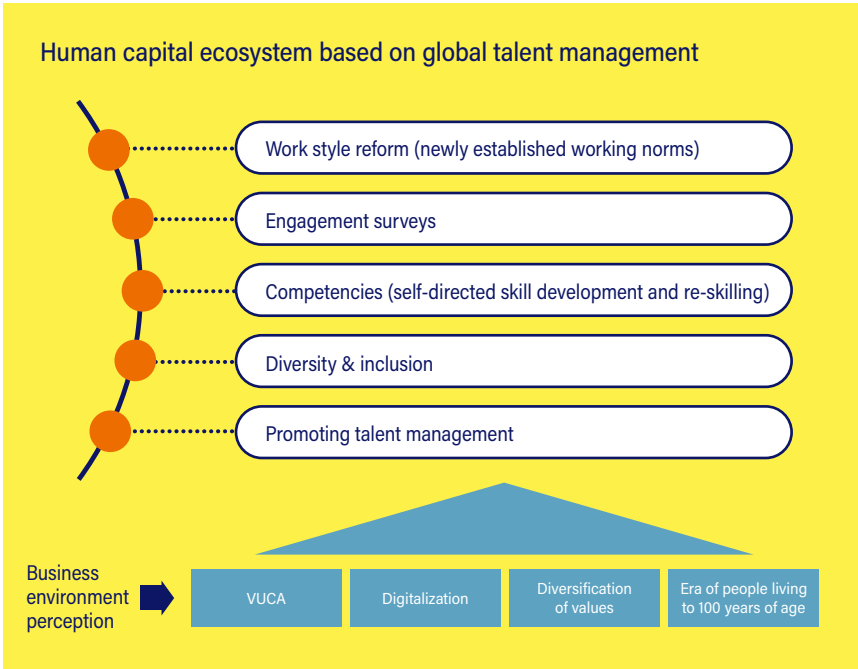




2 - Develop talent that will lead the business globally

Global talent management

The following five initiatives form the basis for promoting the human capital ecosystem described earlier. Global talent management plays a central role in these initiatives. This improves efficiency in ascertaining the status of human resources through a human resource management system that is centralized through global coordination. With global talent management as the driving force, we will promote work style reform, engagement surveys, competency setting and D&I measures to strengthen the human capital ecosystem.



3 - Embrace and foster a diverse & inclusive organization

Utilizing and accepting diverse human resources and promoting the active participation of women

Approach and targets

By promoting diversity & inclusion in which employees accept and embrace another's differences, we work to establish systems and develop human resources so that each employee can fully harness their abilities, aiming to utilize diversity for sustainable growth.

Three specific targets

(1) Utilize diverse human resources as the driving force behind innovation
(2) Foster a culture of accepting and promoting different opinions
(3) Revitalize human resources by ensuring that 35% of all managerial positions are filled by women

Numerical targets

- Percentage of managerial positions filled by women: 35% (global)
* This figure is 20% for ASICS on a non-consolidated basis
- In employee engagement surveys, improving the score on the question "my own skills are being utilized and I am able to maximize my performance"
* Engagement surveys are internal surveys conducted regularly to gauge how employees feel about their everyday work from the perspectives of communication, corporate culture and leadership.

Initiatives for achieving targets

Regarding target (1), we actively promote employees with foreign nationalities and mid-career hires with expert skills to top management. Regarding (2), we conduct training and workshops to promote understanding of LGBTQ issues, revise internal regulations and standards to include same-sex partners as employee spouses, and implement programs designed to eliminate unconscious bias to encourage the utilization of diverse human resources. For (3), we run a program to develop a career vision enabling female employees to actively pursue their careers, and carry out activities that lead to career development and diversity promotion.

Financial
Capital
Strategy

ASICS
Value Creation



Koji Hayashi
Executive Officer, Senior General Manager,
Accounting and Finance Division
(In charge of Corporate Strategy)

ROA-oriented reforms are steadily yielding results.
We will focus even more on enhancing profitability and developing a stable financial base.

Overview of Category Profit

(Cost Allocation Image)	P.RUN	CPS	SPS	APEQ	OT	Others	TTL
Net sales							
GP							
Marketing							
Planning and development (products)							
Head Office expenses (excluding back-office sections)	Appropriate allocation of wholesale, retail, EC and other channel expenses						
Category profit							
Uncategorized costs							
Consolidated operating income							

- Costs specified as being in a category are considered to be direct costs within that category
- Marketing expenses are borne by each category for every activity
- Uncategorized costs are unallocated and managed separately

To start with, please reflect on ASICS' performance in 2021.

ASICS has been pursuing Mid-Term Plan 2023 on the way to achieving VISION 2030. In 2021, which marked the start of the plan, ASICS achieve substantial increases in sales and profit. I believe the fact that we managed to post sales of over 400 billion yen for the first time in four years and operating income over 20 billion yen for the first time in five years sent a clear message that we will work on a new transformation together with the latest mid-term plan.

Looking at the factors behind the sales increase, to start with is the rapid progress made with performance running. Athletes wearing the METASPEED™ racing shoes designed for top athletes had success in races around the world, and combined with the shower effect increasing sales of lower-grade products, sales saw 30% growth. Onitsuka Tiger also saw sales growth of around 20% in Greater China, while sales expanded by over 40% in Southeast and South Asia, which is expected to be the next big market. On a regional basis we also achieved higher sales across all categories and regions, including growth of roughly 30% in North America and Greater China. We also achieved significant increases in operating income in every region, and this included the US moving into profitability for the first time in four years.

Note that under net income, we recorded additional deferred tax assets in anticipation of business performance in the following fiscal year. As a result, income rose significantly by 9.4 billion yen, far exceeding the previous guidance announced in November 2021. Regarding the cash flow situation, we generated record operating cash flow of approximately 50 billion yen due to improved profitability and working capital.

Please tell us about the progress with Category Management 2.0.

In 2019, ASICS shifted to a category-based management system that delegates responsibility for everything from product planning to production

and sales to the top management in charge of each category. Then in 2021, this was further refined into Category Management 2.0 to coincide with Mid-Term Plan 2023.

The greatest effect of this change is in how it changed the mindsets of top management in charge of each category. Visualizing their responsibility for revenue has lead to profitability improvements. I believe the significant increases in sales and profit in 2021 are a sign that Category Management 2.0 started to function at full-scale.

In addition, in Mid-Term Plan 2023 we set cost owners for each major cost item in SG&A expenses, and clarified the people responsible in each region. By creating synergies between the vertical slices of categories and the horizontal slices of the global organization, we aim to thoroughly maintain governance systems and further enhance profitability.

Q How are you working to enhance systems to promote those developments?

In January 2022, we began operating a new SAP-based mission-critical system, including in Japan. This means that an integrated SAP-based mission critical system environment is in place in every major region in the world. We can now confirm sales for each category daily, and we are taking steps so that per-category profit can also be checked by the end of 2022.

Q Are there any changes to the basic policies that make up ASICS' financial strategy?

In Mid-Term Plan 2023 we have adopted the strategy of focusing on enhancing profitability and establishing a stable financial base for sustainable growth in the future.

Considering the effects of the COVID-19 pandemic, in 2020 we worked to quickly secure funding, and in the future we will continue to look at raising funds in line with market conditions and other factors.

Although we are continually aware of the need to raise ROA, over the three years of Mid-Term Plan 2023, our basic policy has been conservative financial

management. I should also note that our equity ratio is 42.2%, improving four points compared with the end of the previous fiscal year.

Q Why have you actively worked on sustainability bonds?

In December 2021 we issued sustainability-linked bonds. This was the first scheme in Japan (according to ASICS research) to purchase emission credits based on the achievement level of pre-determined sustainability performance targets. Following on from the sustainability bonds issued in 2019, this was the first scheme of its kind in Japan for a regular operating company.

Since its founding, ASICS has focused on developing sustainable environments that facilitate physical and mental health. I believe that this attitude should be clearly articulated in our financial strategy as well.

Of course, we have fully considered the financial merits. The sustainability-linked bonds we issued this time are worth 10 billion yen. They carry a much lower interest rate compared with straight bonds issued by companies with a similar rating around the same time.

I believe that with its strong reputation in the direct financing market, sustainability-oriented financing will become a new trend. Going forward ASICS will continue to actively pursue initiatives in ways that reflect its unique qualities.



Q Please tell us about your efforts to generate cashflow through improvements to working capital or otherwise.

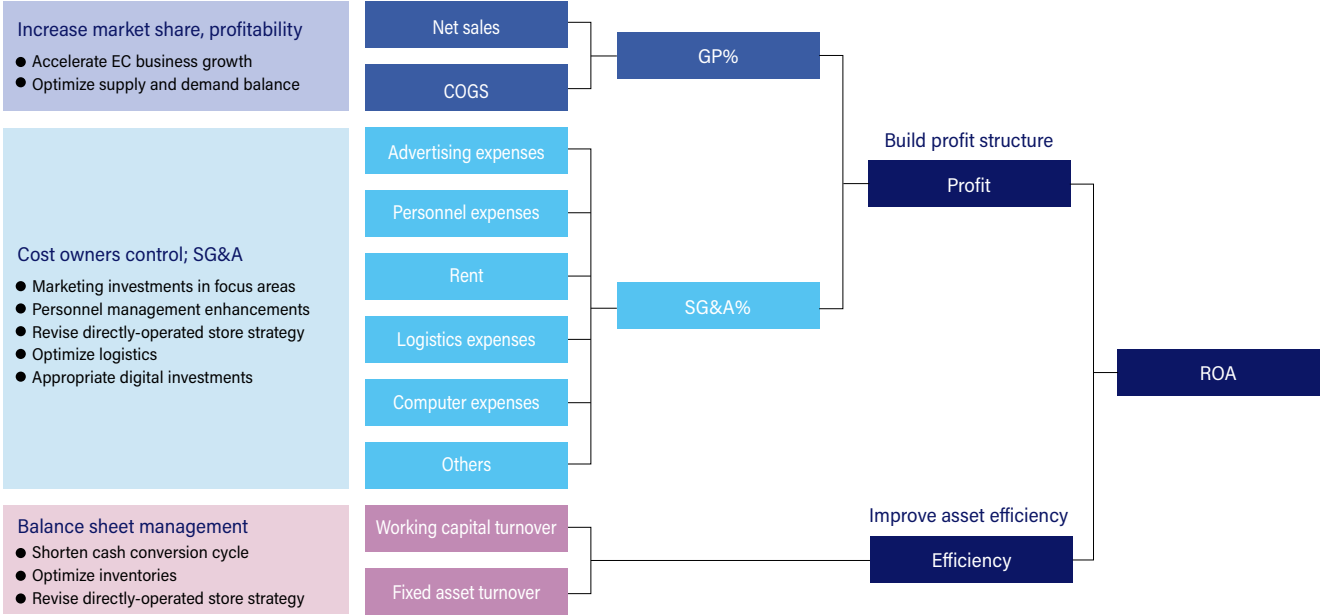
As you can see from our record operating cash flow, improvements to working capital have steadily yielded results. The Cash Flow Committee is instrumental in these efforts. This is a Groupwide organization whose members are the people responsible for production and logistics in each category. The committee regularly discusses measures to thoroughly manage inventory assets with a focus on inventory control, and checks on the progress of those endeavors.

Additionally, in 2020 we newly introduced return on assets (ROA) as a key performance indicator (KPI) to develop a stable financial base, and we have worked on improvements through ROA tree management. To ensure that

each employee recognizes ROA as their own problem, I have personally taken on the role of teacher to carefully explain the ROA tree using a matrix. Through these efforts combined with sales measures focused on profitability and cost controls, we have made improvements on each item, namely gross profit margin, SG&A ratio and asset efficiency. We have kept the rates of increase in the cost of goods sold and each SG&A expense to within +23% of the rate of sales increase.

What gives me the sense that we have made headway is the steady changes in the mindsets of employees. In regular conversation I frequently hear terms such as inventory control and profitability, suggesting our reforms are making steady progress. We will continue to try to maximize ROA through tree management while promoting improved management by cost owners and balance sheet management for inventory and other items.

Maximizing ROA with ROA Tree Management



Since working capital is set as an internal target, the working capital turnover rate is shown instead of the current asset turnover rate.





What is the strategy for asset allocation aimed at medium-to-long-term value creation?

Cash flow from investing activities involves expenditures of around 10 billion yen each year. We expect investments to continue at a similar rate in the future. However, I believe the nature of those investments will change considerably. At one time, the percentage of investments in tangible assets such as directly operated stores continued to be high, but the percentage of investments in intangible assets has recently increased. This is due to expanded investment in the digital realm, including e-commerce. That percentage should continue to rise in the future.

Note that on the expansion of directly operated stores, we have not curbed this across the board. Instead we will employ proper governance including stepped-up monitoring and will seek to expand the number in regions expected to experience market growth, such as Greater China. R&D is the source of ASICS' competitiveness and we intend to maintain the same level of investment in this area, around 5 billion yen. Additionally, in November 2021 we acquired Registration Logic Pty Ltd. (currently Race Roster Oceania Pty Ltd.), which operates a race registration site in Australia. As with the transfer of the Race Roster business in 2019, this will play a part in the running ecosystem strategy being pursued by ASICS. Going forward we will continue to work on improving profitability aimed at discontinuous growth while striving to generate more cash flow.

As a final note, I would like to touch on shareholder return. Our policy is to achieve a total return ratio of at least 50% through stable dividends and share buybacks, in consideration of its balance with growth investments. In 2022 we plan to issue a record annual dividend of 32.0 yen per share.



In closing do you have a message for ASICS investors?

On the future outlook for ASICS, having considered the current business environment and other factors comprehensively, I believe our strong momentum will continue. In 2023, the final year of Mid-Term Plan 2023, we expect to achieve levels of 30 billion yen in operating income, an operating margin of around 7% and an ROA of around 6%. All of these figures exceed our initial targets.

ASICS puts a lot of effort into dialogue with investors, such as holding IR meetings approximately 300 times a year. I was personally responsible for around 200 of these meetings in 2021. We attach great importance to all of the frank feedback we receive from stakeholders, and the points we can take action on are swiftly incorporated into various measures and improvements.

Due to the significant sales and profit growth we achieved in 2021, I sense that stakeholders have heightened expectations in ASICS going forward. We will focus on establishing a stable financial base in anticipation of sustainable growth in order to exceed those expectations.



Feature

Value Creation Story at ASICS

The METASPEED™ series of running shoes for top athletes epitomizes the human-centric science approach that is the source of ASICS' strength.

We spoke to a key person about the approaches emphasized during product development and the unique characteristics of the development project.

ASICS' new challenge

Running shoes for top athlete

METASPEED™

C Project



Returning to our roots in human-centric science

In March 2021, ASICS released the METASPEED™ series of running shoes for top athletes. The shoes are a product created by ASICS returning to the concept of human-centric science from which the company originated, and committing to creating something personalized that keeps each athlete in mind. The shoes gained the attention of athletes around the world for their advanced performance, and were worn by the athlete who came in 5th during the men's marathon at the Tokyo 2020 Games. C Project, which we took part in as members, was a project formed in November 2019 to develop the METASPEED™ shoes. The "C" in the project's name stands for the Japanese word Chojo ("Summit"), drawing from the phrase "start by aiming for the summit" by ASICS' founder Kihachiro Onitsuka. At one time in the athletics world, the image of ASICS being synonymous with long distance had taken root, and many runners wearing ASICS shoes earned medals, even at marathon events in the Olympics. In recent years, however, the rise of so-called "thick soled" shoes kept ASICS off the podium. That is why we decided to return to our roots. We abandoned the conventional thinking of focusing on thin soles, and attuned ourselves to the desire of athletes wanting to run even one second faster. This marked the start of another project aiming for the "summit."

Focusing on digital and personal

Digital and personal are among the themes we have declared in VISION 2030, ASICS' long-term vision for the year 2030. We also emphasized these keywords in the development of the METASPEED™. First, in terms of digital, we focused on communication using digital tools to gather feedback from as many athletes as possible. Traditionally, the way we would gather information would be to go

out to visit athletes on-site or have athletes visit our research institute, making direct communication our main activity. Of course, the information you can gain from face-to-face interactions is valuable. But we faced limitations of distance and time. Given those challenges, this time we actively pursued web-based interviews and meetings during development. We engaged in deep conversation with many athletes and gained new insight by bouncing ideas off one another. We also collected running data recorded by athletes as part of their regular training. This enabled us to collect and analyze a greater volume of data and in more detail than ever before, and this led to another key characteristic of METASPEED™ which sets it apart: personal.

Developing two product types catering to differences in running styles

As part of the development of METASPEED™, we decided to adopt an entirely new series configuration. To enable athletes to select the right shoe for them based on their own running style, we developed two product types, the METASPEED™ SKY and the METASPEED™ EDGE.



Feature

Value Creation Story at ASICS

Long-distance running styles are generally classified into one of two types, the stride type and the pitch type, but until now they have been vaguely defined. We studied the relationship between running stride and cadence for many athletes. As we collected more and more data, we realized that there are significant differences in how athletes behave when they try to increase their running speed. The first thing we identified was a type of athlete whose stride length increases when they try to increase their running speed. The second thing was a type of athlete who changes both their stride length and cadence when trying to pick up the pace. Thus we redefined the stride and pitch types in greater detail. To create shoes that help all of these athletes improve their performance, it is extremely important to consider these different running types.

Based on these research findings, we aimed to develop a product that would cater to these two running types.

We held discussions with athletes around the world and continued to make improvements to mid-sole thickness, shape and other measurements down to the millimeter. This led us to two solutions, the METASPEED™ SKY for stride-type runners and the METASPEED™ EDGE for pitch-type runners.

A value chain unique to ASICS

In this way, we had to develop two types of shoes in parallel within a short time frame, and the project ran into many barriers as a result. I believe we were only able to overcome each of them thanks to teamwork that brought all of ASICS together.

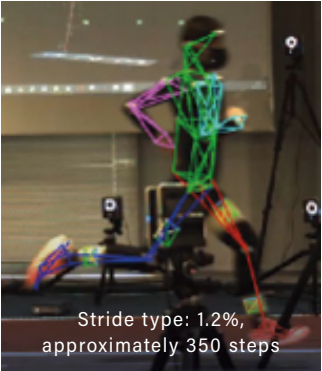
Our C Project is an organization directly under the president, and its team members are not only from development and research departments, it draws talent from across the company including athlete support, marketing, and divisions that span the organization such as legal affairs and intellectual property. Each member coordinated closely with one another, and also expanded the team's reach to related departments within the company. This ability to promote smooth structural development extended through ASICS' entire value chain from data collection and analysis to research and development, manufacturing, sales and marketing is another major achievement of this project.



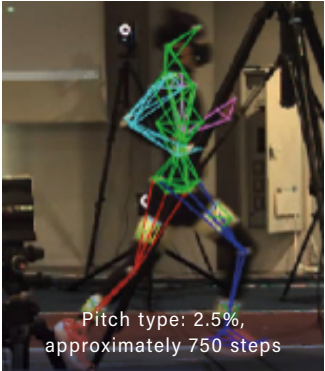
Feature

Value Creation Story at ASICS

Scene from internal testing to measure the impact on stride length for stride-type and pitch-type runners while wearing METASPEED™ shoes.



METASPEED™ SKY



METASPEED™ EDGE

Production that caters to each athlete

During the Tokyo 2020 Games, I was filled with passion at seeing athletes I worked together with on development running in METASPEED™ shoes while competing for medals. At the same time, with the feeling that we were still only half way there, this galvanized by resolve to reach the "summit" as our goal. Since the Tokyo 2020 Games, top athletes around the world have joined races in METASPEED™ shoes and achieved many amazing results, including victories and personal bests. Striving for the "summit" as our goal, our project will also keep running. The latest iterations of the METASPEED™ series, the METASPEED™ SKY+ and METASPEED™ EDGE+ have started to go on sale from mid-June. We are also pursuing product development in different areas such as long-distance track running. Naturally, the know-how we have gained from the development of the METASPEED™ series, including insight into fast and safe running, will also be utilized in a wide range of ASICS products including those designed for amateur runners. When you aim for the summit, the area at the base of the mountain also expands. Personalized production catering to each and every athlete is an approach ASICS will continue to embrace companywide.

Feature

Value Creation Story at ASICS



Shoes that convey the passion
of always aiming for the best

Sara Hall, professional runner representing the USA

To me, METASPEED™ shoes can be described as a game-changer. They feel light with a good fit, and it has characteristics that other brands don't have, like a great bounce despite the strong cushioning. Out of all the shoes I've tried, I think these are the best for me personally. I think they've played a role in improving my performance. For instance I ran a new personal best at the time when I ran a marathon race (in October 2020) wearing prototypes for this product. The amount of passion ASICS put into the development of these shoes really comes across. I identify with the Japanese people in how they are always trying to improve upon their best.

ASICS Sustainability

Sustainability strategy policy

Achieving a sustainable society through our business activities

Helping people around the world achieve a sound mind in a sound body and preserving environments where sports can be played

The ASICS spirit of sustainability is encapsulated within the words of our brand slogan: "Sound Mind, Sound Body." To keep on achieving this into the future, we must solve both social issues and environmental issues at the same time. Sustainability has been set as one of ASICS' strategic objectives, and ASICS is committed to helping shape a sustainable society through its business activities.

Sustainability at ASICS is largely divided into two, contributing to people and society by helping people achieve a sound mind in a sound body through our business activities, and consideration for the environment, through which we preserve a global environment that will enable future generations to play sports.

Through Mid-Term Plan 2023, we aim to "realize a sustainable society integrating business activities." As part of this, we promote responsible sourcing taking into account human rights and labor issues across the entire value chain while striving to reduce CO₂ emissions by promoting recycling-oriented manufacturing.

Governance structure promoting the integration of sustainability

Aiming to reinforce the Board of Directors' oversight of sustainability risks and opportunities, in addition to the Risk Management Committee, the Sustainability Committee, which is chaired by the president, meets once every six months as an advisory body to the board. The Sustainability Committee aims to solve social and environmental issues through the business activities of ASICS, and through those initiatives to enhance engagement with customers and other stakeholders and improve the corporate value of ASICS. We are also integrating sustainability into companywide business strategy. For instance, working on sustainability is also one of the personal goals set in personnel evaluations.

Sound Mind, Sound Body

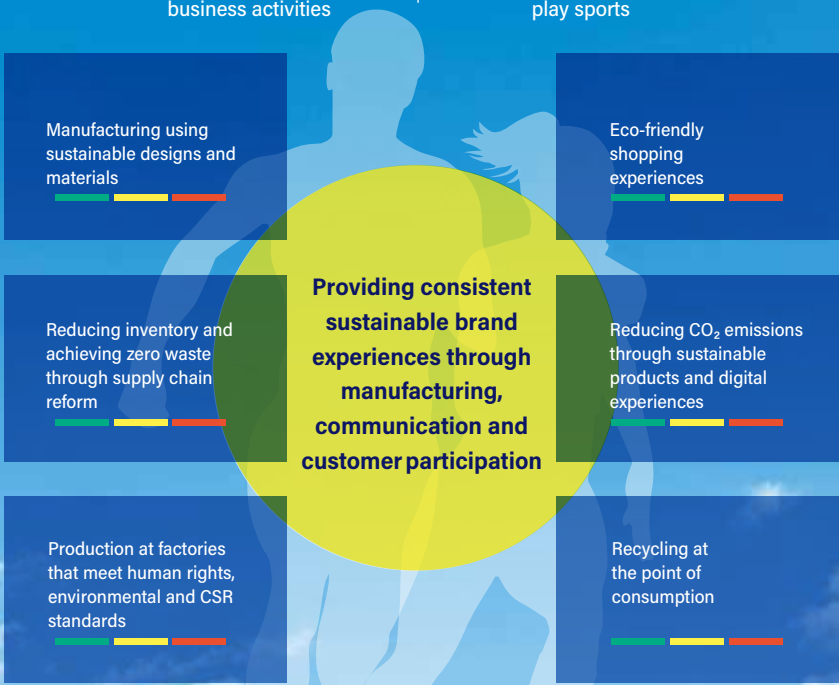
Sound Mind, Sound Body

People

Helping people achieve a sound mind in a sound body through our business activities

Planet

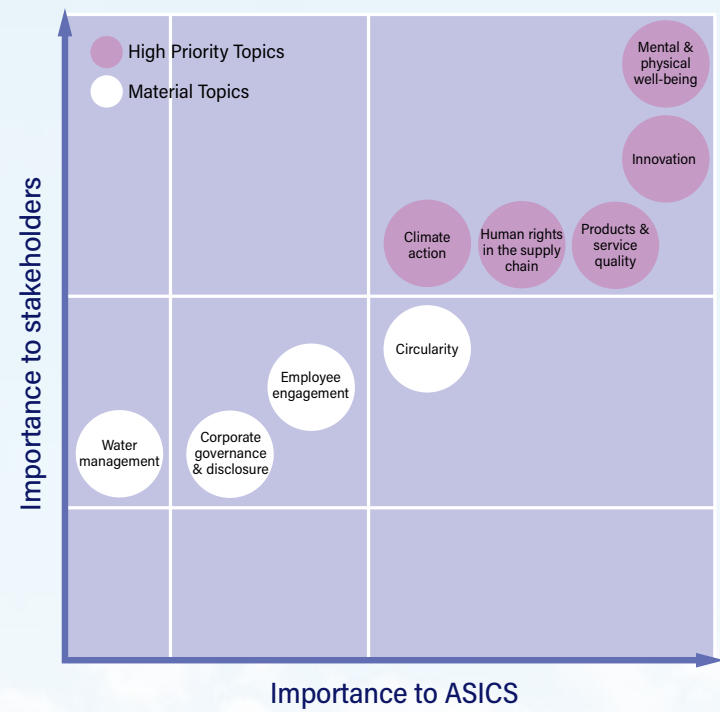
Preserving a global environment ensuring people can exercise and play sports



Responsible sourcing Reducing CO₂ emissions through recycling-oriented manufacturing

2023 All Tier 1 supplier factories to meet global and ASICS CSR standards	2030 63% reduction in CO₂ emissions (Comparison with 2015)	2050 Net-zero greenhouse gas emissions
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Material topics (materiality) through dialogue with stakeholders



ASICS identifies material topics (materiality) based on the perspectives of their importance to stakeholders and importance to our corporate strategy. We conducted interviews and questionnaires targeting roughly 500 people, comprising external stakeholders such as consumers, business partners, suppliers, investors, NGOs and industry groups, and internal stakeholders including executive management and employees. The results were then used for internal discussions while also incorporating third-party views expressed by outside experts. We also referenced the GRI standards, the global guidelines for sustainability reporting, when identifying topics. Finally, the Sustainability Committee deliberated over the topics, deciding on nine material topics and their order of priority, subject to annual review.

Stakeholders	Engagement Principles	Material Topics (Materiality)	Channels for Dialogue
Customers	We aim to provide products and services that add value for our customers and contribute to a healthy society.	● Mental and physical well-being ● Innovation ● Product and service quality ● Climate action	● Communications at stores ● Communications on social media ● Customer Service Office
Shareholders and investors	We believe in transparency in business operations throughout the ASICS Group. We will provide and disclose relevant information in a timely, appropriate, accurate and clear manner.	● Innovation ● Product and service quality ● Climate action ● Supply chain human rights ● Corporate governance and disclosure	● General Meeting of Shareholders ● Responses to Environment, Social and Governance (ESG) surveys and inquiries ● Financial results briefings ● IR meetings
Employees	We believe in treating one another with respect and dignity. We strive toward a corporate culture of discipline, creativity and ambition where personal development and corporate growth go hand in hand.	● Mental and physical well-being ● Employee engagement ● Climate action	● Employee engagement surveys ● Training
Business partners	We are partnering with our customers, suppliers and other business partners in our value chain. Sustainability improvements depend on collaboration and commitment from all. We engage our business partners to share and solve social and environmental issues together.	● Innovation ● Product and service quality ● Supply chain human rights ● Climate action ● Circularity ● Water management	1. Factories and Suppliers ● Hold regular meetings ● Conduct audits and trainings 2. Sales Customers ● Hold exhibitions 3. Business Collaborations Partners ● Joint research and development
Communities	While we encourage sports participation, promote health and contribute to a healthy society, we aim to fulfill our social responsibility and help improve conditions for communities around the world.	● Mental and physical well-being ● Climate action	● Volunteering by employees ● Collaboration with NPOs and other organizations ● Community support through donations
Regulators	All our corporate operations comply with relevant laws and regulations. We adopt processes, systems and structures to support appropriate and efficient operations and decision-making.	● Climate action ● Supply chain human rights ● Corporate governance and disclosure	● Hold meetings to exchange opinions

Material Topics for Business Strategy (Materiality), Risks and Opportunities

Material topics (materiality) have an impact on ASICS' medium-to-long term corporate value. To appropriately deal with these items that impact sustainability in the medium and long term, ASICS has identified risks and opportunities (opportunities for co-creation with stakeholders) and stepped up related initiatives.

* For more information about materiality, please refer to our Sustainability Report (English edition).

Material Topics (Materiality)	Risks of not taking action	Opportunities for co-creation with stakeholders
Mental & physical well-being >>P.35	Reduced competitive advantage and deterioration of reputation by not realizing the founding philosophy of "sound mind in a sound body" through products and services	Customers: Research and development of innovative products and services based on customer data Business partners: Joint research and development of products and services Local communities: Solving local issues and enhancing trust in the ASICS brand as a result by deepening ties with the community
Innovation >>P.41	Loss of competitive advantage from failure to respond to market needs and tackle social issues	Customers: Creation of innovative products and services based on expectations and needs Employees: Accelerating innovation by utilizing a diverse range of human resources
Products & service quality	Monetary damages and impact on corporate image due to the occurrence of safety issues	Employees / customers / business partners: Creation of innovation by pursuing safety and functionality simultaneously
Human rights in the supply chain >>P.38	Deterioration of corporate and brand image due to non-compliance with labor standards in the supply chain or non-compliance with hazardous/restricted chemical regulations	Business partners: Strengthening ties and enhancing value chain sustainability and resilience
Climate action >>P.39	Risk of reduced sales as a result of supply disruptions associated with natural disasters in the supply chain, and deterioration of corporate image due to delays in responding	All stakeholders: Creating value for all stakeholders by preserving environments that allow sports to be played Employees / customers / business partners: Creation of innovation by pursuing reducing environmental impact and functionality at the same time
Circularity >>P.40	Impact on sales due to sharply rising raw material prices due to the failure to utilize resources efficiently or passing on costs to product pricing, and damage to corporate image from initiatives and other action not having been properly implemented	
Management of water resources		
Employee engagement >>P.25	Reduced performance or job turnover due to deteriorating employee motivation, impact on the hiring of next-generation human resources, and subsequent labor shortages, etc.	Employees: Acceleration of innovation through diverse values, creation of a resilient organization featuring job satisfaction
Corporate governance & disclosure >>P.44	Impact on management sustainability and finances due to violations of laws, regulations or compliance requirements	Shareholders and investors: Enhanced value creation capabilities through improvements to dialogue and ESG assessments



ASICS' business is supported by a global supply chain that includes outsourced production factories. Aiming to ensure Sound Mind, Sound Body for the people working at such sites, tackling business and human rights is one of ASICS' priority issues.

For more than 150 outsourced production factories in over 20 countries around the world, mostly in Southeast Asia, we operate a supply chain management program consistent with international standards, including those of the International Labour Organization (ILO). Based on these standards, we engage in selection, management and responsible sourcing with respect to outsourced production factories.

01 Policies and Commitment
ASICS Supplier Standards

All ASICS suppliers including outsourced production factories are asked to comply with the ASICS Global Code of Conduct, ASICS Policy of Engagement and GLOBAL POLICY ON ENVIRONMENT. The ASICS Policy of Engagement, which serves as a code of conduct for suppliers, asks suppliers to comply with laws, regulations and international standards regarding worker rights, occupational safety, employment conditions and so on, with the aim of achieving safe, healthy and ethical work environments and conditions at contracted production sites.

02 Monitoring and Risk Management

ASICS has established mechanisms to monitor and control supply chain

risks. To monitor human rights risks and the status of legal compliance in labor matters in the supply chain, ASICS employs in-house audits conducted by CSR personnel, commissions audits from third-party organizations, and also utilizes the Higg Index, a standardized industry indicator developed by the Sustainable Apparel Coalition (SAC). As a result of ongoing efforts, the management level of outsourced factories has improved, and as of 2021, all Tier 1 supplier factories have improved to the point of satisfying ASICS' sustainability standards.

03 Supplier Capacity Development

For ASICS, supporting the capacity development of outsourced factories is essential for building a sustainable supply chain. We conduct explanatory sessions and training for Tier 1 supplier factories and upstream suppliers, communicate ASICS' approach to sustainability, and supply information on the latest industry trends and the knowledge needed to implement appropriate labor practices that comply with the laws and regulations of each country.

In 2021, we conducted online seminars for suppliers in Vietnam in conjunction with the ILO's Better Work Program. The seminars were attended by roughly 100 factory managers.

04 Information Disclosure and Transparency

ASICS strives to make sustainable improvements to transparency in order to identify risks in the supply chain and build fair and ethical cooperative relationships with suppliers. As a part of that commitment, we publish a list of our outsourced production factories each year and make disclosures regarding the status of production sites through reports and other means.

Each year since 2017, we have used the ASICS Group Modern Slavery and Transparency Statement to publish information about ASICS'



efforts to deal with the risks of modern slavery and human trafficking in its business and supply chain.

Sustainable Sourcing initiatives

ASICS promotes initiatives to safeguard the human rights of the people working in every supply chain related to product manufacturing, and during the Tokyo 2020 Games held in 2021 we ensured thorough compliance with the event's Sustainable Sourcing Code. We engaged in dialogue with factory managers, carefully explained the sourcing code and ASICS' sustainability policies, and also conducted training for factory managers to raise the management level at each factory. Through these activities, sustainable sourcing both in terms of human rights and the environment has been promoted at outsourced production factories.

Responsible sourcing of materials

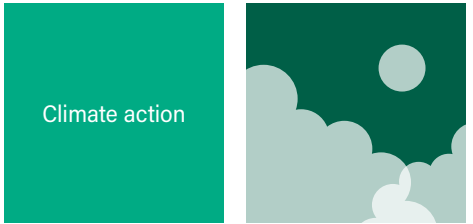
ASICS procures materials from many suppliers. We maintain a policy of not sourcing materials from regions or suppliers suspected of practices that infringe upon human rights, including forced labor. We will continue to work closely with suppliers and endeavor to enhance traceability as part of responsible sourcing efforts. We have also set the goal of using 100% sustainable cotton by the year 2025.

High rating in international human rights index

In the benchmark assessment for the global apparel and footwear category run by the international human rights NGO KnowTheChain, ASICS has been rated above the industry average and also made a significant jump in the rankings from 22nd previously to 16th in the latest assessment. To address the risk of immigrant workers being subjected to forced labor, ASICS has clearly stated the principle of "responsible employment" in its code of conduct that applies to suppliers and disclosed it. We have also been recognized for additionally disclosing information about the percentage of female and immigrant workers as well as Tier 2 suppliers, among other accomplishments.

Responding to the COVID-19 pandemic throughout the supply chain

The COVID-19 pandemic has seriously impacted supply chains around the world. To ensure that contracted production factories are not unilaterally disadvantaged, ASICS declared its intention to make appropriate payments. We also regularly check conditions to ensure that the employment, wages, health and safety of workers at these factories are maintained, and work with suppliers to improve working condition and environments. We believe that appropriate business practices across all supply chains enhances sustainability of the industry, and will continue to coordinate with dedicated organizations and operating divisions to promote responsible purchasing practices with outsourced factories.



01 Why is ASICS Focused on Climate Change?

ASICS regards climate change action as the most important environmental challenge. Sports in particular are closely related to climate change, and to realize "Sound Mind, Sound Body" throughout people's lifetimes and among future generations, we believe it is necessary to preserve a global environment that enables sports to be played.

02 Approach Based on International Frameworks

For this reason, in line with progressive efforts consistent with the Paris Agreement, we aim to limit average temperature rises to less than 1.5 degrees compared with pre-industrial times. In a first for a sports manufacturer, we have set Science Based Targets (SBT) and are promoting efforts with the aim of achieving net-zero CO₂ emissions. ASICS was also the first sports manufacturer in the world to declare its support for the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD) established by the Financial Stability Board (FSB), and actively works to disclose information on both the risks and opportunities that climate change poses to its businesses based on the four perspectives outlined in the TCFD recommendations, namely governance, strategy, risk management, and metrics and targets.

* Please refer to our Sustainability Report (English edition) for more information about the TCFD.

03 Strengthening Partnerships with Stakeholders

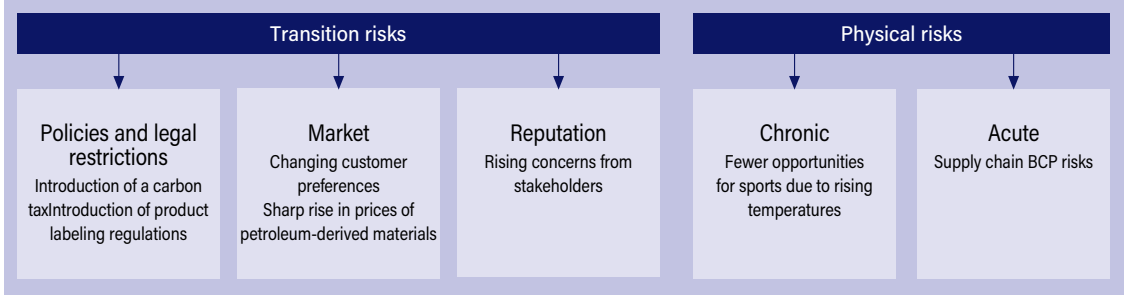
These global issues we face cannot be solved by ASICS alone. Accordingly, our aim is to work together with suppliers, business partners and even consumers towards the same goals, changing the way we have been doing things to lessen our environmental impacts. Based on these ideas, ASICS has been among the first Japanese companies to take part in global initiatives and promote world-class initiatives, including the Sustainable Apparel Coalition (SAC), an international sustainability group for the apparel industry, as well as the Fashion Industry Charter for Climate Action under the United Nations Framework Convention on Climate Change (UNFCCC) and THE FASHION PACT. We also believe that by working with suppliers and stakeholders to decarbonize supply chains, we can reduce the effects of carbon taxes, ensure the stable sourcing of raw materials,

energy and other resources, and reduce costs in the medium term, enabling us to mitigate risks and have an impact.

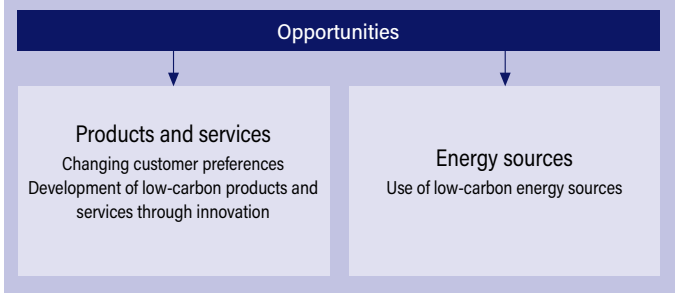
04 Shifting to a Recycling-oriented Business Model

45% of the world's greenhouse gas emissions are caused by the one-way business model of "make, use and throw away." Similarly in the apparel industry, over 70% of resources end up in landfill or being incinerated, with less than even 10% being recycled. This is estimated to equal an economic loss of roughly 10 trillion yen annually. (Based on a report from the Ellen MacArthur Foundation) ASICS is promoting reforms across the entire value chain to shift from this one-way business model to a recycling-oriented circular business model.

ASICS' Climate Change Risks



Climate Change-related Opportunities



When reducing our environmental impact, it is necessary to shift to a recycling-oriented model while anticipating business model reforms rather than being constrained to the existing business portfolio. In VISION 2030, instead of aiming for business growth reliant solely on higher product sales, we envisage a business expansion driven by the provision of value, such as the running of virtual communities and marathon events, and services for running analysis and diagnosis utilizing data accumulated from manufacturing. Using digital technologies, we will provide products and services tailored to each individual, minimizing resource use and extending product life.

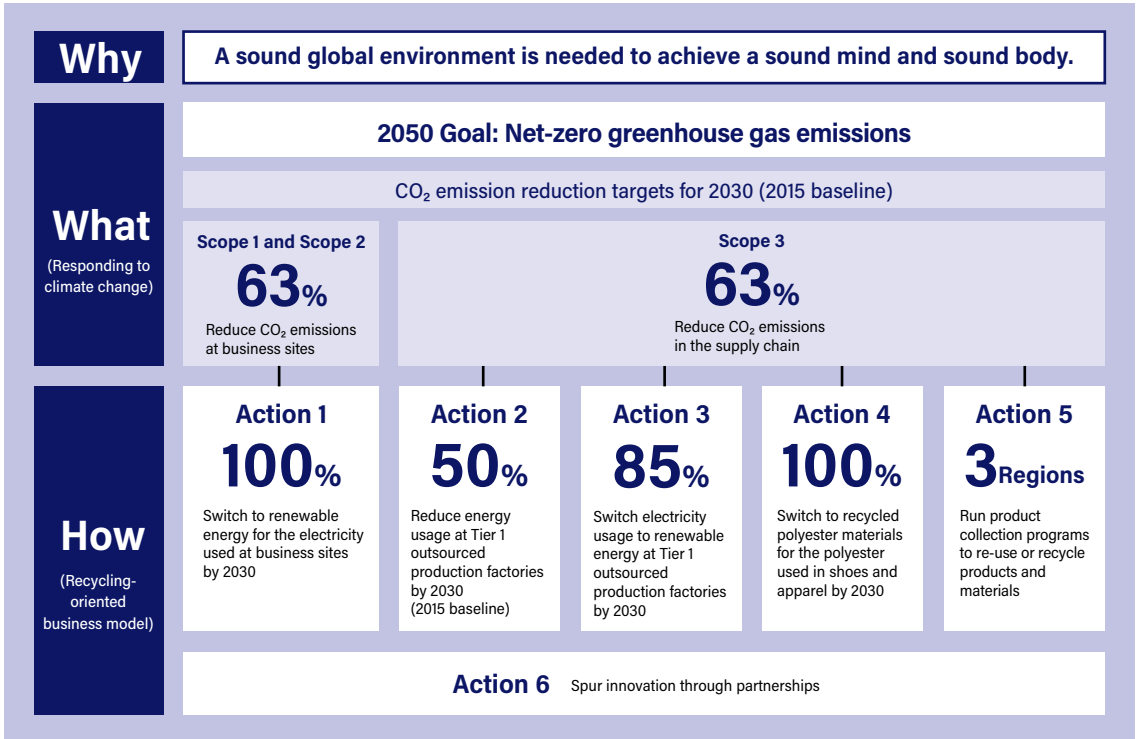
05 Promoting Reforms in the Entire Value Chain

In terms of products, over 90% of our new performance running shoe products use recycled materials, and we also develop shoes and apparel made from used clothing and textile waste. We are promoting recycling-oriented manufacturing and ultimately aim to use 100% recycled materials for polyester, a key material that goes into our products. In addition, we are taking on the challenge of boosting competitiveness by pursuing innovations that balance sustainability with functionality, enabling us to deliver products that are highly functional yet reduce the impact on the environment to customers. For example, our initiative to use the plant-derived next-generation functional material known as cellulose nanofiber for running shoes was recognized with the Selection Committee Special Award as part of the Japan Open Innovation Prize, and to date this material has been used in over 13.1 million pairs of shoes.

We have also set the goal of using 100% renewable energy for the electricity used at our business sites by 2030, and are part of the RE100 international environmental initiative.

From 2022, six of the business sites owned by ASICS in Japan switched to 100% renewable energy. Going forward, we will continue to switch to the use of renewable energy at our business sites and factories in each country, as well as across the supply chain.

Greenhouse Gas Emissions Reduction Targets



* The scope of coverage is "purchased goods and services" and "end-of-life treatment of sold products."

Management Message



Motoi Oyama
Chairman and Director
ASICS Corporation

By resolution of the 68th Ordinary General Meeting of Shareholders held on March 25, 2022 and the Board of Directors meeting held the same day, I stood down as CEO, Representative Director and Chairman, and assumed the role of Chairman and Director with no representation rights. Going forward, the executive management of ASICS will take place under the leadership of President, CEO, COO and Representative Director Yasuhito Hirota with the aim of further enhancing corporate value. I will continue to serve as Chairman and Director, fulfilling supervisory and auditing functions regarding the management of ASICS and working to further improve transparency in management activities.

“Sound Mind, Sound Body” is at the root of ASICS’ management

Our founder Kihachiro Onitsuka’s philosophy of Anima Sana in Corpore Sano (“a sound mind in a sound body”) is at the root of the growth and development ASICS has accomplished to date. The phrase is also the origin of the ASICS company name. I joined the company in 1982, but it was only in 2007 that approval from Onitsuka was obtained to express ASICS’ desire to contribute to the physical and mental wellbeing of people through sports as “Sound Mind, Sound Body” and start using it as a tag. Even today I have a powerful recollection of how favorably that was accepted by athletes at the time, with remarks like, “so that’s the meaning behind ASICS” and “being healthy is good, isn’t it?” Today, this “Sound Mind, Sound Body” phrase has spread globally as the brand tag line of ASICS, but the sentiment behind is consistent with the founding belief of the modern Olympics, that healthy bodies and sound minds among young people is what promotes the development of society.

Management
Message

At the Tokyo 2020 Games held in 2021, ASICS provided sportswear, sports shoes and equipment to event officials, some 110,000 volunteers and some athletes as the sole Gold Partner in the sporting goods category. By a curious coincidence, when the previous Tokyo Olympics were held in 1964, I had the experience of running to accompany the Olympic flame torchbearer in Ishikawa Prefecture. I still vividly remember the white smoke that flowed from the torch and covered me as a junior high school student at the time, and I had no idea that 57 years later, I would be deeply involved with the Tokyo 2020 Games as a member of a Gold Partner company. The Tokyo Olympics was fraught with twists and turns, being postponed a year due to the COVID-19 pandemic and eventually being held without spectators, but I am proud of how ASICS' industrial strength managed to fulfill its production and supply responsibilities even under those trying circumstances. We received positive feedback for our sustainable efforts to produce official sportswear by recycling memorable sportswear donated from people around the country. I am confident that through the Tokyo 2020 Games, the ASICS brand left a strong impression on viewers around the world.



Building more effective corporate governance

Having gained broad global recognition after the Tokyo 2020 Games, ASICS will continue to contribute to the “Sound Mind, Sound Body” of even more people based on the two strategies of digital technologies and sustainability. My future role will be to strengthen ASICS' sound mind and sound body as a corporate body. In 2020, ASICS transitioned to a company with an Audit and Supervisory Committee, aiming to clearly separate management oversight and execution and speed up decision making. Directors who are Audit and Supervisory Committee members were also given voting rights in an effort to increase management tension and strengthen oversight of the Board of Directors. While the Board of Directors is instrumental in corporate governance, it has evolved into a more advanced form, with outside directors accounting for a majority of board members and gender diversity being enhanced. In analyses and evaluations of the effectiveness of the Board of Directors that take place each year, scores have risen each year. Regarding barriers that stand in the way of ensuring even greater effectiveness, we aim to achieve ideal operation of the Board of Directors after sufficient discussion. We will properly fulfill our roles so that the company can continue to aim for swift and highly transparent management and achieve sustainable growth as a company that is better trusted by stakeholders. Thank you for your continued support.

Corporate Governance

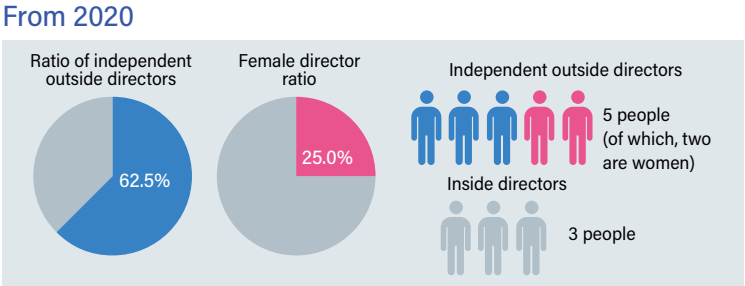
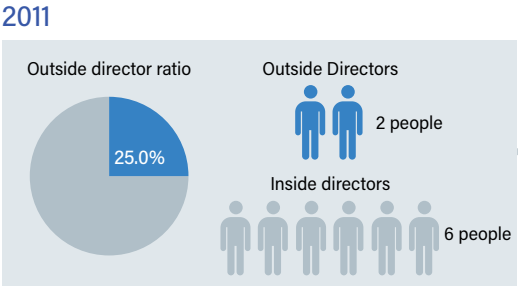
Basic Approach

By building strong relationships of trust with shareholders, customers, society, employees and other stakeholders based on the founding ASICS SPIRIT, we will achieve sustainable growth for the ASICS Group and aim to improve corporate value continually into the future. Additionally, under the common Group value of “Sound Mind, Sound Body” which epitomizes the founding spirit of ASICS, we aim to contribute to a sustainable society by continuing to provide attractive and sustainable products and services that are friendly to the global environment and delight customers. With this in mid, ASICS will develop corporate governance that is sound and highly transparent while enhancing management oversight and auditing functions, enhance internal control, and make every efforts to continually ensure thoroughly compliance and improve the transparency of management activities.

For details, please see the Corporate Governance Report.
https://corp.asics.com/en/investor_relations/management_policy/corporate_governance

Corporate Governance Enhancements

	Up to 2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Separation of Management Supervision and Execution	Introduced executive officer system (2010)									Transitioned to a company with an Audit and Supervisory Committee (2020)		Separated the roles of Chairman of the Board of Directors and CEO (2022)
Outside Directors	Introduced outside director system (2011)			Established standards for independent outside directors and independent outside corporate auditors (2014)				Formulated policy making at least one-third of directors independent outside directors (2018)		Formulated policy making the majority of directors independent outside directors (2020)		
Advisory Committee						Established Nomination and Compensation Committee (2016)			Changed to independent outside director as Chairman (2019)			
Board of Directors Management						Launched efficacy evaluations (2016)						
Officer Compensation	Introduced performance-linked compensation (2008)		Revised director compensation (2013) Introduced Share Remuneration-Type Share Options (2013)						Introduced restricted share compensation (2019)			
Basic Policies						Formulated Basic Policy on Corporate Governance (2016)						



ASICS Overview

Message from the CEO

Value Creation at ASICS

Special Feature

Sustainability

Message from the Chairman

Corporate Governance

Data Section

Corporate Governance System

In March, 2020, ASICS transitioned to a company with an Audit and Supervisory Committee to clarify the separation between management supervision and execution, and speed up decision-making. By making the majority of directors outside directors, we have increased management's sense of urgency and strengthened the supervisory function of the Board of Directors. As a result, we are striving to enhance corporate value over the medium to long term through effective corporate governance.

The Board of Directors consists of eight members, with five independent outside directors constituting the majority. Further, to clarify the management responsibilities of each director and create a management system able to quickly respond to changes in the business environment, the term of office for directors (excluding Audit and Supervisory Committee members) is one year, while the term of office for directors who are Audit and Supervisory Committee members is two years.

The Audit and Supervisory Committee shall consist of three members, the majority of whom are independent outside directors (2 people) to further enhance audit and supervisory functions.

Board of Directors

In light of our fiduciary responsibilities and accountability to shareholders, the ASICS Board of Directors focuses mainly on supervising business execution to realize sustainable growth and enhance corporate value over the medium to long term. The Board of Directors shall consist of a majority of independent outside directors.

Audit and Supervisory Committee

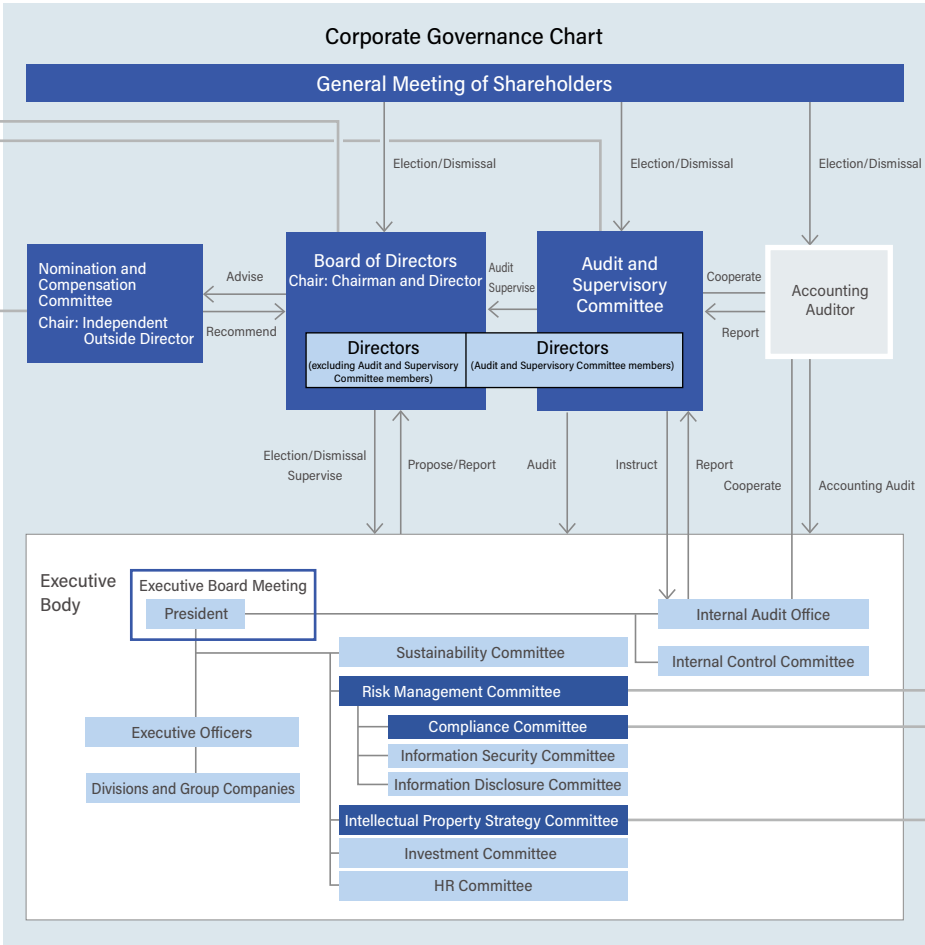
Taking into account fiduciary responsibilities to shareholders, the Audit and Supervisory Committee fulfills the following roles from an independent and objective standpoint:

- (1) Audit and supervision of the execution of duties by the Board of Directors and executive officers
- (2) Determination of opinions regarding the nominations and dismissals and compensation of directors other than Audit and Supervisory Committee members
- (3) Determination of the details of proposals concerning the selection, dismissal and non-reappointment of accounting auditors
- (4) Exercise of authority related to auditor compensation

Nomination and Compensation Committee

ASICS established a Nomination and Compensation Committee to ensure fairness and transparency in the nomination of directors and executive officers and the determination of compensation. The majority of Nomination and Compensation Committee members are independent outside directors, with the chairperson selected from among independent outside directors by a resolution of the Nomination and Compensation Committee.

The Board of Directors resolves the nomination and compensation of directors and executive officers, respecting the opinions of the Nomination and Compensation Committee.



Risk Management Committee

Based on risk management regulations, the ASICS Group established a Risk Management Committee and Risk Management Team chaired by the President. Please see P.46 for details.

Compliance Committee

The ASICS Group established a Compliance Committee that, in addition to comprehensive and cross-organizational compliance efforts, assists officers and employees ensure proper business practices and provides education and guidance through training. Further, the ASICS Group also established a global whistleblowing system independent of management. In the event an employee becomes aware of conduct that deviates from the ASICS Global Code of Conduct or other rules and regulations pertaining to compliance, upon receipt of the report the Compliance Committee promptly looks into and rectifies the situation.

Intellectual Property Strategy Committee

To enhance its corporate value, the ASICS Group utilizes intellectual property strategically through analysis using the IP landscape, and continues to practice so-called IP management that integrates intellectual property and management. To further promote this IP management, ASICS has established the Intellectual Property Strategy Committee as an advisory body under direct control of the President whose members include senior management (the top management of each department).

Risk Management

To realize Mid-Term Plan 2023, the ASICS Group has implemented a system for effectively handling external and internal risk factors that have the potential to influence the achievement of our objectives.

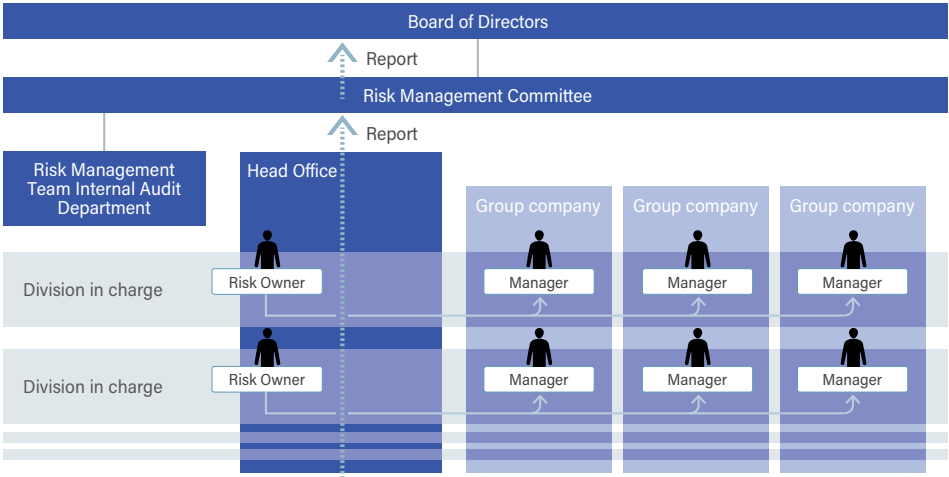
Risk Management System

To avoid crises and minimize losses when crises occur, the Risk Management Committee identifies risks requiring responses prioritized in accordance with business strategies, determines the Division in charge, and comprehensively manages risks. These activities are also reported to the Board of Directors twice annually. Risk Owners selected from each Division lead mitigation efforts pertaining to the risks in their remit and manage the progress of these efforts. The Risk Management Team works with the Internal Audit Department to monitor overall risk management and ensure its efficacy and appropriateness.

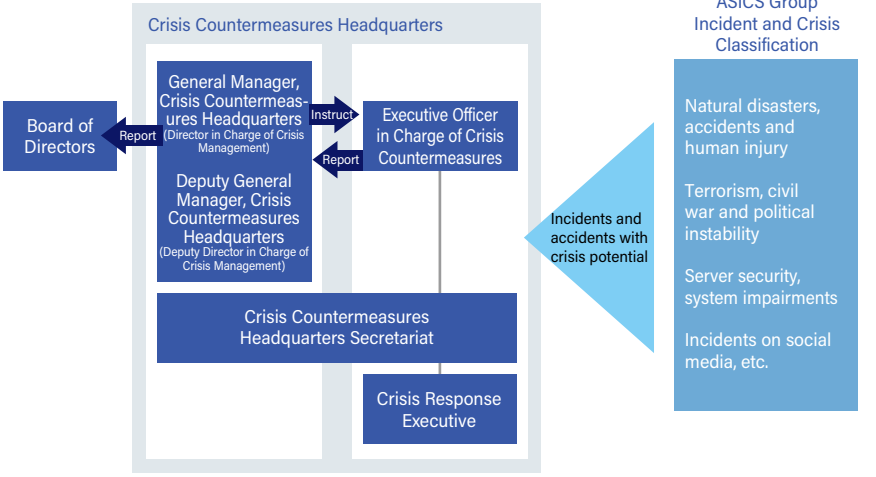
Crisis Management System

The ASICS Group appointed a Director in Charge of Crisis Management based on the Crisis Management Policy. When the Director in Charge of Crisis Management becomes aware of a potential or actual crisis, a report is promptly submitted to the Chairman and President via methods and channels stipulated in the aforementioned Rules, which also call for the establishment of a Crisis Response Headquarters in response to the severity of the crisis. Further, the Director in Charge of Crisis Management determines crisis countermeasure policies and communications strategies, oversees external negotiations and disclosure, and directs the implementation of countermeasures and improvements efforts.

Risk Management System



Crisis Management System



Major Risks and Response Measures

Major risks that the ASICS Group recognizes could have a significant impact on Group businesses, financial position, operating results or otherwise are as follows. The Risk Management Committee mitigates companywide risks, avoids crisis or minimizes damage when crises occur by periodically analyzing and assessing risks associated with management strategy and taking risk response measures.

Risks		Response Measures
Risks related to intellectual property	Adverse impact on product development and/or deterioration of corporate and/or brand image due to infringement of intellectual property rights	● Establish strategic management system to protect intellectual property rights ● Conduct intellectual property rights education for employees
Risks related to the handling of personal information	Leakage of customer and/or employee personal information and loss of credibility	● Submit Binding Corporate Rules to EU authorities for approval ● Establish thorough rules for and management of the handling of personal information ● Conduct personal information education for employees
Risks related to information security	Risks related to information security Suspension of sales operations and loss of credibility due to divulgence and/or leakage of personal information and/or trade secrets	● Establish an Information Security Committee and strengthen information security through a dedicated security team
Risks related to sustainability (human rights, environment)	Deterioration of corporate and brand image due to non-compliance with labor standards in the supply chain, delays in responding to climate change, or non-compliance with use of harmful or restricted chemical substances	● Promote decarbonization-oriented management ● Ensure thorough compliance with international labor standards at outsourced production factories ● Strengthen control of harmful or restricted chemical substances in products and manufacturing processes
Risks related to the supply chain	Risk of losing sales due to supply disruptions caused by natural or man-made disasters affecting the supply chain	● Purchase logistics insurance to mitigate property damage ● Formulate and execute a recovery plan in preparation for emergencies
Risk of fluctuations in raw material purchase prices	Sharp rise in product purchase prices due to significant fluctuations in international crude oil prices	● Diversify raw material producing regions ● Establish strategic production systems
Risk of fluctuations in product logistics costs	Sharp rise in transportation costs associated with significant fluctuations in international logistics prices	● Ensure stable prices and transportation capacity through global bidding based on cooperation with major sales companies ● Link production plans with shipping plans to improve container load rates
Risks associated with activities at overseas sites	Adverse impact on or suspension of business activities in overseas markets due to social turmoil associated with political unrest, the outbreak of war or terrorism	● Develop a risk management flow ● Conduct country-specific risk analyses (risk ratings) every six months and examine business continuity conditions in detail
Risk of violations of laws and regulations	Restrictions on business activities imposed as a result of legal, ethical or internal rule violations	● Ensure dissemination and thorough compliance with the ASICS Global Code of Conduct ● Establish internal systems of control

Promoting well-balanced discussions to enhance corporate value



Hitoshi Kashiwaki
Outside Director

ASICS has assembled a diverse range of members as its outside directors, from those experienced in corporate management to experts in legal matters and accounting. As a result, I feel that an extremely well-balanced management structure is in place. Similarly, Board of Directors meetings involve the monitoring of management and business, and also play host to lively discussions about major policies and strategy such as Mid-Term Plan 2023. Although I personally have experience in the area, it can be extremely difficult to properly manage the progress of a company's management plans. ASICS has also put structures in place on the business management side with the introduction of a category-based structure, and I believe that monitoring has also been improved, both in terms of accuracy and speed. Going forward, I think it will be necessary to develop new mechanisms to flexibly link business execution and oversight, such as having the Board of Directors swiftly deal with issues occurring on the execution side of the business.

With the revised Corporate Governance Code, there are heightened expectations of the role to be played by outside directors in management. At ASICS, functions to oversee management have been put in place. On the other hand, I also believe it is necessary to take part in in-depth discussions on business strategy. While finding a good balance so as not to become bogged down in each discussion topic can be difficult, I hope that we can engage in well-balanced discussions that respect guidelines and other concepts while keeping in mind ways to increase corporate value.

There is an appeal to the products and services ASICS offers to society, and the company has enhanced the production systems and human resources that support them. Considering those things, it is fair to say that ASICS is currently in a very good position. However, that is even more reason to not settle for the status quo, and I have hopes that ASICS will take on new initiatives that will surpass the value it has built to date.

Creating new value while solving social issues



Kazuo Sumi
Outside Director

In VISION 2030, ASICS envisages expanding its business in three areas: Products, Facilities & Communities, and Analysis & Diagnosis. Among these, Analytics & Diagnosis is an area in which ASICS can go beyond exercise and sports scenarios and make significant contributions to individual health in all aspects of daily life. These activities hold promise as initiatives to deal with an aging society and solve challenges such as preventive healthcare.

Additionally, to achieve VISION 2030, I believe it will be important to expand businesses oriented towards solving social issues by driving innovation, and by extension increase shareholder value. With regard to environment issues such as climate change, in addition to pursuing proper action to reduce the impact on the environment from our business activities, I think we can also see this issue as an opportunity to create new value. Younger generations in particular have a strong interest in these social issues, and this represents a chance to build new business models aimed at shaping a recycling-oriented society.

It is also a personal belief of mine that the foundation of a business is people. Improving employee satisfactions enables the production of high quality products. This by extension leads to customers satisfaction, ultimately resulting in improved shareholder return. ASICS periodically conducts employee engagement surveys on a global scale. Looking at the results, ASICS scores relatively low on items of "equal opportunity" and "career." As I believe there must be some reason for these results, I hope that ASICS will properly ascertain the current situation and then promote measures that will lead to improved job satisfaction and a better workplace environment.

Strengthening coordination in global governance



Makiko Yamamoto
Outside Director

In VISION 2030, ASICS indicated the desire to continue preserving its founding philosophy at its core. I believe having an unwavering philosophy as a company and having it firmly take root in each and every employee is the source of ASICS' strength.

I am in my third year as an outside director, and I regret that the COVID-19 pandemic has reduced the opportunities for direct interactions with global members that regularly took place before. In response, opportunities have been put in place to engage in casual discussions with the managers of each overseas region through web meetings. Through these dialogues I get the impression that people are tackling issues related to diversity and sustainability with an extremely high degree of awareness. Additionally, together with fellow outside director Suto, I have had the opportunity to engage with female employees who are part of the project for UNOHA, a fashion brand for women based on the concept of sustainability. Through those interactions I have seen how even young employees are proactively addressing these challenges with a high degree of sensitivity to sustainability. Global governance is also functional properly. There is smooth coordination between executive officers at the head office and overseas managers, and I get the sense that they are operating the businesses in their respective regions with a sense of trust. As my expertise lie in international legal affairs, when related matters come up in Board of Directors meetings, I make a point of verifying the action that should be taken going forward in light of anticipated future risks, and comment appropriately. I hope that going forward, there will be more opportunities to hear feedback directly from various levels of the organization in addition to management leaders, and I also look forward to the further strengthening of governance at the global level.

How do we increase our sensitivity as a board of directors?



Miwa Suto
Outside Director and Audit and Supervisory Committee Member

Broadly speaking, there are two elements to Mid-Term Plan 2023 which is currently underway. The first is an effort to further boost earnings capabilities to establish a strong management foundation. The second is to create challenges for reforms aimed at achieving VISION 2030. During discussions at Board of Directors meetings, I always speak with a balance between these two elements in mind. While it is of course important to look at management from a broad perspective, perspectives informed by what is going on in the field, such as customer contact points, are also crucial. If those factors are underestimated, our sensitivity as a Board of Directors may be less responsive. On that point, discussions at ASICS Board of Directors meetings are both in-depth and wide-ranging, and at times are so lively that we run out of time.

I also think oversight by outside directors functions adequately. Some have views on the limitations of monitoring boards in general, but in ASICS' case, there are extensive pre-briefings given by the executive side in Board of Directors meetings, and frank exchanges of opinions are already taking place at that stage. I am also a member of the Audit and Supervisory Committee, and in this capacity I interview the managers of each division, visit operating sites and research institutes, and try to identify issues by experiencing things in the field as much as possible. ASICS also has proper governance mechanisms in place, including internal controls, although it goes without saying that these need to be updated constantly. The key point is whether those efforts keep proper pace with the issues being encountered at the ground level. The key to ensuring that is two-way communication between management and those in the field, and that is something I hope to continually focus on. As an outside director I adopt an offensive posture in pushing for change, while as an Audit and Supervisory Committee member I am on the defensive in watching over management to guard against cracks. I will continue trying to strike a balance between these two attitudes.



The role of outside directors in the companywide PDCA cycle



Yasushi Yokoi

Outside Director and Audit and Supervisory Committee Member

I have been an outside director at ASICS for around three years, and over that time I have noticed that Board of Directors meetings feature extremely lively discussions. Outside directors such as myself leverage our backgrounds and experience to convey frank opinions. As outside directors we naturally play the role of overseeing the execution of operations, but we also take part in wide-ranging discussions that extend to management and business strategy, and I think we are headed in a very good direction.

I feel the same about Mid-Term Plan 2023 which is currently underway. Numerous “manifest meetings” in the divisions responsible for each category have taken place, and their contents are closely examined by the Board of Directors. ASICS’ business results for 2021 suggest that this PDCA cycle is working well. I also feel that the way ASICS, led by President Hirota, has steadfastly shared the founding philosophy of “Sound Mind in a Sound Body” is a major strength of the organization.

Together with the initiatives laid on in Mid-Term Plan 2023, ASICS’ global expansion will spread even farther. Of course, that will also lead to increasingly diverse risks overseas. Projects that will require individual consideration on a product or regional basis are also likely to increase. In the Audit and Supervisory Committee, we interview the managers of each category and other senior staff. We will strive to strengthen global governance by thoroughly implementing three-way audits driven by coordination between the accounting auditors tasked with auditing overseas Group companies, the internal audit division and the Audit and Supervisory Committee. The same goes for the use of digital technologies being promoted in the Mid-Term Plan. We will ensure the thorough management of information security and strive to improve corporate value through effective governance.

Director and Executive Officer Specialization and Experience

The ASICS Group promotes diversity and inclusion globally with the aim of realizing truly better lifestyles for people through the respect and elevation of diversity.

In terms of sustainable corporate growth, ensuring diversity, even among Board of Directors and Executive Board Meeting members, will lead to better management decisions. The specializations and experience of directors and executive officers with roles are as follows.

Directors

Name	Position	Specialization and Experience			
		Corporate management	Financial accounting	Law	International affairs
Motoi Oyama	Chairman and Director	●	●		●
Yasuhito Hirota	President, CEO, COO and Representative Director	●			●
Hitoshi Kashiwaki	Outside Directors	●	●		
Kazuo Sumi	Outside Directors	●			
Makiko Yamamoto	Outside Directors			●	●
Noriatsu Yoshimi	Director (Audit and Supervisory Committee Member)		●		●
Miwa Suto	Outside Director (Audit and Supervisory Committee Member)		●		
Yasushi Yokoi	Outside Director (Audit and Supervisory Committee Member)		●		

Executive Officers with Roles

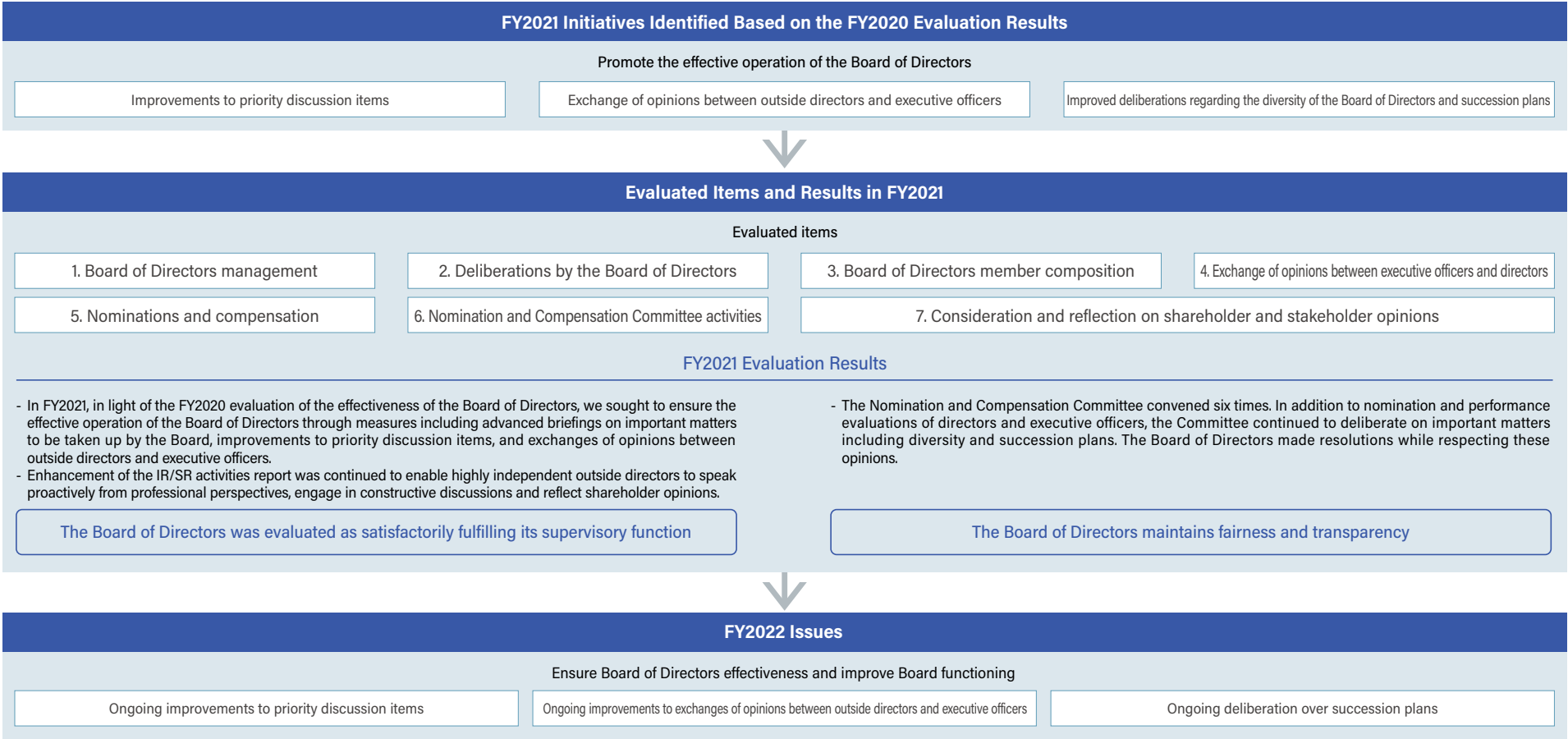
Name	Position	Specialization and Experience			
		Products	Marketing and sales	Digital	International affairs
Tsuyoshi Nishiwaki	Managing Executive Officer	●			●
Shinji Senda	Managing Executive Officer	●			●
Ryoji Shoda	Managing Executive Officer	●	●		
Mitsuyuki Tominaga	Managing Executive Officer			●	●
Koichiro Kodama	Managing Executive Officer		●		●
Tomoko Koda	Managing Executive Officer		●		

Evaluating the Effectiveness of the Board of Directors



Evaluating the Effectiveness of the Board of Directors

To further improve the effectiveness and functioning of the Board of Directors, ASICS provides directors with surveys (self-evaluations) to analyze and evaluate the effectiveness of the Board of Directors. Survey results are reported to the Board of Directors for in-depth discussion as points for improvement in the upcoming fiscal year, forming a PDCA cycle.



Officer Compensation



Basic Policy Regarding Director (excluding Audit and Supervisory Committee Members) and Executive Officer Compensation

To establish a compensation system that incentivizes sustainable growth and enhanced corporate value, the Board of Directors discusses the details of individual compensation under a basic policy of fairness and transparency in resolutions respecting the opinions of the Nomination and Compensation Committee.

Compensation comprises basic compensation, performance-linked bonuses and restricted share compensation, with the overall level of compensation set appropriately with consideration for market standards. The proportion of performance-linked bonuses and restricted share compensation increases with higher degrees of contribution to performance in accordance with role and responsibilities. Compensation details are as follows.

Executive Officer Compensation (assuming 100% target achievement)

	Basic Compensation	Performance-Linked Bonuses	Restricted Share Compensation
President	41%	35%	24%
Managing Executive Officer	49%	32%	19%
Executive Officers	59%	26%	15%

Basic compensation (single year)

Determined on basis of compensation ranges set for each grade, with consideration for market prices and inflation.

Performance-linked bonus (single year)

Purpose

To provide an incentive for promoting the achievement of annual and mid-term plans.

Overview

- Quantitative evaluation: Individual performance indicators (operating income ratio, net sales)
- Qualitative evaluation: Rate of achievement for individual targets

* Performance-linked bonuses are withheld if the quantitative target achievement rate is below standards set by the Board of Directors.

Restricted share compensation (medium to long term)

Purpose

To provide an incentive for sharing profits with shareholders, driving sustainable growth and enhancing corporate value.

Overview

- Provided in accordance with the degree to which performance targets (operating income ratio, net sales, ROA) are achieved.
- Share allotments capped at performance target upper limit (150%) cannot be transferred during a three-year transfer-restriction period.
- The degree to which single-year performance targets are achieved will determine the number of shares that can actually be acquired after the transfer-restriction period expires.

* If the target achievement rate falls below a certain level, the company will acquire all shares.

Nomination and Compensation Committee Composition and Activities Status

The Nomination and Compensation Committee composition and 2021 activities status are as follows. The chairperson is selected from among independent outside directors by a resolution of the Nomination and Compensation Committee.

Member composition

Independent outside directors 5 people

Hitoshi Kashiwaki (Chairperson)
Kazuo Sumi
Makiko Yamamoto
Miwa Suto
Yasushi Yokoi

Inside directors 2 people

Chairman and Director Motoi Oyama
President, CEO, COO and Representative Director Yasuhito Hirota

* Job titles as of July 2022

Ratio of independent outside directors

(2021 activities status)

Meetings: 6 times

Major deliberation themes

- Director and executive officer FY2020 performance evaluations and performance-linked bonuses
- Director and executive officer FY2021 targets
- Director and executive officer candidate nominations

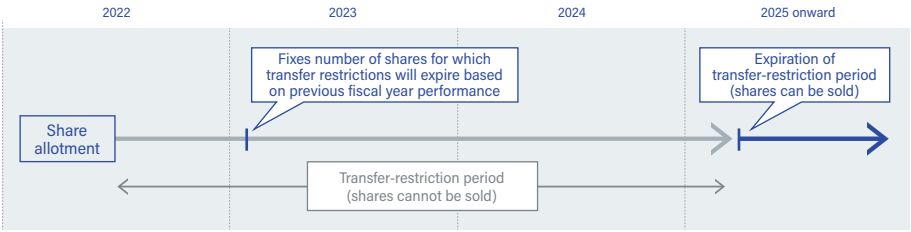
Review of the compensation system for directors and executive officers

Succession plan review

Restricted Share Compensation

Restricted share compensation is a stock-based compensation with a transfer-restriction period (three years for ASICS) during which allotted shares cannot be transferred. As this is incentive compensation intended to promote medium- to long-term performance improvements and higher share prices, ASICS expects officers receiving restricted share compensation will be motivated to strive for medium- to long-term performance improvements.

Overview from Share Allotment to Expiration of Transfer-Restriction Period



Directors and Executive Officers

(as of April 1, 2022)



Directors



Motoi Oyama
Chairman and Director
ASICS shareholdings: 186,820 shares
Board of Directors meeting attendance: 14/14 (100%)

April 1974 Joined Nissho Iwai Corporation (currently Sojitz Corporation) (Retired December 1981)
January 1982 Joined the Company
January 1997 General Manager of Walking Department, Footwear Division
July 2001 President and Chief Operating Officer of ASICS Europe B.V.
June 2004 Director, Senior General Manager of Marketing Division of the Company President and Chief Operating Officer of ASICS Europe B.V.
April 2005 Director in charge of Overseas, Senior General Manager of Marketing Division, General Manager of Marketing Department of the Company
Chairman & CEO of ASICS Europe B.V.
July 2006 Managing Director in charge of Overseas Affairs, Senior General Manager of Marketing Division of the Company
Chairman & CEO of ASICS Europe B.V.
August 2007 Managing Director in charge of Overseas and Corporate Strategy Department, Senior General Manager of Marketing Division of the Company
Chairman & CEO of ASICS Europe B.V.
April 2008 President and Representative Director of the Company
April 2011 President and CEO, Representative Director
March 2017 Chairman, President and CEO, Representative Director
March 2018 Chairman and CEO, Representative Director
March 2022 Chairman and Director (present)

Important concurrent positions outside the Company
Chairperson of the World Federation of the Sporting Goods Industry, Chairperson of the Association of Japan Sporting Goods Industries



Hitoshi Kashiwaki
Outside Directors
ASICS shareholdings: 9,324 shares
Board of Directors meeting attendance: 14/14 (100%)

April 1981 Joined Japan Recruit Center Co., Ltd. (currently Recruit Holdings Co., Ltd.)
April 1994 General Manager of Finance Department of Recruit Co., Ltd. (currently Recruit Holdings Co., Ltd.)
June 1997 Board Director
June 2001 Board Director and Managing Corporate Executive Officer
April 2003 Representative Director and Managing Corporate Executive Officer (COO)
June 2003 President, COO, and Representative Director
April 2004 President, CEO, and Representative Director
April 2012 Board Director (Retired June 2014)
December 2012 Outside Director, Member of the Board of Suntory Beverage & Food Limited (Retired March 2015)
August 2015 Advisor of the Company
March 2016 Outside Director of the Company (present)
May 2016 Outside Director of Matsuya Co., Ltd. (present)
June 2018 Outside Director of Tokyo Broadcasting System Holdings, Inc. (currently TBS Holdings Co., Ltd.) (present)
June 2019 Board Member of Japan Volleyball Association (Retired June 2021)
February 2021 Outside Director of Kewpie Corporation (present)

Important concurrent positions outside the Company
Outside Director of Matsuya Co., Ltd.
Outside Director of TBS Holdings, Inc.
Outside Director of Kewpie Corporation



Yasuhito Hirota
President, CEO, COO and Representative Director
ASICS shareholdings: 66,104 shares
Board of Directors meeting attendance: 14/14 (100%)

April 1980 Joined Mitsubishi Corporation
April 2010 Senior Vice President, General Manager of Corporate Administration Department
April 2011 Senior Vice President, Senior Assistant to Corporate Functional Officer, Corporate Communications, Corporate Administration, CSR & Environmental Affairs, Legal, Human Resources, General Manager of Corporate Administration Department
April 2014 Executive Vice President, Corporate Communications, Corporate Administration, CSR & Environmental Affairs, Legal, Human Resources
June 2014 Representative Director, Member of the Board, Executive Vice President, Corporate Communications, Corporate Administration, CSR & Environmental Affairs, Legal, Human Resources
April 2016 Representative Director, Member of the Board, Executive Vice President, Corporate Communications, Corporate Administration, CSR & Environmental Affairs, Legal, Human Resources, Chief Compliance Officer
April 2017 Representative Director, Member of the Board, Executive Vice President, Corporate Functional Officer, Geography Strategy for Japan, General Manager of Kansai Branch (Retired January 2018)
January 2018 Advisor of the Company
March 2018 President and COO, Representative Director
March 2022 President, CEO and COO, Representative Director (present)



Kazuo Sumi
Outside Directors
ASICS shareholdings: 7,036 shares
Board of Directors meeting attendance: 14/14 (100%)

April 1973 Joined Hankyu Corporation
June 2000 Director, General Manager of Railway Business Division
April 2002 Director, General Manager of Railway Business Division and General Manager of Control Division
June 2002 Managing Director, in charge of Railway Business Division and Control Division
June 2003 President and Representative Director
April 2005 President and Representative Director of Hankyu Holdings, Inc.
October 2006 President and Representative Director of Hankyu Hanshin Holdings, Inc.
October 2007 Director of H2O RETAILING CORPORATION (present)
March 2014 Chairman and Representative Director of Hankyu Corporation (present)
June 2017 Chairman and Representative Director, Group CEO of Hankyu Hanshin Holdings, Inc. (present)
March 2018 Outside Director of the Company (present)
May 2019 Director of TOHO CO., LTD. (present)
April 2020 Director of TOKYO RAKUTENCHI Co., Ltd. (present)

Important concurrent positions outside the Company
Chairman and Representative Director, Group CEO of Hankyu Hanshin Holdings, Inc.
Director of H2O RETAILING CORPORATION
Director of TOHO CO., LTD.
Director of TOKYO RAKUTENCHI Co., Ltd.



Makiko Yamamoto
Outside Directors
ASICS shareholdings: 1,106 shares
Board of Directors meeting attendance: 14/14 (100%)

July 1995 Joined TMI Associates
October 2000 Registered as attorney at law
September 2005 Simmons & Simmons LLP (London)
September 2006 TMI Associates
February 2012 Registered as Solicitor of England and Wales
June 2012 Simmons & Simmons LLP (London)
September 2014 TMI Associates
January 2016 Partner of TMI Associates (present)
June 2016 External Auditor of Starzen Co., Ltd. (Retired June 2020)
June 2018 Outside Director of SIGMAXYZ Inc. (currently SIGMAXYZ Holdings Inc.) (present)
June 2019 Outside Director (Audit & Supervisory Committee Member) of Musashi Seimitsu Industry Co., Ltd. (present)
February 2020 Partner of TMI Partners Legal Professional Corporation, Representative of TMI Associates Fukuoka Office (present)
March 2020 Outside Director of the Company (present)
September 2021 Outside Auditor of SUSMED, Inc. (present)

Important concurrent positions outside the Company
Attorney at Law (TMI Associates)
Outside Director of SIGMAXYZ Holdings Inc.
Outside Director (Audit & Supervisory Committee Member) of Musashi Seimitsu Industry Co., Ltd.
Outside Auditor of SUSMED, Inc.

Directors and Executive Officers

(as of April 1, 2022)



Directors



Noriatsu Yoshimi
Director (Audit and Supervisory Committee Member)

ASICS shareholdings: 10,832 shares
Board of Directors meeting attendance: 14/14 (100%)
Audit and Supervisory Committee meeting attendance: 17/17 (100%)

April 1983 Joined the Company
December 2005 Deputy General Manager, Jiang Su ASICS Co., Ltd.
October 2008 Deputy General Manager of Jiang Su ASICS Co., Ltd.; Deputy General Manager of ASICS Shanghai Trading Co., Ltd.

April 2010 General Manager of Internal Audit Office of the Company
January 2020 Assistant to General Manager of Internal Audit Office of the Company
March 2020 Director (Full-time Audit and Supervisory Committee Member) of the Company (present)



Miwa Suto
Outside Director (Audit and Supervisory Committee Member)

ASICS shareholdings: 401 shares
Board of Directors meeting attendance: 14/14 (100%)
Audit and Supervisory Committee meeting attendance: 17/17 (100%)

April 1988 Joined Hakuhodo Inc. (Retired April 1990)
October 1991 Joined Arthur Andersen (currently KPMG AZSA LLC) (Retired August 1996)
April 1995 Registered as certified public accountant
October 1996 Joined Schroder PTV Partners KK (currently MKS Partners Limited) (Retired October 1997)
November 1997 Joined Bain & Company
January 2001 Partner, Bain & Company (Retired March 2006)
April 2006 Established Planet Plan Co., Ltd., Representative Director (present)
April 2008 Project Professor, Graduate School of Media and Governance of Keio University (Retired March 2018)

May 2012 Outside Director, ZIGEXN Co., Ltd. (Retired June 2021)
June 2016 Outside Director (Audit and Supervisory Committee Member), A.D. Works Co., Ltd. (Retired June 2020)
June 2017 Board Member, Japan Volleyball Association (present)
March 2018 Outside Audit & Supervisory Board Member, ASICS Corporation (resigned March 2020)
April 2019 Project Professor, Graduate School of Media and Governance of Keio University (present)
March 2020 Outside Director (Audit and Supervisory Committee Member), ASICS Corporation (present)
June 2021 Outside Director, KATITAS Co., Ltd. (present)
June 2021 Board Member, Japanese Olympic Committee (Public Interest Incorporated Foundation) (present)

Important concurrent positions outside the Company
Certified public accountant
Representative Director, Planet Plan Co., Ltd.
Board Member, Japan Volleyball Association
Outside Director, KATITAS Co., Ltd.
Board Member, Japanese Olympic Committee (Public Interest Incorporated Foundation)



Yasushi Yokoi
Outside Director (Audit and Supervisory Committee Member)

ASICS shareholdings: 1,291 shares
Board of Directors meeting attendance: 14/14 (100%)
Audit and Supervisory Committee meeting attendance: 17/17 (100%)

November 1978 Joined Shinwa Audit Corporation (currently KPMG AZSA LLC)
March 1982 Registered as certified public accountant
May 2001 Representative Partner, Asahi & Co. (currently KPMG AZSA LLC)
July 2005 Director of Kansai Area Office of KPMG AZSA & Co. (currently KPMG AZSA LLC)
July 2007 Director of National Public Sector of KPMG AZSA & Co. (currently KPMG AZSA LLC)
July 2008 Director, KPMG AZSA LLC
July 2010 Director, General Manager of Osaka 2nd Business Division, KPMG AZSA LLC
July 2012 Senior Executive Board Member in charge of Diversity and General Manager of Nagoya Office, KPMG AZSA LLC

July 2017 Senior Executive Board Member, Head of Diversity and Head of Tokai Area, KPMG AZSA LLC (Retired June 2019)

July 2019 Established Yasushi Yokoi Certified Public Accountant Office
March 2020 Outside Director (Audit and Supervisory Committee Member), ASICS Corporation (present)
June 2021 Outside Audit & Supervisory Board Member, Iwatani Corporation (present)

Important concurrent positions outside the Company
Certified Public Accountant (Yasushi Yokoi Certified Accountant Office)
Outside Audit & Supervisory Board Member, Iwatani Corporation

Executive Officers

Yasuhito Hirota
President, CEO, COO and Representative Director

Ryoji Shoda
Managing Executive Officer, Head of Onitsuka Tiger Company
In charge: Onitsuka Tiger Company, Walking Division

Norio Takaoka
Executive Officers
Senior General Manager, Performance Running Footwear Division

Kenichi Harano
Senior General Manager, Institute of Sport Science

Koji Hayashi
Senior General Manager, Accounting and Finance Division and Director in charge of Corporate Strategy

Junji Kobayashi
President and Representative Director, ASICS Japan Corporation and Senior General Manager, Walking Division

Tsuyoshi Nishiwaki
Managing Executive Officer/Senior Managing Director, China Division
In charge: China Division

Mitsuyuki Tominaga
Managing Executive Officer/Senior General Manager, Digital Division, CDO and CIO CEO, ASICS Digital Inc.
In charge: Digital Division, Digital Alliance Promotion Department, ASICS Digital, Race Roster

Manabu Kuramoto
Senior General Manager, Core Performance Sports Footwear Division

Takaaki Kondo
Senior General Manager, Marketing Division

Akihiko Sadaka
Senior General Manager, Human Resources and General Affairs Division and Director in charge of Corporate Executive Office

Carsten Unbehaun
CEO, ASICS Europe B.V.

Shinji Senda
Managing Executive Officer
In charge: Institute of Sport Science, Performance Running Footwear Division, CPS Footwear Division, Sports Style Division, Apparel and Equipment Division, Footwear Production Division, Kits Products Department, UNOHA STUDIO, ASICS Sourcing (Vietnam) Co., Ltd.

Koichiro Kodama
Managing Executive Officer
In charge: Crisis Management, Geography Strategy Division, Business Promotion Division, Public Relations Department, Retail Promotion Department, Sales subsidiaries, ASICS Trading Co., Ltd., NISHI Athletic Goods Co., Ltd., Haglöfs

Tomoko Koda
In charge: Marketing Division, Sports Marketing Division

Atsushi Takatsuki
Senior General Manager, Apparel and Equipment Division

Yoshiyuki Murakami
President, ASICS Sourcing (Vietnam) Co., Ltd.

Yotaro Taguchi
Senior General Manager, Geography Strategy Division

Masaaki Koizumi
Senior General Manager, Business Promotion Division

Takeshi Horikomi
Senior General Manager, Legal & IP Division, Deputy Director in charge of Risk Management, and Director in charge of Sustainability Division

Go Suzuki
Senior General Manager, Sports Style Division

Hilda Chan
Managing Director, ASICS China Trading Co., Ltd.

Richard Sullivan
President & CEO, ASICS America Corporation

Financial Summary

(Million yen)	2012/3	2013/3	2014/3	2014/12	2015/12	2016/12	2017/12	2018/12	2019/12	2020/12	2021/12
Financial Data											
Net Sales	247,793	260,199	329,465	354,052	428,496	399,107	400,158	386,662	378,051	328,784	404,083
Overseas Net Sales Ratio	62.7%	63.9%	69.5%	80.5%	76.4%	74.6%	74.7%	74.0%	73.5%	76.7%	78.7%
Operating Income	19,629	18,663	26,516	30,467	27,449	25,473	19,571	10,516	10,634	- 3,954	21,949
Ordinary Income	19,702	20,526	26,999	34,302	22,533	23,408	21,738	8,763	10,101	- 6,923	22,166
Profit Attributable to Owners of the Parent	12,618	13,773	16,108	22,286	10,238	15,567	12,970	- 20,328	7,097	- 16,126	9,403
Capital Expenditures	4,206	4,781	10,252	9,270	10,578	9,910	12,663	8,000	10,795	8,404	9,415
Depreciation (after excluding R&D Expenses from 2018 onward)	4,940	4,904	6,034	6,288	7,819	8,354	9,363	9,589	12,582	12,568	13,201
R&D Expenses	813	772	804	2,120	3,195	3,677	4,430	4,501	4,530	4,642	4,911
Cash Flows from Operating Activities	10,240	14,296	6,393	10,720	18,301	37,971	37,137	11,049	14,792	19,331	49,146
Cash Flows from Investing Activities	- 3,563	- 8,056	- 13,735	- 9,845	- 8,707	- 14,046	- 13,789	- 5,467	- 12,186	- 9,634	- 10,168
Free Cash Flow	6,677	6,240	- 7,342	875	9,594	23,925	23,348	5,582	2,606	9,697	38,978
Total Dividends	2,275	2,275	3,227	4,461	4,461	4,461	4,461	4,529	5,555	4,393	4,392
Net Assets	115,315	138,078	159,567	201,941	199,883	201,207	201,302	166,829	152,323	126,764	146,538
Total Assets	212,344	244,725	317,528	355,837	343,468	342,812	348,232	304,461	316,115	333,181	345,774
Interest-Bearing Debt	37,878	39,374	73,664	75,003	68,486	67,908	61,689	57,388	80,599	122,999	110,474
Per Share Data											
Net Income per Share (yen)	66.55	72.65	84.96	117.40	53.93	82.01	68.33	- 107.59	37.91	- 88.17	51.38
Net Assets per Share	569.39	685.10	834.68	1,058.94	1,045.02	1,053.28	1,051.45	873.43	830.40	689.57	798.08
Annual Dividend per Share	12.00	12.00	17.00	23.50	23.50	23.50	23.50	24.00	30.00	24.00	24.00
Main Indexes											
Operating Income Ratio	7.9%	7.2%	8.0%	8.6%	6.4%	6.4%	4.9%	2.7%	2.8%	- 1.2%	5.4%
Return on Equity	12.2%	11.6%	11.2%	12.4%	5.1%	7.8%	6.5%	- 11.2%	4.5%	- 11.6%	6.9%
Return on Assets	6.1%	6.0%	5.7%	6.6%	2.9%	4.5%	3.8%	- 6.2%	2.3%	- 5.0%	2.8%
Shareholders' Equity Ratio	50.8%	53.1%	49.9%	56.5%	57.8%	58.3%	57.3%	54.1%	48.0%	37.9%	42.2%
Dividend Payout Ratio (Consolidated)	18.0%	16.5%	20.0%	20.0%	43.6%	28.7%	34.4%	-	79.1%	-	46.7%
Total Shareholder Return							77.9%	62.2%	81.1%	89.1%	114.6%
Price Earnings Ratio	14.1	21.7	23.9	24.7	46.8	28.5	26.3	-	47.9	-	49.6
Net Asset Dividend Rate (Consolidated)	2.2%	1.9%	2.2%	2.5%	2.2%	2.2%	2.2%	2.5%	3.5%	3.2%	3.2%
Other Indexes											
Number of Consolidated Subsidiaries	54	51	53	51	49	54	57	54	59	62	64
Number of Consolidated Employees	5,906	5,937	6,585	7,484	7,263	7,864	8,586	8,823	9,039	8,904	8,861
Consolidated Sales EC Ratio						2.2%	2.4%	4.1%	7.4%	15.7%	15.8%

* The fiscal period ended December 31, 2014 was a transitional year. This period was nine months (April to December 2014) for ASICS Corporation and its consolidated subsidiaries in Japan. The period was 12 months (January to December 2014) for consolidated subsidiaries overseas.

ASICS Overview

Message from the CEO

Value Creation at ASICS

Special Feature

Sustainability

Message from the Chairman

Corporate Governance

Data Section

Non-Financial Summary ▶ Please check our Sustainability Report for details.

		2015/12	2016/12	2017/12	2018/12	2019/12	2020/12	2021/12
Environment								
CO ₂ emissions								
	Scope 1+2 CO ₂ emissions (t-CO ₂)	30,858	28,076	25,444	24,905	25,988	23,134	22,209 ^{*1}
	Scope 3 CO ₂ emissions (t-CO ₂)	830,275	772,195	758,262	755,436	769,504	589,390	684,313
	CO ₂ emission reduction rate in direct operations (%) (2015 baseline)	-	9.0	17.5	19.3	15.8	25.0	28.0
	CO ₂ emission reduction rate in the supply chain (%) (2015 baseline) ^{*2}	-	9.7	12.4	10.3	9.8	30.8	19.7
	Percentage of electricity from renewable sources in direct operations (%)	9.7	7.3	14.9	21.1	21.3	23.5	23.0
	Scope 1+2 CO ₂ emission intensity (per million yen of sales) (t-CO ₂)	0.072	0.070	0.064	0.064	0.069	0.070	0.055
Raw materials, waste								
	Recycled materials ratio of polyester materials for shoes and sportswear (%)	-	-	-	-	-	19.5	over 30
	Amount of landfill waste per pair of shoes at footwear Tier 1 factories (kg/pair)	0.021	0.032	0.031	0.033	0.032	0.019	0.008
Water								
	Water consumption per pair of shoes at footwear Tier 1 factories (m ³ /pair)	0.034	0.030	0.030	0.028	0.031	0.027	0.024
Social								
Mental and physical health	Number of OneASICSTM members (ten thousands)	-	10	32	72	200	394	580
	Amount of community contributions and donations in kind (US\$)	1,169,399	1,995,217	774,138	550,541	502,195	673,262	409,897
Our people	Number of employees (persons)	7,263	7,864	8,586	8,823	9,039	8,904	8,861
	Ratio of females in manager and senior positions (%) ^{*3}	6.7	8.0	12.0	9.4	10.6	10.9	33.7
Supply chain	Percentage of Tier 1 supplier factories above ASICS standard (%)	93	88	88	91	95	98	100
	Number of participants in training for suppliers (persons)	205	198	103	89	103	Over 100	Over 100
	Number of factory audits	139	122	113	93	116	52	34
External ESG rating								
	Dow Jones Sustainability Asia/Pacific Index	Selection	Selection	Selection	Selection	Selection	Selection	Selection
	CDP climate change	B	B	B	B	B	A-	B
	CDP Supplier Engagement Leaderboard	-	-	-	-	Selection	Selection	Selection
	KnowTheChain (score)	-	-	-	41	-	-	49

^{*1} We have received a third-party assurance in the Sustainability Report 2021. For details, please refer to the Sustainability Report 2021.
^{*2} The scope of coverage is "purchased goods and services" and "end-of-life treatment of sold products."
^{*3} Scope of coverage is ASICS Corporation and ASICS Japan Corporation from 2015 to 2018, ASICS Corporation from 2019 to 2020, and ASICS Group from 2021 onwards

Consolidated Balance Sheet

ASICS Corporation and Consolidated Subsidiaries
December 31, 2021

ASSETS	Millions of yen		Thousands of U.S. dollars (Note 1)	
	2021	2020	2021	
Current assets:				
Cash and deposits (Notes 7 and 23)	¥ 96,298	¥ 81,470	\$ 837,374	
Notes and accounts receivable (Note 23) :				
Trade	50,135	50,898	435,957	
Less allowance for doubtful receivables	(2,472)	(1,924)	(21,496)	
Inventories (Note 9)	80,048	88,123	696,070	
Other current assets	19,125	17,246	166,304	
Total current assets	243,134	235,813	2,114,209	
Property, plant and equipment:				
Land	5,748	5,804	49,983	
Buildings and structures (Note 10)	36,057	36,111	313,539	
Machinery, equipment and vehicles (Note 10)	5,267	4,926	45,800	
Tools, furniture and fixtures (Note 10)	30,202	30,478	262,626	
Leased assets (Note 10)	7,443	7,089	64,722	
Construction in progress	675	179	5,870	
Less accumulated depreciation	(58,001)	(55,235)	(504,357)	
Property, plant and equipment, net (Note 28)	27,391	29,352	238,183	
Intangible assets:				
Goodwill (Note28)	2,856	2,463	24,835	
Software	8,422	6,316	73,235	
Right-of-use assets	23,961	25,091	208,357	
Other intangible assets	11,605	9,354	100,912	
Total intangible assets	46,844	43,224	407,339	
Investments and other assets:				
Investments in securities:				
Investments in unconsolidated subsidiaries and affiliates	156	156	1,357	
Other (Notes 8, 14 and 23)	10,129	9,015	88,078	
Long-term loans receivable	41	49	357	
Deferred tax assets (Note 21)	8,509	8,684	73,991	
Other assets (Note 10)	10,760	7,587	93,564	
Less allowance for doubtful receivables	(1,190)	(699)	(10,348)	
Total investments and other assets	28,405	24,792	246,999	
Total assets (Note 28)	¥ 345,774	¥ 333,181	\$ 3,006,730	

* There are some amount of difference between these consolidated financial statements and annual report due to the different treatment of rounding.

LIABILITIES AND NET ASSETS	Millions of yen		Thousands of U.S. dollars (Note 1)	
	2021	2020	2021	
Current liabilities:				
Short-term bank loans (Notes 11 and 23)	¥ 5,200	¥ 6,205	\$ 45,217	
Current portion of long-term debt (Notes 11 and 23)	8,173	27,904	71,069	
Notes and accounts payable: (Note 23)				
Trade	30,460	33,003	264,870	
Accrued income taxes (Note 21)	4,328	894	37,635	
Accrued expenses	25,500	19,198	221,739	
Provision for sales returns	277	285	2,409	
Provision for employees' bonuses	461	300	4,009	
Asset retirement obligations (Note 12)	74	69	643	
Other current liabilities	13,226	13,658	115,009	
Total current liabilities	87,699	101,516	762,600	
Long-term liabilities:				
Long-term debt (Notes 11 and 23)	97,101	88,891	844,357	
Liabilities for retirement benefits (Note 13)	7,330	6,968	63,739	
Asset retirement obligations (Note 12)	1,545	1,262	13,435	
Deferred tax liabilities (Note 21)	1,472	664	12,800	
Other long-term liabilities	4,089	7,116	35,556	
Total long-term liabilities	111,537	104,901	969,887	
Contingent liabilities (Note 14)				
Net assets:				
Shareholders' equity: (Note 15)				
Common stock:				
Authorized shares---790,000,000 shares at December 31, 2021 and 2020				
Issued shares---189,870,559 shares at December 31, 2021 and 2020	23,972	23,972	208,452	
Capital surplus	15,571	15,482	135,400	
Retained earnings (Note 29)	110,206	107,393	958,313	
Less treasury shares, at cost (6,829,533 shares at December 31, 2021 and 6,827,657 shares at December 31, 2020)	(10,018)	(10,345)	(87,113)	
Total shareholders' equity	139,731	136,502	1,215,052	
Accumulated other comprehensive income:				
Unrealized holding gain on securities	1,830	1,341	15,913	
Unrealized deferred gain (loss) on hedges (Note 24)	4,923	(3,395)	42,809	
Translation adjustments	(193)	(7,911)	(1,678)	
Retirement benefits liability adjustments (Note 13)	(211)	(315)	(1,835)	
Total accumulated other comprehensive income	6,349	(10,280)	55,209	
Stock acquisition rights (Note 15)	314	399	2,730	
Non-controlling interests	144	143	1,252	
Total net assets	146,538	126,764	1,274,243	
Total liabilities and net assets	¥ 345,774	¥ 333,181	\$ 3,006,730	

See accompanying notes to consolidated financial statements.

Consolidated Statement of Operations and Statement of Comprehensive Income (Loss)

ASICS Corporation and Consolidated Subsidiaries
Year ended December 31, 2021

	Millions of yen		Thousands of U.S. dollars (Note 1)
	2021	2020	2021
Net sales (Note 28)	¥ 404,083	¥ 328,784	\$ 3,513,765
Cost of sales	204,205	175,926	1,775,695
Gross profit	199,878	152,858	1,738,070
Selling, general and administrative expenses	177,932	156,812	1,547,235
Operating income (loss) (Note 28)	21,946	(3,954)	190,835
Other income (expenses):			
Interest and dividend income	614	597	5,339
Interest expense	(1,723)	(1,701)	(14,983)
Exchange gain (loss), net	398	(1,626)	3,461
Restricted stock expense	(180)	(84)	(1,565)
Gain on sales of investments in securities, net (Note 8)	61	73	530
Loss on sales or disposal of property, plant, equipment and other assets, net	(158)	(363)	(1,374)
Loss on impairment of investments in securities	(130)	(245)	(1,130)
Loss on impairment of property, plant and equipment (Note 10)	(1,997)	(3,587)	(17,365)
Extra retirement payments (Notes 13 and 17)	(107)	(585)	(930)
Loss on temporary closing of stores (Note 18)	(5,542)	(2,605)	(48,191)
Loss on the cancellation of lease contracts (Note 19)	(173)	(1,824)	(1,504)
Subsidy income	607	319	5,278
Gain on refund of PIS/COFINS for previous year	619	—	5,383
Other, net	(114)	(475)	(993)
	(7,825)	(12,106)	(68,044)
Profit (loss) before income taxes	14,121	(16,060)	122,791
Income taxes: (Note 21)			
Current	6,748	4,006	58,678
Refunded (Note 20)	—	(4,300)	—
Deferred	(2,007)	360	(17,452)
	4,741	66	41,226
Profit (loss)	9,380	(16,126)	81,565
Profit (loss) attributable to:			
Non-controlling interests	(23)	0	(200)
Owners of parent (Note 27)	¥ 9,403	¥ (16,126)	\$ 81,765

Consolidated Statement of Comprehensive Income

ASICS Corporation and Consolidated Subsidiaries
Year ended December 31, 2021

	Millions of yen		Thousands of U.S. dollars (Note 1)
	2021	2020	2021
Profit (loss)	¥ 9,380	¥ (16,126)	\$ 81,565
Other comprehensive income (loss): (Note 25)			
Unrealized holding gain (loss) on securities	489	(713)	4,253
Unrealized deferred gain (loss) on hedges	8,318	(6,833)	72,330
Translation adjustments	7,742	1,031	67,322
Retirement benefits liability adjustments (Note 13)	104	(8)	904
Total other comprehensive income (loss), net	16,653	(6,523)	144,809
Comprehensive income (loss)	¥ 26,033	¥ (22,649)	\$ 226,374
Comprehensive income (loss) attributable to:			
Owners of parent	¥ 26,032	¥ (22,651)	\$ 226,365
Non-controlling interests	1	2	9

See accompanying notes to consolidated financial statements.

Consolidated Statement of Changes in Net Assets

ASICS Corporation and Consolidated Subsidiaries
Year ended December 31, 2021

Millions of yen											
	Number of issued shares of common stock	Common stock	Capital surplus	Retained earnings	Treasury shares, at cost	Unrealized holding gain on securities	Unrealized deferred gain (loss) on hedges	Translation adjustments	Stock acquisition rights	Non-controlling interests	Total net assets
Balance at January 1, 2020	189,870,559	23,972	15,482	126,968	(10,960)	2,054	3,438	(8,941)	475	141	152,323
Transfer to capital surplus from retained earnings	—	—	161	(161)	—	—	—	—	—	—	—
Dividends	—	—	—	(3,288)	—	—	—	—	—	—	(3,288)
Profit (loss) attributable to owners of parent	—	—	—	(16,126)	—	—	—	—	—	—	(16,126)
Purchases of treasury shares	—	—	—	—	(2)	—	—	—	—	—	(2)
Disposal of treasury shares	—	—	(161)	—	617	—	—	—	—	—	456
Other changes	—	—	—	—	—	(713)	(6,833)	1,030	(76)	2	(6,599)
Balance at January 1, 2021	189,870,559	23,972	15,482	107,393	(10,345)	1,341	(3,395)	(7,911)	399	143	126,764
Dividends	—	—	—	(6,590)	—	—	—	—	—	—	(6,590)
Profit (loss) attributable to owners of parent	—	—	—	9,403	—	—	—	—	—	—	9,403
Purchases of treasury shares	—	—	—	—	(6)	—	—	—	—	—	(6)
Sales of treasury shares	—	—	89	—	333	—	—	—	—	—	422
Other changes	—	—	—	—	—	489	8,318	7,718	(85)	1	16,545
Balance at December 31, 2021	189,870,559	¥ 23,972	¥ 15,571	¥ 110,206	¥ (10,018)	¥ 1,830	¥ 4,923	¥ (193)	¥ 314	¥ 144	¥ 146,538

	Thousands of U.S. dollars (Note 1)											
	Common stock	Capital surplus	Retained earnings	Treasury shares, at cost	Unrealized holding gain on securities	Unrealized deferred gain (loss) on hedges	Translation adjustments	Stock acquisition rights	Non-controlling interests	Total net assets		
Balance at January 1, 2021	\$ 208,452	\$ 134,626	\$ 933,852	\$ (89,957)	\$ 11,661	\$ (29,522)	\$ (68,791)	\$ 3,470	\$ 1,243	\$ 1,102,295		
Dividends	—	—	(57,304)	—	—	—	—	—	—	(57,304)		
Profit (loss) attributable to owners of parent	—	—	81,765	—	—	—	—	—	—	81,765		
Purchases of treasury shares	—	—	—	(52)	—	—	—	—	—	(52)		
Disposal of treasury shares	—	774	—	2,896	—	—	—	—	—	3,670		
Other changes	—	—	—	—	4,252	72,331	67,113	(740)	9	143,869		
Balance at December 31, 2021	\$ 208,452	\$ 135,400	\$ 958,313	\$ (87,113)	\$ 15,913	\$ 42,809	\$ (1,678)	\$ 2,730	\$ 1,252	\$ 1,274,243		

See accompanying notes to consolidated financial statements.

Consolidated Statement of Cash Flows

ASICS Corporation and Consolidated Subsidiaries
Year ended December 31, 2021

	Millions of yen		Thousands of U.S. dollars (Note 1)
	2021	2020	2021
Operating activities:			
Profit (Loss) before income taxes	¥ 14,121	¥ (16,060)	\$ 122,791
Adjustments to reconcile profit (loss) before income taxes to net cash provided by operating activities:			
Depreciation and amortization	14,051	13,714	122,183
Loss on impairment of property, plant and equipment	1,997	3,587	17,365
Amortization of goodwill	296	270	2,574
Increase in allowance for doubtful receivables	912	475	7,930
Increase in liabilities for retirement benefits, net	399	402	3,470
Increase (decrease) in provision for employees' bonuses	137	(212)	1,191
Loss on impairment of investments in securities	130	245	1,130
Gain on sales of investments in securities, net	(61)	(73)	(530)
Interest and dividend income	(614)	(597)	(5,339)
Interest expense	1,723	1,701	14,983
Exchange (gain), net	(126)	(11)	(1,096)
Loss on sales or disposal of property, plant, equipment and other assets	158	363	1,374
Other, net	(823)	261	(7,157)
Decrease in operating assets:			
Notes and accounts receivable-trade	3,879	12,313	33,730
Inventories	12,943	4,235	112,548
Other operating assets	3,282	746	28,539
Increase (decrease) in operating liabilities:			
Notes and accounts payable-trade	(4,760)	2,422	(41,391)
Accrued consumption taxes	579	(1,050)	5,035
Other operating liabilities	5,458	1,896	47,461
Subtotal	53,681	24,627	466,791
Interest and dividends received	381	608	3,313
Interest paid	(1,713)	(1,665)	(14,896)
Business restructuring expenses paid	—	(677)	—
Income taxes refunded	—	697	—
Income taxes paid	(3,203)	(4,259)	(27,851)
Net cash provided by operating activities	49,146	19,331	427,357
Investing activities:			
Increase in time deposits	(71)	(2)	(617)
Proceeds from withdrawal of time deposits	170	232	1,478
Purchases of property, plant and equipment	(3,251)	(3,768)	(28,270)
Payments for disposal of property, plant and equipment	(55)	(296)	(478)
Proceeds from sales of property, plant and equipment	365	77	3,174
Purchases of intangible assets	(6,323)	(5,095)	(54,983)
Proceeds from sales of intangible assets	18	99	157
Purchases of investments in securities	(801)	(611)	(6,965)
Proceeds from sales and redemption of investments in securities	233	184	2,026
Proceeds from distribution of investment in partnerships	181	—	1,574
Purchase of shares of subsidiaries resulting in change in scope of consolidation	(209)	—	(1,817)
Net (increase) decrease in short-term loans receivable included in other current assets	(2)	6	(17)
Long-term loans receivable made	(7)	(8)	(61)
Collection of long-term loans receivable	16	10	139
Other, net	(432)	(462)	(3,757)
Net cash used in investing activities	(10,168)	(9,634)	(88,417)
Financing activities:			
Net (decrease) increase in short-term bank loans	(1,027)	33	(8,930)
Proceeds from long-term loans	—	2,500	—
Repayment of long-term loans	(15)	(134)	(130)
Proceeds from issuance of bonds	9,954	39,835	86,556
Redemption of bonds	(20,000)	—	(173,913)
Purchases of treasury shares	(6)	(2)	(52)
Proceeds from sales of treasury shares	0	0	0
Repayment of lease obligations	(8,285)	(7,600)	(72,044)
Cash dividends paid to shareholders of the Company	(6,590)	(3,294)	(57,304)
Dividends paid to non-controlling interests	(0)	(1)	0
Net cash (used in) provided by financing activities	(25,969)	31,337	(225,817)
Effect of exchange rate changes on cash and cash equivalents	1,793	1,455	15,590
Net increase in cash and cash equivalents	14,802	42,489	128,713
Cash and cash equivalents at beginning of year	80,474	37,985	699,774
Cash and cash equivalents at end of year (Note 7)	¥ 95,276	¥ 80,474	\$ 828,487

See accompanying notes to consolidated financial statements.

Notes to Consolidated Financial Statements

ASICS Corporation and Consolidated Subsidiaries
December 31, 2021

1. Basis of Preparation

The accompanying consolidated financial statements of ASICS Corporation (the “Company”) and consolidated subsidiaries are prepared on the basis of accounting principles generally accepted in Japan, which are different in certain respects as to the application and disclosure requirements of International Financial Reporting Standards, and are compiled from the consolidated financial statements prepared by the Company as required by the Financial Instruments and Exchange Act of Japan.

Certain reclassifications of previously reported amounts have been made to conform the consolidated financial statements for the year ended December 31, 2020 to the 2021 presentation. Such reclassifications had no effect on consolidated profit (loss) or net assets.

The U.S. dollar amounts in the accompanying consolidated financial statements have been translated from yen amounts solely for convenience, as a matter of arithmetic computation only, at ¥115 = U.S.\$1.00, the approximate rate of exchange prevailing on December 31, 2021. This translation should not be construed as a representation that yen amounts have been, could have been, or could in the future be, converted into U.S. dollars at the above or any other rate.

2. Summary of Significant Accounting Policies

(a) Principles of consolidation

The accompanying consolidated financial statements include the accounts of the Company, 64 and 60 significant companies for the years ended December 31, 2021 and 2020, respectively, which it controls directly or indirectly. All assets and liabilities of the consolidated subsidiaries are revalued on acquisition, if applicable. All significant intercompany transactions and accounts have been eliminated in consolidation.

Certain subsidiaries were excluded from the scope of consolidation because the effect of its sales, net profit or loss, total assets and retained earnings on the accompanying consolidated financial statements was immaterial.

Three subsidiaries were included in the scope of consolidation since these have been newly established, and two subsidiaries were included in the scope of consolidation through share acquisitions during the year ended December 31, 2021.

One Subsidiary was removed from the scope of consolidation as a result of the completion of liquidation proceedings for the year ended December 31, 2021.

(b) Foreign currency translation

All monetary assets and liabilities denominated in foreign currencies are translated into yen at the rates of exchange in effect at the balance sheet date and gain or loss on each translation is credited or charged to income. Revenue and expense items arising from transactions denominated in foreign currencies are generally translated into yen at the rates in effect at the respective transaction dates. Foreign exchange gain or loss is credited or charged to income in the period in which the gain or loss is recognized for financial reporting purposes.

The financial statements of the overseas consolidated subsidiaries are translated into yen at the rates of exchange in effect at the balance sheet date, except that the components of net assets excluding non-controlling interests are translated at their historical exchange rates.

(c) Cash and cash equivalents

For the purposes of the consolidated statement of cash flows, cash and cash equivalents consist of cash on hand, deposits with banks withdrawable on demand, and short-term investments which are readily convertible into cash subject to an insignificant risk of any change in their value and which were purchased with an original maturity of three months or less.

(d) Securities

Marketable securities classified as other securities are carried at fair value with any changes in unrealized holding gain or loss, net of the applicable income taxes, reported as a separate component of net assets. Cost of securities sold is determined by the moving-average method. Non-marketable equity securities classified as other securities are stated at cost determined by the moving-average method. Non-marketable debt securities classified as other securities are stated at net amortized cost.

Investments in limited liability partnerships and other similar partnerships, which are deemed to be securities under Article 2, Clause 2 of the Financial Instruments and Exchange Act of Japan, are valued at the amount of the underlying equity in their net assets based on the latest financial statements available as of the closing date stipulated in the partnership agreement.

(e) Inventories

Inventories are principally stated at the lower of cost or net realizable value, cost being determined by the moving-average method.

(f) Property, plant and equipment (except for leased assets under finance leases)

The Company and its domestic consolidated subsidiaries compute depreciation of property, plant and equipment by the declining-balance method over the estimated useful lives of the respective assets, except that the straight-line method is applied to buildings (other than structures attached to the buildings) acquired on or subsequent to April 1,

1998 and structures attached to the buildings and other structures acquired on or subsequent to April 1, 2016.

Overseas consolidated subsidiaries compute depreciation of property, plant and equipment by the straight-line method over the estimated useful lives of the respective assets.

Significant renewals and additions are capitalized at cost. Maintenance and repairs are charged to income as incurred.

The principal estimated useful lives used for calculating depreciation are as follows:

Buildings and structures	3 to 50 years
Machinery, equipment and vehicles	2 to 17 years
Tools, furniture and fixtures	2 to 20 years

(g) Intangible assets (except for leased assets under finance leases)

Expenditures relating to computer software developed for internal use are charged to income as incurred, unless the software is expected to contribute to the generation of future income or to cost savings, in which case such expenditures are capitalized as intangible assets and amortized by the straight-line method over their respective estimated useful lives, a period of ten years.

The Company and its consolidated subsidiaries have recorded intangible assets such as brand and customer base based on revaluation of assets acquired and liabilities assumed as a result of business combinations at fair value. Such intangible assets are amortized by the straight-line method over periods of 10 to 24 years.

(h) Leased assets

Finance leases under which ownership of the leased assets is not transferred to the lessees are depreciated using the straight-line method over the lease term with no residual value.

Finance leases under which ownership of the leased assets is transferred to the lessees are depreciated by the same methods used for owned fixed assets.

Right-of-use assets are depreciated using the straight-line method over the lease term.

(i) Goodwill

Goodwill is amortized by the straight-line method over the estimated period of benefit of no more than 20 years from the year of acquisition.

(j) Allowance for doubtful receivables

The Company and its domestic consolidated subsidiaries provide an allowance for doubtful receivables at an amount calculated based on their historical experience of bad debts on ordinary receivables plus an additional estimate of probable specific bad debts from customers experiencing financial difficulties.

The overseas consolidated subsidiaries provide an allowance for doubtful receivables at an amount calculated based on probable specific bad debts from their customers.

(k) Provision for sales returns

Provision for sales returns is provided for losses from sales returns at an amount calculated based on the historical experience of sales returns.

(l) Provision for employees' bonuses

Provision for employees' bonuses is provided at an expected payment amount of the bonuses to employees attributable to the fiscal year.

(m) Retirement benefits for employees

Liabilities for retirement benefits for employees are provided principally at an amount calculated based on the retirement benefit obligation and the fair value of the plan assets as of the balance sheet date.

The retirement benefit obligation is attributed to each period by the benefit formula method.

Actuarial gain or loss is amortized principally in the year following the year in which the gain or loss is incurred by the straight-line method over a period which falls within the estimated average remaining years of service of the eligible employees. Certain consolidated subsidiaries amortize actuarial gain or loss in the year in which the gain or loss is incurred by the straight-line method over a period which falls within the estimated average remaining years of service of the eligible employees.

Certain consolidated subsidiaries have calculated their retirement benefit obligation and retirement benefit expenses based on the amount which would be payable at the year end if all eligible employees terminated their services voluntarily (the "simplified method").

(n) Research and development costs

Research and development costs are charged to income as incurred.

(o) Income taxes

Deferred tax assets and liabilities are provided for temporary differences between the balances of assets and liabilities reported for financial reporting purposes and the corresponding balances for tax reporting purposes.

The Company and certain consolidated subsidiaries adopted the consolidated taxation system, which allows companies to file tax returns based on the combined profit or loss of a parent company and its subsidiaries.

(p) Derivatives and hedging activities

The Company and its consolidated subsidiaries ("Group") utilize derivatives of forward foreign exchange contracts and currency options to hedge the risk arising mainly from fluctuations in foreign currency exchange rates on import transactions denominated in foreign currencies and interest swaps to hedge the risk arising from fluctuations in interest rates on loans and bond issuing transactions.

Derivatives positions are carried at fair value with any changes in unrealized gain or loss charged or credited to income, except for those which meet the criteria for deferral hedge accounting under which unrealized gain or loss, net of the applicable income taxes, is deferred as a component of net assets. Receivables and payables hedged by qualified forward foreign exchange contracts are translated at the corresponding foreign exchange contract rates ("allocation method"). Interest-rate swaps which meet certain conditions are accounted for as if the interest rates applied to the swaps had originally applied to the underlying debt ("special treatment").

The hedge effectiveness of forward foreign exchange transactions is assessed by considering whether the transactions qualify based on past experience and the probability of the transaction occurring in the future. The hedge effectiveness of interest-rate swaps and currency options is assessed based on a comparison of the cumulative changes in cash flows of the hedged items and those of the hedging instruments in the period from the start of the hedging relationship to the assessment date. However, the assessment of hedge effectiveness is omitted if a high level of hedge effectiveness is identified based on the terms of the contracts.

(q) Distribution of retained earnings

Under the Corporation Law of Japan (the "Law"), the distribution of retained earnings with respect to a given financial period is made by resolution of the shareholders at a general meeting held subsequent to the close of the financial period. The accounts for that period do not, therefore, reflect such distributions. Refer to Note 29.

3. Significant Accounting Estimates

Recoverability of deferred tax assets

- (1) The components of deferred tax assets recorded in the consolidated financial statements as of December 31, 2021 are as follows:

	Millions of yen	Thousands of U.S. dollars
	2021	2021
Total amounts for the Group		
Gross deferred tax assets for future deductible temporary differences	¥ 27,963	\$ 243,156
Total valuation allowance	(15,220)	(132,348)
Deferred tax assets before offsetting against deferred tax liabilities	12,743	110,808
Deferred tax assets after offsetting against deferred tax liabilities	¥ 7,037	\$ 61,191
Portion attributable to the Company and its domestic consolidated subsidiaries applying the consolidated taxation system		
Gross deferred tax assets for future deductible temporary differences	¥ 14,550	\$ 126,522
Total valuation allowance	(8,094)	(70,383)
Deferred tax assets before offsetting against deferred tax liabilities	6,456	56,139
Deferred tax assets after offsetting against deferred tax liabilities	¥ 4,144	\$ 36,035

- (2) Information about significant accounting estimates for identified items

Deferred tax assets were estimated based on the timing and amount of taxable income under the future business plan. The business plan includes sales forecasts and cost control forecasts of selling, general and administrative expenses reflecting the current business environment and future outlook.

The Group has been financially affected as a result of limited business hours at certain of its own retail stores and customer stores, and a decrease in the number of retail customers due to voluntary compliance with restrictions on non-essential outings to prevent the spread of COVID-19.

While the impacts of the pandemic are continuing, the Group estimates that its operating results will essentially recover in the fiscal year ending December 31, 2023 and thereafter.

Since there are many uncertainties surrounding the impact of the COVID-19 pandemic on economic activities, if the estimates and timing of taxable income should change, it may significantly affect the amount of deferred tax assets recognized in the consolidated financial statements next year.

4. Changes in Method of Presentation

(Application of Accounting Standard for Disclosure of Accounting Estimates)

“Accounting Standard for Disclosure of Accounting Estimates” (Accounting Standards Board of Japan (“ASBJ”) Statement No. 31, March 31, 2020) has been applied in preparing the consolidated financial statements for current fiscal year. Accordingly, notes on significant accounting estimates are included in the consolidated financial statements. However, said notes do not include information related to the previous fiscal year in accordance with the transitional measures set forth in the provisions of Paragraph 11 of said Accounting Standard.

5. Application of Tax Effect Accounting for the Transition from Consolidated Taxation System to Group Tax Sharing System

Based on the treatment set forth under Paragraph 3 of “Practical Solution on the Treatment of Tax Effect Accounting for the Transition from the Consolidated Taxation System to Group Tax Sharing System” (Practical Issues Task Force (“PITF”) No.39, March 31, 2020), the Company and certain domestic consolidated subsidiaries do not implement the provisions of Paragraph 44 of “Implementation Guidance on Accounting Standard for Tax Effect Accounting” (ASBJ) Guidance No. 28, February 16, 2018) for items transitioned to the group tax sharing system as stipulated in the “Act on Partial Revision of the Income Tax Act, etc.” (Act No. 8 of 2020) and items that were revised under the non-consolidated taxation system in line with the transition to the group tax sharing system. The amounts of deferred tax assets and deferred tax liabilities are based on the provisions of the Tax Act prior to revisions.

6. Accounting Standards Issued but Not Yet Effective

(The Company and its domestic subsidiaries)

“Accounting Standard for Revenue Recognition” (ASBJ Statement No. 29, March 31, 2020)

“Implementation Guidance on Accounting Standard for Revenue Recognition” (ASBJ Guidance No. 30, March 26, 2021)

- (1) Overview

This is a comprehensive accounting standard for revenue recognition. Revenue is recognized by applying the following five steps.

- Step 1: Identify the contracts with a customer.
- Step 2: Identify the performance obligations in the contract.
- Step 3: Determine the transaction price.
- Step 4: Allocate the transaction price to the performance obligations in the contract.
- Step 5: Recognize revenue when (or as) the entity satisfies a performance obligation.

(2) Planned date of application

The Company and its domestic subsidiaries plan to apply the standard and implementation guidance from the beginning of the fiscal year ending December 31, 2022.

(3) Impact of applying the standard and implementation guidance

The impact of applying the standard and implementation guidance on the consolidated financial statements is being evaluated.

(Overseas subsidiaries)

“Leases” (Accounting Standard Update (“ASU”) 2016-02 in Generally Accepted Accounting Principles in the U.S. (“US GAAP”))

(1) Overview

The new accounting standard requires that lessees principally account for all leases on the balance sheet under a single model.

(2) Planned date of application

ASU 2016-02 will be applied from the fiscal year ending December 31, 2022.

(3) Impact of applying the standard

The impact of applying the standard on the consolidated financial statements is being evaluated.

7. Cash and Deposits

The balances of cash and deposits reflected in the accompanying consolidated balance sheets at December 31, 2021 and 2020 were reconciled to the balances of cash and cash equivalents in the accompanying consolidated statements of cash flows for the years ended December 31, 2021 and 2020 as follows:

	Millions of yen		Thousands of U.S. dollars
	2021	2020	2021
Cash and deposits	¥ 96,298	¥ 81,470	\$ 837,374
Time deposits with original maturities in excess of three months, included in cash and deposits	(1,022)	(996)	(8,887)
Cash and cash equivalents	¥ 95,276	¥ 80,474	\$ 828,487

8. Investments in Securities

Information regarding other securities with determinable market value at December 31, 2021 and 2020 is summarized as follows:

	Millions of yen						Thousands of U.S. dollars		
	2021			2020			2021		
	Carrying value	Acquisition costs	Difference	Carrying value	Acquisition costs	Difference	Carrying value	Acquisition costs	Difference
Securities whose carrying value exceeds their acquisition costs:									
Equity securities	¥ 6,790	¥ 4,224	¥ 2,566	¥ 5,539	¥ 3,460	¥ 2,079	\$ 59,043	\$ 36,730	\$ 22,313
Subtotal	6,790	4,224	2,566	5,539	3,460	2,079	59,043	36,730	22,313
Securities whose carrying value does not exceed their acquisition costs:									
Equity securities	551	621	(70)	1,404	1,524	(120)	4,791	5,400	(609)
Subtotal	551	621	(70)	1,404	1,524	(120)	4,791	5,400	(609)
Total	¥ 7,341	¥ 4,845	¥ 2,496	¥ 6,943	¥ 4,984	¥ 1,959	\$ 63,834	\$ 42,130	\$ 21,704

Unlisted equity securities (carrying value for the years ended December 31, 2021 and 2020 amounted to ¥1,074 million (\$9,339 thousand) and ¥760 million, respectively), unlisted debt securities (carrying value for the years ended December 31, 2021 and 2020 amounted to ¥120 million (\$1,043 thousand) and ¥120 million, respectively), investments in limited liability partnerships and others (carrying value for the years ended December 31, 2021 and 2020 amounted to ¥1,683 million (\$14,635 thousand) and ¥1,281 million, respectively) for which it is extremely difficult to determine the fair value are not included in the above table.

Information regarding sales of other securities for the years ended December 31, 2021 and 2020 is summarized as follows:

	Millions of yen		Thousands of U.S. dollars
	2021	2020	2021
Proceeds from sales	¥ 233	¥ 169	\$ 2,026
Gross realized gain	63	74	547
Gross realized loss	2	1	17

The Company has recognized loss on impairment of marketable securities classified as other securities in the amount of ¥130 million (\$1,130 thousand) and ¥194 million for the years ended December 31, 2021 and 2020 respectively. Impairment loss is recorded for the securities whose market value declines by 30% or more as compared with their acquisition costs.

9. Inventories

The following is a summary of inventories at December 31, 2021 and 2020:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2021	2020	2021
Merchandise and finished products	¥ 79,156	¥ 86,621	\$ 688,313
Work in process	297	358	2,583
Raw materials and supplies	595	1,144	5,174
	<u>¥ 80,048</u>	<u>¥ 88,123</u>	<u>\$ 696,070</u>

10. Loss on Impairment of Property, Plant and Equipment

The Group groups store assets by store, while assets intended for sale and idle assets individually. The assets are grouped by cash-generating units defined as the smallest identifiable group of assets generating cash inflows.

The Group has written down asset groups whose operating income has been continuously negative to their respective recoverable amounts and recorded related loss on impairment of property, plant and equipment. The recoverable amounts of asset groups are measured at the higher of their net selling value or value in use. The net selling value is based on estimated sales price. If the estimated sales price is zero, the entire book value is written off.

Value in use is measured as the sum of anticipated future cash flows discounted at rates of 7.6% to 14.9% and 7.2% to 13.5% for the years ended December 31, 2021 and 2020, respectively.

The details of loss on impairment of property, plant and equipment for the years ended December 31, 2021 and 2020 are as follows:

Use	Location	Classification	<i>Millions of yen</i>	<i>Thousands of U.S. dollars</i>
			2021	2021
Store assets	Japan, U.S. and Europe etc.	Buildings and structures, Machinery, equipment and vehicles, Leased assets etc.	¥ 1,877	\$ 16,322
Other	Japan etc.	Buildings and structures, Tools, furniture and fixtures etc.	120	1,043
Total			<u>¥ 1,997</u>	<u>\$ 17,365</u>
Use	Location	Classification	2020	
Store assets	Japan, U.S. and Europe etc.	Buildings and structures, Tools, furniture and fixtures, Leased assets etc.	¥ 3,315	
Other	Japan etc.	Buildings and structures, Tools, furniture and fixtures etc.	272	
Total			<u>¥ 3,587</u>	

11. Short-Term Bank Loans and Long-Term Debt

The average annual interest rates on short-term bank loans are 0.07% and 0.6% at December 31, 2021 and 2020, respectively.

Long-term debt at December 31, 2021 and 2020 consisted of the following:

	Millions of yen		Thousands of U.S. dollars
	2021	2020	2021
0.14% yen unsecured bonds issued through public offering, due 2021	¥ —	¥ 20,000	\$ —
0.20% yen unsecured bonds issued through public offering, due 2024	20,000	20,000	173,913
0.04% yen unsecured bonds issued through public offering, due 2023	15,000	15,000	130,435
0.22% yen unsecured bonds issued through public offering, due 2025	25,000	25,000	217,391
0.10% yen unsecured bonds issued through public offering, due 2026	10,000		86,957
Loans primarily from banks, due through 2025 at interest rates 0.3%	2,500	2,515	21,739
Lease obligations	32,774	34,280	284,991
	105,274	116,795	915,426
Current portion of long-term debt	(8,173)	(27,904)	(71,069)
	¥ 97,101	¥ 88,891	\$ 844,357

Information on the aggregate annual maturities of long-term debt subsequent to December 31, 2021 is presented in Note 23.

12. Asset Retirement Obligations

(a) Outline of asset retirement obligations

The Company and both domestic and overseas consolidated subsidiaries estimated the cost of restoration liabilities and other costs based on property lease agreements of certain domestic offices and retail stores and recognized them as asset retirement obligations. The Company and its domestic consolidated subsidiaries also estimated the disposal costs determined under the “Ordinance on Prevention of Asbestos Hazards.”

(b) Calculation method for asset retirement obligations

Asset retirement obligations are calculated by using an estimated useful life of 2 to 41 years from the acquisitions of leasehold improvements and discount rates from 0% to 5.7%.

(c) Changes in the balance of asset retirement obligations during the years ended December 31, 2021 and 2020 are summarized as follows:

	Millions of yen		Thousands of U.S. dollars
	2021	2020	2021
Balance at beginning of the year	¥ 1,330	¥ 1,345	\$ 11,565
Increase due to acquisition of property, plant and equipment	300	199	2,609
Accretion expense	21	21	183
Decrease due to settlement of asset retirement liabilities	(93)	(223)	(809)
Other	60	(12)	522
Balance at end of the year	¥ 1,618	¥ 1,330	\$ 14,070

13. Retirement Benefits

The Company and certain domestic consolidated subsidiaries have lump-sum payment plans, defined contribution pension plans or a smaller enterprise retirement allowance mutual aid plan.

Certain overseas consolidated subsidiaries adopted defined contribution pension plans or defined benefit plans.

Defined Benefit Plans

The changes in the retirement benefit obligations, except for plans accounted for by the simplified method, during the years ended December 31, 2021 and 2020 are as follows:

	Millions of yen		Thousands of U.S. dollars
	2021	2020	2021
Retirement benefit obligations at the beginning of the year	¥ 6,252	¥ 5,889	\$ 54,365
Service cost	684	670	5,948
Interest cost	56	53	487
Actuarial loss	(2)	(8)	(17)
Retirement benefits paid	(366)	(350)	(3,183)
Other	4	(2)	35
Retirement benefit obligations at the end of the year	¥ 6,628	¥ 6,252	\$ 57,635

The changes in liabilities for retirement benefits calculated by the simplified method during the years ended December 31, 2021 and 2020 are as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2021	2020	2021
Liabilities for retirement benefits at the beginning of the year	¥ 716	¥ 726	\$ 6,226
Retirement benefit expenses	65	65	565
Retirement benefits paid	(62)	(47)	(539)
Other	(17)	(28)	(148)
Liabilities for retirement benefits at the end of the year	¥ 702	¥ 716	\$ 6,104

The following table sets forth the funded status of the plans and the amounts recognized in the consolidated balance sheets as of December 31, 2021 and 2020 for the Company's and the consolidated subsidiaries' defined benefit plan:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2021	2020	2021
Funded retirement benefit obligations	¥ 6,807	¥ 6,483	\$ 59,191
Plan assets at fair value	(214)	(205)	(1,861)
	6,593	6,278	57,330
Unfunded retirement benefit obligations	737	690	6,409
Net liability for retirement benefits in the consolidated balance sheet	7,330	6,968	63,739
Liabilities for retirement benefits	7,330	6,968	63,739
Net liability for retirement benefits in the consolidated balance sheet	¥ 7,330	¥ 6,968	\$ 63,739

The components of retirement benefit expenses for the years ended December 31, 2021 and 2020 are as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2021	2020	2021
Service cost	¥ 684	¥ 670	\$ 5,948
Interest cost	56	53	487
Amortization of unrecognized actuarial loss	38	39	330
Net retirement benefit expenses calculated by the simplified method	65	65	565
Retirement benefit expenses	¥ 843	¥ 827	\$ 7,330

In addition the above, extra payments of ¥107 million (\$930 thousand) and ¥585 million were recorded as extra retirement payment for the year ended December 31, 2021 and 2020 respectively.

Actuarial gain included in other comprehensive income (before tax effects) for the years ended December 31, 2021 and 2020 is as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2021	2020	2021
Actuarial gain	¥ 39	¥ 48	\$ 339

Unrecognized actuarial loss included in accumulated other comprehensive income (before tax effects) as of December 31, 2021 and 2020 is as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2021	2020	2021
Unrecognized actuarial loss	¥ 275	¥ 314	\$ 2,391

As there were no plan assets as of December 31, 2021 and 2020 disclosure of fair value is omitted.

The assumptions used in accounting for the above retirement benefit plans for the years ended December 31, 2021 and 2020 are as follows:

	2021	2020
Discount rates	0.1% – 2.0%	0.1% – 2.0%

Defined Contribution Pension Plans

Total contributions paid by the Company and its consolidated subsidiaries to the defined contribution pension plans for the years ended December 31, 2021 and 2020 amounted to ¥1,139 million (\$9,904 thousand) and ¥1,124 million, respectively.

14. Contingent Liabilities

The assets pledged as collateral for a third-party's borrowings at December 31, 2021 and 2020 were as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2021	2020	2021
Investments and other assets:			
Investments in securities	¥ 320	¥ 320	\$ 2,783

15. Shareholders' Equity

The Law provides that an amount equal to 10% of the amount to be disbursed as distributions of capital surplus (other than the capital reserve) and retained earnings (other than the legal reserve) be transferred to the capital reserve and the legal reserve, respectively, until the sum of the capital reserve and the legal reserve equals 25% of the capital stock account. Such distributions can be made at any time by resolution of the shareholders or by the Board of Directors if certain conditions are met.

The Company's legal reserve included in retained earnings is nil at December 31, 2021 and 2020.

Movements in common stock and treasury stock for the years ended December 31, 2021 and 2020 are summarized as follows:

	Number of Shares			
	2021			
	January 1, 2021	Increase	Decrease	December 31, 2021
Shares issued:				
Common stock	189,870,559	–	–	189,870,559
Treasury stock:				
Treasury stock	6,827,657	233,080	231,204	6,829,533

The increase in treasury stock of 233,080 shares is due to acquisition at no cost of 230,394 shares related to restricted stock remuneration, and purchases of 2,686 shares of less than one voting unit.

The decrease in treasury stock of 231,204 shares is due to disposal of 180,874 shares for restricted stock remuneration, sales of 30 shares at the requests of shareholders who own less than one voting unit, and of 50,300 shares corresponding to exercising stock options for the year ended December 31, 2021.

	Number of Shares			
	2020			
	January 1, 2020	Increase	Decrease	December 31, 2020
Shares issued:				
Common stock	189,870,559	–	–	189,870,559
Treasury stock:				
Treasury stock	7,179,322	63,078	414,743	6,827,657

The increase in treasury stock of 63,078 shares is due to acquisition at no cost of 61,769 shares related to restricted stock remuneration, and purchases of 1,309 shares of less than one voting unit.

The decrease in treasury stock of 414,743 shares is due to disposal of 353,743 shares for restricted stock remuneration, sales of 100 shares at the requests of shareholders who own less than one voting unit, and of 60,900 shares corresponding to exercising stock options for the year ended December 31, 2020.

Stock option plans

Stock option costs included in selling, general and administrative expenses for the years ended December 31, 2021 and 2020 amounted to ¥295 million (\$2,565 thousand) and ¥165 million, respectively.

A description of the stock option plan (the “2018 plan”) is as follows:

Stock option plans		2018 plan
Date of approval at a meeting of the Board of Directors		April 20, 2018
Individuals covered by the plan	Directors other than outside directors	6
	Executive officers	12
	Directors of the Company's subsidiaries	4
	Employee of the Company's subsidiary	2

Type and number of shares to be issued upon the exercise of the stock options	2018 plan
Common stock	85,200
Grant date	May 18, 2018
Service period	Not defined
Exercise period	From May 19, 2021 to May 18, 2048

A description of the stock option plan (the “2017 plan”) is as follows:

Stock option plans		2017 plan
Date of approval at a meeting of the Board of Directors		April 26, 2017
Individuals covered by the plan	Directors other than outside directors	5
	Employees of the Company	6
	Directors of the Company's subsidiaries	4
	Employee of the Company's subsidiary	2

Type and number of shares to be issued upon the exercise of the stock options	2017 plan
Common stock	101,400
Grant date	May 29, 2017
Service period	Not defined
Exercise period	From May 30, 2020 to May 29, 2047

A description of the stock option plan (the “2016 plan”) is as follows:

Stock option plans		2016 plan
Date of approval at a meeting of the Board of Directors		April 22, 2016
Individuals covered by the plan	Directors other than outside directors	4
	Employees of the Company	7
	Directors of the Company’s subsidiaries	2
	Employees of the Company’s subsidiaries	3
Type and number of shares to be issued upon the exercise of the stock options		2016 plan
Common stock		85,900
Grant date		May 17, 2016
Service period		Not defined
Exercise period		From May 18, 2019 to May 17, 2046

A description of the stock option plan (the “2015 plan”) is as follows:

Stock option plans		2015 plan
Date of approval at a meeting of the Board of Directors		April 7, 2015
Individuals covered by the plan	Directors other than outside directors	5
	Employees of the Company	6
	Directors of the Company’s subsidiaries	3
	Employees of the Company’s subsidiaries	2
Type and number of shares to be issued upon the exercise of the stock options		2015 plan
Common stock		23,700
Grant date		May 12, 2015
Service period		Not defined
Exercise period		From May 13, 2018 to May 12, 2045

A description of the stock option plan (the “2014 plan”) is as follows:

Stock option plans		2014 plan
Date of approval at a meeting of the Board of Directors		July 18, 2014
Individuals covered by the plan	Directors other than outside directors	7
	Executive officers who are residents of Japan under the Income Tax Law of Japan	6
Type and number of shares to be issued upon the exercise of the stock options		2014 plan
Common stock		26,500
Grant date		August 8, 2014
Service period		Not defined
Exercise period		From August 9, 2017 to August 8, 2044

A description of the stock option plan (the “2013 plan”) is as follows:

Stock option plans		2013 plan
Date of approval at a meeting of the shareholders		June 21, 2013
Date of approval at a meeting of the Board of Directors		July 19, 2013
Individuals covered by the plan	Directors other than outside directors	7
	Executive officers who are residents of Japan under the Income Tax Law of Japan	5
Type and number of shares to be issued upon the exercise of the stock options		2013 plan
Common stock		37,200
Grant date		August 6, 2013
Service period		Not defined
Exercise period		From August 7, 2016 to August 6, 2043

Vesting conditions for the exercise of stock acquisition rights are as follows:

For the “2018 plan”, “2017 plan” and “2016 plan”

- 1) If the individuals to whom the stock acquisition rights are granted (the “Holders”) forfeit stock acquisition rights, the stock options cannot be exercised.
- 2) Other conditions are included in the contract entered into between the Company and the Holders.

For the “2015 plan”

If the Holders forfeit stock acquisition rights, the stock options cannot be exercised.

For the “2014 plan” and “2013 plan”

- 1) When the Holders cease to be a director or/and executive officer, the Holders can exercise the rights within five years following the date on which the Holders leave their positions with valid reasons as approved by the Company, such as the fulfillment of the service period.
- 2) If the Holders forfeit stock acquisition rights, the stock options cannot be exercised.
- 3) Other conditions are included in the contract entered into between the Company and the Holders.

The following table summarizes stock option activity under the stock option plans referred to above during the year ended December 31, 2021:

	2018 plan	2017 plan	2016 plan
Number of stock options			
Unvested:			
Outstanding at the end of prior fiscal period	82,200	—	—
Granted	—	—	—
Forfeited	—	—	—
Vested	82,200	—	—
Outstanding at the end of the fiscal period	—	—	—
Vested:			
Outstanding at the end of prior fiscal period	—	76,500	31,300
Vested	82,200	—	—
Exercised	21,300	12,200	11,300
Forfeited	—	—	—
Outstanding at the end of the fiscal period	60,900	64,300	20,000
	<i>Yen</i>		
Exercise price	¥ 1	¥ 1	¥ 1
Weighted average exercise price	¥ 2,595	¥ 2,443	¥ 2,425
Weighted average fair value per stock at the grant date	¥ 1,786	¥ 1,670	¥ 2,178
	<i>U.S. dollars</i>		
Exercise price	\$ 0.01	\$ 0.01	\$ 0.01
Weighted average exercise price	\$ 23	\$ 21	\$ 21
Weighted average fair value per stock at the grant date	\$ 16	\$ 15	\$ 19

	2015 plan	2014 plan	2013 plan
Number of stock options			
Unvested:			
Outstanding at the end of prior fiscal period	—	—	—
Granted	—	—	—
Forfeited	—	—	—
Vested	—	—	—
Outstanding at the end of the fiscal period	—	—	—
Vested:			
Outstanding at the end of prior fiscal period	9,600	7,500	5,200
Vested	—	—	—
Exercised	1,700	3,800	—
Forfeited	—	—	—
Outstanding at the end of the fiscal period	7,900	3,700	5,200
	<i>Yen</i>		
Exercise price	¥ 1	¥ 1	¥ 1
Weighted average exercise price	¥ 2,591	¥ 1,838	¥ —
Weighted average fair value per stock at the grant date	¥ 3,008	¥ 2,135	¥ 1,707
	<i>U.S. dollars</i>		
Exercise price	\$ 0.01	\$ 0.01	\$ 0.01
Weighted average exercise price	\$ 23	\$ 16	\$ —
Weighted average fair value per stock at the grant date	\$ 26	\$ 19	\$ 15

Valuation method for estimating fair value was not applicable.

Because it is difficult to reasonably estimate the number of stock options that will be forfeited in the future, the estimation reflects only the actual number of forfeited stock options.

Restricted Stock Plan

A description of the restricted stock plan (the “2021 plan”) is as follows:

Restricted stock plans		2021 plan
Individuals covered by the plan	Directors other than outside directors or the Audit and Supervisory Committee members	2
	Executive officers of the Company	18
Type, number of shares and other conditions		2021 plan
Number of shares of common stock		180,874
Grant date		May 14, 2021
Vesting period		From May 14, 2021 to May 14, 2024
Fair value per share		¥1,805 (\$15.70)

A description of the restricted stock plan (the “2020 plan”) is as follows:

Restricted stock plans		2020 plan
Individuals covered by the plan	Directors other than outside directors or the Audit and Supervisory Committee members	2
	Executive officers of the Company	18
Type, number of shares and other conditions		2020 plan
Number of shares of common stock		353,743
Grant date		May 15, 2020
Vesting period		From May 15, 2020 to May 15, 2023
Fair value per share		¥944 (\$8.21)

A description of the restricted stock plan (the “2019 plan”) is as follows:

Restricted stock plans		2019 plan
Individuals covered by the plan	Directors other than outside directors	6
	Executive officers of the Company	10
Type, number of shares and other conditions		2019 plan
Number of shares of common stock		177,512
Grant date		May 17, 2019
Vesting period		From May 17, 2019 to May 17, 2022
Fair value per share		¥1,354 (\$11.77)

Vesting conditions for the restricted stock are as follows:

The Company shall lift the transfer restriction for all or some portions of the allotted shares upon the expiration of the vesting period on the condition that covered persons to whom the restricted stock have been allotted remain in their positions as the Company’s directors, executive officers or employees during the vesting period.

However, in the event that such person leaves his or her position as the Company’s directors, executive officers or employees prior to the expiration date of the vesting period for reasons deemed justifiable by the Company’s Board of Directors, the Company shall lift the transfer restriction for a specified number of allotted shares on a pro rata basis according to the length of his or her service period until leaving the Company.

16. Research and Development Costs

Research and development costs included in selling, general and administrative expenses for the years ended December 31, 2021 and 2020 amounted to ¥4,911 million (\$42,704 thousand) and ¥4,642 million, respectively.

17. Extra Retirement Payments

Extra retirement payments in the consolidated statement of operations represent special severance payments associated with the rationalization of management of European subsidiaries.

Extra retirement payments for the years ended December 31, 2021 and 2020 amounted to ¥107 million (\$930 thousand) and ¥585 million, respectively.

18. Loss on Temporary Closing of Stores

Since certain stores could not operate due to the COVID-19, loss on temporary closing of stores of ¥5,542 million (\$48,191 thousand) was recognized in the consolidated statement of operations for the year ended December 31, 2021, which represents fixed costs (payroll, depreciation and amortization, etc.) of the stores and loss on furniture and fixtures that cannot be transferred to other stores and loss on inventories incurred during the closure period.

For the fiscal year ended December 31, 2020, the Company temporarily closed certain of its own retail stores in Japan, North America, Europe, etc., in response to the requests of governments due to the COVID-19 pandemic and as a measure to protect against the spread of infection.

Loss on temporary closing of stores of ¥2,605 million was recognized in the consolidated statement of operations for the years ended December 31, 2020, which represents fixed costs (payroll, depreciation and amortization, etc.) of own retail stores incurred during the closure period as losses resulting from temporary store closures.

The Company and certain subsidiaries have received subsidies related to COVID-19 in the amount of ¥194 million (\$1,687 thousand) and ¥470 million for the fiscal years ended December 31, 2021 and 2020, which were deducted directly from the loss on temporary closing of stores described above.

19. Loss on Cancellation of Lease Contracts

Loss on the cancellation of lease contracts of ¥173 million (\$1,504 thousand) in the consolidated statement of operations for the year ended December 31, 2021 represents cancellation fees and other costs incurred due to the closing of the own retail store.

Loss on the cancellation of lease contracts of ¥1,824 million in the consolidated statement of operations for the year ended December 31, 2020 represents cancellation fees and other costs incurred due to the closing of the flagship store in the U.S., and removal from the previous office.

20. Refund of Income Taxes

There was no refund of income taxes recognized for the fiscal year ended December 31, 2021.

Income taxes refunded of ¥4,300 million in the consolidated statement of operations for the year ended December 31, 2020 represents a tax refund recorded by the U.S. subsidiary as a result of the CARES Act enacted in the U.S.

21. Income Taxes

Income taxes applicable to the Company and its domestic consolidated subsidiaries consist of corporation, inhabitants' and enterprise taxes. The statutory tax rate in Japan for the year ended December 31, 2021 is, in the aggregate, approximately 30.6%. The effective tax rate reflected in the accompanying consolidated statement of operations for the year ended December 31, 2021 differed from the above statutory tax rate for the following reasons:

	<u>2021</u>
Statutory tax rate:	30.6%
Permanently non-deductible expenses	1.5
Permanently non-taxable income	(0.4)
Change in valuation allowance	8.0
Tax rate differences at overseas consolidated subsidiaries	(7.6)
Foreign withholding tax	1.3
Tax effect on retained earnings for foreign subsidiaries	2.1
Other	(1.9)
Effective tax rate	<u>33.6%</u>

The disclosure is omitted for the year ended December 31, 2020 as a net loss was recorded.

Deferred tax assets and liabilities reflect the net tax effect of the temporary differences between the carrying amounts of the assets and liabilities for financial reporting purposes and the corresponding amounts for income tax purposes. The significant components of the deferred tax assets and liabilities of the Company and consolidated subsidiaries at December 31, 2021 and 2020 are summarized as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	<u>2021</u>	<u>2020</u>	<u>2021</u>
Deferred tax assets:			
Inventories	¥ 820	¥ 830	\$ 7,130
Allowance for doubtful receivables	844	454	7,339
Provision for employees' bonuses	783	485	6,809
Liability for retirement benefits	2,354	2,173	20,470
Tax loss carry forwards *2	13,877	11,633	120,670
Loss on impairment of property, plant and equipment	2,133	2,428	18,548
Other	7,152	7,453	62,190
Gross deferred tax assets	<u>27,963</u>	<u>25,456</u>	<u>243,156</u>
Less valuation allowance for tax loss carryforwards *2	(9,691)	(9,098)	(84,270)
Less valuation allowance for temporary differences	(5,529)	(4,731)	(48,078)
Total valuation allowance *1	<u>(15,220)</u>	<u>(13,829)</u>	<u>(132,348)</u>
Total deferred tax assets	<u>12,743</u>	<u>11,627</u>	<u>110,808</u>
Deferred tax liabilities:			
Unrealized holding gain on securities	545	396	4,739
Valuation difference of consolidated subsidiaries	295	324	2,565
Unrealized deferred gain on hedges	2,211	110	19,226
Other	2,655	2,777	23,087
Total deferred tax liabilities	<u>5,706</u>	<u>3,607</u>	<u>49,617</u>
Net deferred tax assets	<u>¥ 7,037</u>	<u>¥ 8,020</u>	<u>\$ 61,191</u>

*1 Total valuation allowance increased by ¥1,391 million (\$12,096 thousand) in the fiscal year ended December 31, 2021. The main reason for the increase is due to the increase in the tax loss carryforwards.

*2 The expiration of tax loss carryforwards, the related valuation allowance and resulting net deferred tax assets as of December 31, 2021 and 2020 was as follows:

	Millions of yen						
	One year or less	After one year through two years	After two years through three years	After three years through four years	After four years through five years	After five years	Total
2021							
Deferred tax assets relating to tax loss carryforwards	¥ 175	¥ –	¥ 100	¥ 185	¥ 1,418	¥ 11,999	¥ 13,877
Less valuation allowance for tax loss carryforwards	(175)	–	(100)	(185)	(454)	(8,777)	(9,691)
Net deferred tax assets relating to tax loss carryforwards	¥ –	¥ –	¥ 0	¥ 0	¥ 964	¥ 3,222	¥ 4,186
	Millions of yen						
	One year or less	After one year through two years	After two years through three years	After three years through four years	After four years through five years	After five years	Total
2020							
Deferred tax assets relating to tax loss carryforwards	¥ –	¥ 175	¥ –	¥ 65	¥ 221	¥ 11,172	¥ 11,633
Less valuation allowance for tax loss carryforwards	–	(175)	–	(65)	(221)	(8,637)	(9,098)
Net deferred tax assets relating to tax loss carryforwards	¥ –	¥ 0	¥ –	¥ 0	¥ 0	¥ 2,535	¥ 2,535
	Thousands of U.S. dollars						
	One year or less	After one year through two years	After two years through three years	After three years through four years	After four years through five years	After five years	Total
2021							
Deferred tax assets relating to tax loss carryforwards	\$ 1,522	\$ –	\$ 870	\$ 1,609	\$ 12,330	\$ 104,339	\$ 120,670
Less valuation allowance for tax loss carryforwards	(1,522)	–	(870)	(1,609)	(3,947)	(76,322)	(84,270)
Net deferred tax assets relating to tax loss carryforwards	\$ –	\$ –	\$ 0	\$ 0	\$ 8,383	\$ 28,017	\$ 36,400

*3 The amount in the table above is determined by multiplying the corresponding tax loss carry forwards by the effective statutory tax rate.

*4 Certain portions of deferred tax assets are probable to be realized because future taxable income is expected.

22. Leases

Leased assets under finance lease transactions which transfer ownership to the lessee are software classified as intangible assets.

Leased assets under finance lease transactions which do not transfer ownership to the lessee mainly consist of land and buildings used as distribution centers classified as tangible assets and computer software classified as intangible assets.

The depreciation methods of leased assets are described in Note 2 “Summary of Significant Accounting Policies, (h) Leased Assets”.

Future minimum lease payments subsequent to December 31, 2021 under non-cancellable operating leases are summarized as follows:

	Millions of yen	Thousands of U.S. dollars
Year ending December 31, 2022	¥ 3,234	\$ 28,122
2023 and thereafter	12,276	106,748
	¥ 15,510	\$ 134,870

23. Financial Instruments

(a) Status of financial instruments

In consideration of plans for capital investment, the Group raises funds mainly by bank borrowings and bonds issuance. The Group manages temporary fund surpluses principally through liquid financial assets. Furthermore, the Group raises short-term working capital through bank borrowings. The Group uses derivatives for the purpose of reducing risk and does not enter into derivatives for speculative purposes.

Trade receivables, notes and accounts receivables, are exposed to credit risk in relation to customers. In addition, the Group is exposed to foreign currency exchange risk arising from trade receivables denominated in foreign currencies, and forward foreign currency exchange contracts and others are arranged to reduce the risk.

Marketable securities and investments in securities are exposed to market risk. Those securities are mainly composed of equity securities of companies with which the Group has business relationships.

Substantially all trade payables, trade notes and accounts payable, have payment due dates within four months. Although a portion of payables are exposed to foreign currency exchange risk arising from those payables denominated in foreign currencies, forward foreign currency exchange contracts and others are arranged to reduce the risk.

Loans, bonds and bonds with stock acquisition rights are taken out principally for the purpose of conducting business activities and making capital investments. The repayment dates of the long-term debt extend up to five years from the balance sheet date. Although a portion of the debt is exposed to interest rate fluctuation risk, the Group undertakes interest rate swap transactions as hedging instruments.

Regarding derivatives, the Group enters into forward foreign currency exchange contracts and others to reduce the foreign currency exchange risk mainly on the payables denominated in foreign currencies resulting from importing products within the actual demand for foreign currency exchange. The Group also enters into interest rate swap transactions to reduce future fluctuation risk deriving from interest rates of long-term

loans and bonds. Refer to “(p) Derivatives and hedging activities” in Note 2 “Summary of Significant Accounting Policies” for hedge accounting policies such as hedging instruments, hedged items, hedge policy and hedge effectiveness tests.

Regarding trade receivables, each related division monitors the credit worthiness of their main customers periodically, and monitors due dates and outstanding balances by customer. In addition, the Group is making efforts to identify at an early stage and mitigate risks of bad debt from customers who have financial difficulties.

In accordance with internal policies, “Policies of Global Financing Governance” and “Policies of Administrative Authority,” the Group only acquires debt securities held for investment purposes with high credit ratings. Accordingly, the Group believes that the credit risk deriving from such debt securities is immaterial.

The Group also believes that the credit risk of derivatives is insignificant as the Group enters into derivative transactions only with international financial institutions with sound credit profiles.

In conducting derivative transactions, the division in charge of each derivative transaction follows the internal policies, “Policies on Derivative Transactions,” “Policies of Global Financial Governance” and “Policies of Administrative Authority,” which set forth delegation of authority and segregation of duties related to derivative transactions. The Accounting and Financing Department conducts and manages derivative transactions and segregates duties of execution and management of transactions to separate personnel and management who are each responsible for transactions, positions and operations. Transaction data and other information are regularly reported to the executive board meeting by the responsible executive officer.

For investments in securities, the Group periodically reviews the fair value of such financial instruments and the financial position of the issuers. In addition, the Group continuously evaluates whether or not security investments should be maintained, taking into account their fair value and relationships with the issuers.

Transactions involving derivatives, marketable securities and investments in securities are executed at certain consolidated subsidiaries based on “Policies of Administrative Authority” and those transactions are overseen and reviewed by management departments of these subsidiaries.

Based on a report from each division, the Group prepares and updates its cash flow plans on a timely basis and maintains solvency to manage liquidity risk.

The fair value of financial instruments is based on their quoted market price, if available. When there is no quoted market price available, fair value is reasonably estimated. Since various assumptions and factors are reflected in estimating the fair value, different assumptions and factors could result in a different fair value. In addition, the notional principal amounts of derivative transactions in Note 24 “Derivatives and Hedging Activities” are not necessarily indicative of the actual market risk.

(b) Estimated Fair Value of Financial Instruments

Carrying value, estimated fair value and the difference between them for financial instruments on the consolidated balance sheets as of December 31, 2021 and 2020 are shown in the following table. The table does not include financial instruments for which it is extremely difficult to determine the fair value. For more information, refer to “Carrying value of financial instruments for which it is extremely difficult to determine the fair value.”

	Millions of yen			Thousands of U.S. dollars		
	2021					
	Carrying value	Fair value	Difference	Carrying value	Fair value	Difference
Assets:						
Cash and deposits	¥ 96,298	¥ 96,298	¥ –	\$ 837,374	\$ 837,374	\$ –
Notes and accounts receivable-trade	50,135			435,957		
Less allowance for doubtful receivables (*1)	(2,472)			(21,496)		
	47,663	47,663	–	414,461	414,461	–
Short-term investments and investments in securities:						
Other investment securities	7,341	7,341	–	63,835	63,835	–
Total assets	¥ 151,302	¥ 151,302	¥ –	\$ 1,315,670	\$ 1,315,670	\$ –
Liabilities:						
Notes and accounts payable-trade	¥ 30,460	¥ 30,460	¥ –	\$ 264,870	\$ 264,870	\$ –
Short-term bank loans	5,200	5,200	–	45,217	45,217	–
Current portion of lease obligations	8,173	8,173	–	71,069	71,069	–
Bonds included in long-term debt	70,000	69,869	(131)	608,696	607,557	(1,139)
Long-term loans included in long-term debt	2,500	2,500	0	21,739	21,739	0
Long-term lease obligations included in long-term debt	24,601	22,290	(2,311)	213,922	193,826	(20,096)
Total liabilities	¥ 140,934	¥ 138,492	¥ (2,442)	\$ 1,225,513	\$ 1,204,278	\$ (21,235)
Derivative transactions (*2)	¥ 7,321	¥ 7,321	¥ –	\$ 63,661	\$ 63,661	\$ –

	Millions of yen		
	2020		
	Carrying value	Fair value	Difference
Assets:			
Cash and deposits	¥ 81,470	¥ 81,470	¥ –
Notes and accounts receivable-trade	50,898		
Less allowance for doubtful receivables (*1)	(1,924)		
	48,974	48,974	–
Short-term investments and investments in securities:			
Other investment securities	6,943	6,943	–
Total assets	¥ 137,387	¥ 137,387	¥ –
Liabilities:			
Notes and accounts payable-trade	¥ 33,003	¥ 33,003	¥ –
Short-term bank loans	6,220	6,220	–
Current portion of long-term bonds	20,000	20,034	34
Current portion of lease obligations	7,889	7,889	–
Bonds included in long-term debt	60,000	60,055	55
Long-term loans included in long-term debt	2,500	2,505	5
Long-term lease obligations included in long-term debt	26,390	24,736	(1,654)
Total liabilities	¥ 156,002	¥ 154,442	¥ (1,560)
Derivative transactions (*2)	¥ (4,665)	¥ (4,665)	¥ –

Notes:

(*1) The amount of less allowance for doubtful receivables in the above table is related to notes and accounts receivable-trade.

(*2) The value of assets and liabilities arising from derivatives is a net value, and the amount in parentheses represents a liability position.

Since cash and deposits, and notes and accounts receivable-trade are settled in a short period of time, their carrying value approximates the fair value.

The fair value of equity securities is based on quoted market prices. The fair value of debt securities is based on either quoted market prices or the prices provided by the financial institutions making markets for these securities.

Since notes and accounts payable-trade, short-term bank loans, and current portion of lease obligations are settled in a short period of time, their carrying value approximates the fair value.

The fair value of bonds included in long-term debt is based on the present value of the total of principal and interest discounted by the interest rate determined taking into account the remaining period for each bond and the current credit risk.

The fair value of long-term loans is based on the present value of the total of principal and interest discounted by the interest rate to be applied if similar new borrowings were entered into.

The fair value of long-term lease obligations is based on the present value of the total of principal and interest discounted by the interest rate to be applied if a new lease contract under the same conditions for the same residual period was entered into.

Regarding derivatives refer to Note 24.

Carrying value of financial instruments for which it is extremely difficult to determine the fair value at December 31, 2021 and 2020 was as follows:

	Millions of yen		Thousands of U.S. dollars
	2021	2020	2021
Unlisted equity securities	¥ 1,074	¥ 760	\$ 9,339
Unlisted debt securities	120	120	1,043
Investments in limited liability partnerships and others	1,683	1,281	14,635

(c) Redemption schedule for monetary claims and investments by maturity date

The redemption schedule for monetary claims and debt securities by maturity date at December 31, 2021 is as follows:

	Millions of yen				Thousands of U.S. dollars			
	2021							
	Due in one year or less	Due after one year through five years	Due after five years through ten years	Due after ten years	Due in one year or less	Due after one year through five years	Due after five years through ten years	Due after ten years
Cash and deposits	¥ 96,298	¥ –	¥ –	¥ –	\$ 837,374	\$ –	\$ –	\$ –
Notes and accounts receivable-trade	50,135	–	–	–	435,957	–	–	–
Debt securities:								
Corporate bonds	–	–	–	120	–	–	–	1,043
	¥ 146,433	¥ –	¥ –	¥ 120	\$ 1,273,331	\$ –	\$ –	\$ 1,043

(d) Payment schedule for short-term bank loans and long-term debt

The payment schedule for short-term bank loans and long-term debt by payment due date at December 31, 2021 is as follows:

	Millions of yen					
	2021					
	Due in one year or less	Due after one year through two years	Due after two years through three years	Due after three years through four years	Due after four years through five years	Due after five years
Short-term bank loans	¥ 5,200	¥ –	¥ –	¥ –	¥ –	¥ –
Bonds	–	15,000	20,000	25,000	10,000	–
Long-term loans	–	–	–	2,500	–	–
Lease obligations	8,173	7,399	4,666	3,777	2,695	6,064
Total	¥ 13,373	¥ 22,399	¥ 24,666	¥ 31,277	¥ 12,695	¥ 6,064

	Thousands of U.S. dollars					
	2021					
	Due in one year or less	Due after one year through two years	Due after two years through three years	Due after three years through four years	Due after four years through five years	Due after five years
Short-term bank loans	\$ 45,217	\$ –	\$ –	\$ –	\$ –	\$ –
Bonds	–	130,435	173,913	217,391	86,957	–
Long-term loans	–	–	–	21,739	–	–
Lease obligations	71,069	64,339	40,574	32,843	23,435	52,731
Total	\$ 116,286	\$194,774	\$ 214,487	\$ 271,973	\$ 110,392	\$ 52,731

24. Derivatives and Hedging Activities

The outstanding currency-related derivatives positions not designated as hedging instruments at December 31, 2021 and 2020 are as follows:

		Millions of yen			
		2021			
Classification	Transaction	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value	Unrealized loss
Over-the-counter transactions	Forward foreign exchange contracts:				
	Selling RUB	¥ 930	¥ –	¥ (2)	¥ (2)
	Non-deliverable forwards:				
	Selling BRL	4,621	–	38	38
	Total	¥ 5,551	¥ –	¥ 36	¥ 36
		Millions of yen			
		2020			
Classification	Transaction	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value	Unrealized loss
Over-the-counter transactions	Forward foreign exchange contracts:				
	Buying USD	¥ 3,904	¥ –	¥ 7	¥ 7
	Non-deliverable forwards:				
	Selling BRL	3,703	–	(334)	(334)
	RUB	1,120	–	(3)	(3)
	Total	¥ 8,727	¥ –	¥ (330)	¥ (330)

		Thousands of U.S. dollars			
		2021			
Classification	Transaction	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value	Unrealized loss
Over-the-counter transactions	Forward foreign exchange contracts:				
	Selling RUB	\$ 8,087	\$ –	\$ (17)	\$ (17)
	Non-deliverable forwards:				
	Selling BRL	40,183	–	330	330
	Total	\$ 48,270	\$ –	\$ 313	\$ 313

Fair value is based on the prices obtained from counterparty financial institutions.

There are no outstanding interest-related derivative positions not designated as hedging instruments at December 31, 2021 and 2020.

The outstanding currency-related derivatives positions designated as hedging instruments at December 31, 2021 and 2020 are as follows:

		Millions of yen			Thousands of U.S. dollars		
		2021					
Classification	Transaction	Hedged item	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value	Contract value (notional principal amount)	Portion in excess of 1 year in contract value
Deferral hedge accounting	Forward foreign exchange contracts:						
	Selling						
	USD	Accounts receivable-trade (Forecasted transaction)	¥ 25	¥ –	¥ (0)	\$ 217	\$ –
	EUR	Accounts receivable-trade (Forecasted transaction)	2,188	–	(22)	19,026	–
	GBP	Accounts receivable-trade (Forecasted transaction)	9,436	4,585	(461)	82,053	39,870
	NOK	Accounts receivable-trade (Forecasted transaction)	853	–	(17)	7,417	–
	DKK	Accounts receivable-trade (Forecasted transaction)	571	–	(5)	4,965	–
	Buying						
	USD	Accounts payable-trade (Forecasted transaction)	182,991	86,941	7,790	1,591,226	756,008
	Subtotal		196,064	91,526	7,285	1,704,904	795,878
Allocation method for forward foreign exchange contracts	Forward foreign exchange contracts:						
	Selling						
	USD	Accounts receivable-trade	539	–	–	4,687	–
	Buying						
	USD	Accounts payable-trade	1,595	–	–	13,870	–
	Total		¥ 198,198	¥ 91,526	¥ 7,285	\$ 1,723,461	\$ 795,878

\$ 63,348

			Millions of yen		
			2020		
Classification	Transaction	Hedged item	Contract value (notional principal amount)	Portion in excess of 1 year in contract value	Estimated fair value
Deferral hedge accounting	Forward foreign exchange contracts:				
	Selling				
		Accounts receivable-trade (Forecasted transaction)	¥ 466	¥ –	¥ 40
	USD				
		Accounts receivable-trade (Forecasted transaction)	1,403	–	69
	EUR				
		Accounts receivable-trade (Forecasted transaction)	9,056	4,326	(127)
	GBP				
		Accounts receivable-trade (Forecasted transaction)	449	–	4
	NOK				
		Accounts receivable-trade (Forecasted transaction)	430	–	24
	DKK				
	Buying				
		Accounts payable-trade (Forecasted transaction)	151,021	73,257	(4,331)
	USD				
		Accounts payable-trade (Forecasted transaction)	108	–	(4)
	EUR				
		Accounts payable-trade (Forecasted transaction)	10	–	(1)
	GBP				
		Accounts payable-trade (Forecasted transaction)	9	–	(0)
	NOK				
		Accounts payable-trade (Forecasted transaction)	21	–	(1)
	DKK				
	Subtotal		162,973	77,583	(4,327)
Allocation method for forward foreign exchange contracts	Forward foreign exchange contracts:				
	Selling				
		Accounts receivable-trade	365	–	–
	USD				
	Buying				
		Accounts payable-trade	296	–	–
	USD				
	Total		¥ 163,634	¥ 77,583	¥ (4,327)

The fair value of forward foreign exchange contracts that qualify for the allocation method is included in accounts receivable-trade and accounts payable-trade. Fair value is based on the prices obtained from counterparty financial institutions.

There are no outstanding interest-related derivative positions designed as hedging instruments at December 31, 2021 and 2020.

25. Other Comprehensive Income (Loss)

The following table presents the changes in the components of other comprehensive income (loss) for the years ended December 31, 2021 and 2020:

	Millions of yen		Thousands of U.S. dollars
	2021	2020	2021
Unrealized holding gain (loss) on securities:			
Unrealized holding gain (loss) arising during the year	¥ 570	¥ (1,073)	\$ 4,958
Net loss reclassified into income	68	172	591
Subtotal	638	(901)	5,549
Less: tax effect	(149)	188	(1,296)
Unrealized holding gain (loss) on securities	489	(713)	4,253
Unrealized deferred gain (loss) on hedges:			
Unrealized deferred gain (loss) arising during the year	7,838	(11,999)	68,156
Net loss reclassified into income	3,585	2,604	31,174
Subtotal	11,423	(9,395)	99,330
Less: tax effect	(3,105)	2,562	(27,000)
Unrealized deferred gain (loss) on hedges	8,318	(6,833)	72,330
Translation adjustments:			
Translation adjustments arising during the year	7,742	1,031	67,322
Translation adjustments	7,742	1,031	67,322
Retirement benefits liability adjustments:			
Retirement benefits liability adjustments arising during the year	2	9	17
Net loss reclassified into income	38	39	330
Subtotal	40	48	347
Less: tax effect	64	(56)	557
Retirement benefits liability adjustments	104	(8)	904
Total other comprehensive income (loss), net	¥ 16,653	¥ (6,523)	\$ 144,809

26. Supplementary Information on the Consolidated Statement of Cash Flows

Information on significant non-cash transactions

The Company and its consolidated subsidiaries recorded leased assets of ¥84 million (\$730 thousand) and ¥596 million and lease obligations of ¥84 million (\$730 thousand) and ¥596 million under finance leases for the years ended December 31, 2021 and 2020, respectively.

Assets corresponding to asset retirement obligations recorded as of December 31, 2021 and 2020 were ¥300 million (\$2,609 thousand) and ¥199 million, respectively. Liabilities corresponding to asset retirement obligations recorded as of December 31, 2021 and 2020 were ¥321 million (\$2,791 thousand) and ¥220 million, respectively.

27. Amounts per Share

Amounts per share at December 31, 2021 and 2020 and for the years then ended are as follows:

	<i>Yen</i>		<i>U.S. dollars</i>
	2021	2020	2021
Net assets	¥ 798.08	¥ 689.57	\$ 6.94
Profit (loss) attributable to owners of parent:			
Basic	51.38	(88.17)	0.45
Diluted	51.33	—	0.45
Cash dividends applicable to the year	24.00	24.00	0.21

The amounts per share of net assets have been computed based on the number of shares of common stock outstanding at the year end. Basic profit (loss) attributable to owners of parent per share has been computed based on the profit (loss) attributable to owners of parent available for distribution to shareholders of common stock and the weighted-average number of shares of common stock outstanding during the years ended December 31, 2021 and 2020, respectively.

Diluted profit attributable to owners of parent per share is computed based on the profit attributable to owners of parent available for distribution to shareholders and the weighted-average number of shares of common stock outstanding during the year ended December 31, 2021 after giving effect to the dilutive potential of shares of common stock to be issued upon the exercise of stock options and bonds with stock acquisition rights. Diluted profit attributable to owners of parent per share for the year ended December 31, 2020 is not presented as net loss was recorded.

Cash dividends per share represent the cash dividends proposed by the Board of Directors as applicable to the respective fiscal year.

The financial data used in the computation of basic profit (loss) per share and diluted profit per share for the years ended December 31, 2021 and 2020 in the table above is summarized as follows:

	<i>Millions of yen</i>		<i>Thousands of U.S. dollars</i>
	2021	2020	2021
Information used in computation of basic profit (loss) per share:			
Profit (loss) attributable to owners of parent	¥ 9,403	¥ (16,126)	\$ 81,765
	<i>Thousands of shares</i>		
	2021	2020	
Weighted-average number of shares of common stock outstanding	183,004	182,888	
Increase in common stock	182	—	
Increase attributable to:			
Stock acquisition rights	182	—	

28. Segment Information

1. Outline of reportable segments

Reportable segments of the Group are components for which discrete financial information is available and whose operating results are regularly reviewed by the Executive Meeting of the Company to make decisions on the allocation of management resources and assess performance.

The Company is mainly engaged in business management activities and research and development as the global headquarters.

The Group is primarily engaged in the manufacture and sales of sporting goods. ASICS Japan Corporation and other subsidiaries in Japan are responsible for Japan. ASICS America Corporation is responsible for North America. ASICS Europe B.V. is responsible for Europe, Middle East and Africa. ASICS China Trading Co., Ltd. is responsible for Greater China. ASICS Oceania PTY., Ltd. is responsible for Oceania. ASICS Asia PTE., Ltd. etc. is responsible for South-East and South Asia.

2. Calculation method used for sales, income or loss, assets and other items on each reportable segment

Accounting policies of the reportable business segments are consistent with the accounting policies used to prepare the consolidated financial statements, and it is the same as those noted in the "Note 2. Summary of Significant Accounting Policies."

The amount of income (loss) of reportable segments is based on operating income. Intersegment sales and transfers between segments are based on market price.

3. Information on net sales, income or loss, assets and other items by reportable segment

Reportable segment information for the years ended December 31, 2021 and 2020 is as follows:

Millions of yen									
2021									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments
Net sales:									
Sales to customers	¥ 83,381	¥ 86,149	¥ 106,579	¥ 52,584	¥ 24,755	¥ 10,904	¥ 35,081	¥ 399,433	¥ 4,650
Intersegment	26,531	27	25	9	2	—	53	26,647	(26,647)
Total sales	¥ 109,912	¥ 86,176	¥ 106,604	¥ 52,593	¥ 24,757	¥ 10,904	¥ 35,134	¥ 426,080	¥ (21,997)
Segment income (loss)	¥ 1,194	¥ 848	¥ 10,889	¥ 9,148	¥ 3,348	¥ 964	¥ 1,797	¥ 28,188	¥ (6,242)
Segment assets	¥ 74,145	¥ 61,365	¥ 97,476	¥ 39,726	¥ 24,960	¥ 10,761	¥ 27,650	¥ 336,083	¥ 9,691
Other items									
Depreciation and amortization	¥ 709	¥ 1,222	¥ 4,636	¥ 2,077	¥ 1,195	¥ 880	¥ 994	¥ 11,713	¥ 2,338
Increases in property, plant and equipment and intangible assets	314	1,004	1,253	278	245	220	220	3,534	5,881
									9,415
Millions of yen									
2020									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments
Net sales:									
Sales to customers	¥ 75,668	¥ 65,348	¥ 87,321	¥ 41,117	¥ 19,924	¥ 8,553	¥ 27,994	¥ 325,925	¥ 2,859
Intersegment	18,730	29	21	2	2	0	266	19,051	(19,051)
Total sales	¥ 94,398	¥ 65,377	¥ 87,342	¥ 41,119	¥ 19,926	¥ 8,553	¥ 28,260	¥ 344,976	¥ (16,192)
Segment income (loss)	¥ (3,791)	¥ (4,549)	¥ 4,572	¥ 4,305	¥ 2,708	¥ 152	¥ 468	¥ 3,865	¥ (7,818)
Segment assets	¥ 75,862	¥ 57,702	¥ 86,934	¥ 27,882	¥ 22,620	¥ 9,718	¥ 26,935	¥ 307,653	¥ 25,528
Other items									
Depreciation and amortization	¥ 1,147	¥ 1,424	¥ 4,428	¥ 1,795	¥ 813	¥ 727	¥ 968	¥ 11,302	¥ 2,412
Increases in property, plant and equipment and intangible assets	227	1,331	1,216	217	267	276	169	3,703	4,701
									8,404
Thousands of U.S. dollars									
2021									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Adjustments
Net sales:									
Sales to customers	\$ 725,052	\$ 749,122	\$ 926,774	\$ 457,252	\$ 215,261	\$ 94,817	\$ 305,052	\$ 3,473,330	\$ 40,435
Intersegment	230,705	235	217	78	17	—	461	231,713	(231,713)
Total sales	\$ 955,757	\$ 749,357	\$ 926,991	\$ 457,330	\$ 215,278	\$ 94,817	\$ 305,513	\$ 3,705,043	\$ (191,278)
Segment income (loss)	\$ 10,383	\$ 7,374	\$ 94,686	\$ 79,548	\$ 29,113	\$ 8,383	\$ 15,626	\$ 245,113	\$ (54,278)
Segment assets	\$ 644,739	\$ 533,609	\$ 847,617	\$ 345,443	\$ 217,043	\$ 93,574	\$ 240,435	\$ 2,922,460	\$ 84,270
Other items									
Depreciation and amortization	\$ 6,166	\$ 10,626	\$ 40,313	\$ 18,061	\$ 10,391	\$ 7,652	\$ 8,643	\$ 101,852	\$ 20,331
Increases in property, plant and equipment and intangible assets	2,730	8,730	10,897	2,417	2,130	1,913	1,913	30,730	51,140
									81,870

(Notes)

- (1) Adjustments on segment sales mainly consist of adjustments of intersegment transactions and sales which are not included in the reportable segments.
 - (2) Adjustments on segment income or loss mainly consist of adjustments of intersegment transaction and income or loss which are not included in the reportable segments.
 - (3) Adjustments on segment assets mainly consist of the eliminations of investment balance and corporate assets.
2. Segment income or loss is reconciled primarily to operating income on the consolidated statement of operations.

The Company and its consolidated subsidiaries are primarily engaged in the manufacture and sale of sporting goods in Japan and overseas. As most of the consolidated net sales were related to sports and leisure-related products, the disclosure of business segment information has been omitted.

Net sales by geographical segment for the years ended December 31, 2021 and 2020 are summarized as follows:

Millions of yen					
2021					
	Japan	North America	Europe	Greater China	Other
Net sales	¥ 85,902	¥ 88,157	¥ 112,145	¥ 52,808	¥ 65,071
					¥ 404,083
Millions of yen					
2020					
	Japan	North America	Europe	Greater China	Other
Net sales	¥ 76,758	¥ 66,998	¥ 91,520	¥ 41,279	¥ 52,229
					¥ 328,784
Thousands of U.S. dollars					
2021					
	Japan	North America	Europe	Greater China	Other
Net sales	\$ 746,974	\$ 766,583	\$ 975,174	\$ 459,200	\$ 565,834
					\$ 3,513,765

(Note) Net sales are based on customer locations and classified by country and territory.

Property, plant and equipment by geographical segment as of December 31, 2021 and 2020 are summarized as follows:

Millions of yen					
2021					
	Japan	North America	Europe	Other	Total
Property, plant and equipment	¥ 16,890	¥ 4,958	¥ 2,539	¥ 3,004	¥ 27,391
Millions of yen					
2020					
	Japan	North America	Europe	Other	Total
Property, plant and equipment	¥ 17,965	¥ 4,794	¥ 3,509	¥ 3,084	¥ 29,352
Thousands of U.S. dollars					
2021					
	Japan	North America	Europe	Other	Total
Property, plant and equipment	\$ 146,870	\$ 43,113	\$ 22,078	\$ 26,122	\$ 238,183

As there are no customers accounting for 10% or more of consolidated net sales, the disclosure of information on major customers has been omitted.

Loss on impairment of property, plant and equipment by reportable segment for the years ended December 31, 2021 and 2020 is summarized as follows:

Millions of yen									
2021									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Consolidated
Loss on impairment of property, plant and equipment	¥ 116	¥ 123	¥ 1,534	¥ 85	¥ –	¥ –	¥ 19	¥ 1,877	¥ 1,997
Millions of yen									
2020									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Consolidated
Loss on impairment of property, plant and equipment	¥ 1,168	¥ 1,180	¥ 805	¥ 90	¥ –	¥ 3	¥ 75	¥ 3,321	¥ 3,587

Thousands of U.S. dollars									
2021									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Consolidated
Loss on impairment of property, plant and equipment	\$ 1,009	\$ 1,070	\$ 13,339	\$ 739	\$ –	\$ –	\$ 165	\$ 16,322	\$ 17,365

Amortization of goodwill for the years ended December 31, 2021 and 2020 and the balance of goodwill as of December 31, 2021 and 2020 by reportable segment are summarized as follows:

Millions of yen									
2021									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Consolidated
Amortization	¥ –	¥ –	¥ –	¥ –	¥ –	¥ –	¥ –	¥ –	¥ 296
Remaining as of December 31	–	–	–	–	–	–	–	–	2,856

Millions of yen									
2020									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Consolidated
Amortization	¥ –	¥ –	¥ –	¥ –	¥ –	¥ –	¥ –	¥ –	¥ 270
Remaining as of December 31	–	–	–	–	–	–	–	–	2,463

Thousands of U.S. dollars									
2021									
	Japan	North America	Europe	Greater China	Oceania	Southeast and South Asia	Other regions	Total	Consolidated
Amortization	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ –	\$ 2,574
Remaining as of December 31	–	–	–	–	–	–	–	–	24,835

No gain on negative goodwill was recognized for the years ended December 31, 2021 and 2020.

29. Subsequent Events

Cash dividends

The following distribution of retained earnings of the Company, which has not been reflected in the accompanying consolidated financial statements for the year ended December 31, 2021, was approved at a meeting of the shareholders of the Company held on March 25, 2022:

	Millions of yen	Thousands of U.S. dollars
Cash dividends (¥12.00 = US\$0.10 per share)	¥ 2,196	\$ 19,096

Independent Auditor's Report

The Board of Directors
ASICS Corporation

Opinion

We have audited the accompanying consolidated financial statements of ASICS Corporation and its consolidated subsidiaries (the "Group"), which comprise the consolidated balance sheet as at December 31, 2021, and the consolidated statements of operations, comprehensive income (loss), changes in net assets, and cash flows for the year then ended, and notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2021, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with accounting principles generally accepted in Japan.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in Japan. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Japan, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management, the Audit and Supervisory Committee for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with accounting principles generally accepted in Japan, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern and disclosing, as required by accounting principles generally accepted in Japan, matters related to going concern.

The Audit and Supervisory Committee are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with auditing standards generally accepted in Japan, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.
- Consider internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances for our risk assessments, while the purpose of the audit of the consolidated financial statements is not expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation in accordance with accounting principles generally accepted in Japan.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Audit and Supervisory Committee regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Audit and Supervisory Committee with a statement that we have complied with the ethical requirements regarding independence that are relevant to our audit of the consolidated financial statements in Japan, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the Audit and Supervisory Committee, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's

report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Interest Required to Be Disclosed by the Certified Public Accountants Act of Japan

Our firm and its designated engagement partners do not have any interest in the Group which is required to be disclosed pursuant to the provisions of the Certified Public Accountants Act of Japan.

Convenience Translation

The U.S. dollar amounts in the accompanying consolidated financial statements with respect to the year ended December 31, 2021 are presented solely for convenience. Our audit also included the translation of Japanese yen amounts into U.S. dollar amounts and, in our opinion, such translation has been made on the basis described in Note 1 to the consolidated financial statements.

Ernst & Young ShinNihon LLC
Osaka, Japan

March 25, 2022

Hiroyuki Koichi
Designated Engagement Partner
Certified Public Accountant

Daiji Tokuno
Designated Engagement Partner
Certified Public Accountant

Corporate and Stock Information (as of December 31, 2021)

Company Overview

Company Name	ASICS Corporation
Established	September 1, 1949
Offices	
Head Office	1-1, Minatojima-Nakamachi 7-chome, Chuo-ku, Kobe, 650-8555, Japan TEL: +81-(0)50-1745-2248
Institute of Sports Science	2-1, Takatsukadai 6-chome, Nishi-ku, Kobe, 651-2271, Japan
Shibuya Office	MFPR SHIBUYA, 1-2-5, Shibuya, Shibuya-ku, Tokyo, 150-0002, Japan
Representatives	Yasuhito Hirota, President, CEO and COO, Representative Director
Listed Stock Exchange	Prime Market of the Tokyo Stock Exchange
Principal Business	Manufacture and sales of sporting goods
Paid-in Capital	23,972 million yen (as of December 31, 2021)
Employees	8,861 (consolidated) (as of December 31, 2021)
Affiliated Companies	Japan: 11 companies Overseas: 53 companies (United States, Europe, East Asia, Southeast Asia, South Asia, Oceania, and other locations) (as of December 31, 2021)

Major Consolidated Subsidiaries

ASICS Japan Corporation	ASICS BRASIL LTDA
ASICS America Corporation	ASICS Korea Corporation
ASICS Europe B.V.	HAGLÖFS AB
ASICS China Trading Co., Ltd.	SANIN ASICS Industry Corporation
ASICS Oceania PTY. LTD.	ASICS Apparel Industry Corporation
ASICS Asia PTE. LTD	ASICS Digital, Inc.
	Race Roster

Stock Information

Total Number of Shares Authorized	790,000,000 shares
Total Number of Shares Issued	189,870,559 shares
Number of Shareholders	28,995 people
Principal Shareholders	

Name	Shareholdings (thousands of shares)	Ownership (%)
The Master Trust Bank of Japan, Ltd. (Trust Account)	23,372	12.77
MUFG Bank, Ltd.	7,858	4.29
Custody Bank of Japan, Ltd. (Trust Account)	6,670	3.64
Sumitomo Mitsui Banking Corporation	6,607	3.61
Nippon Life Insurance Company	5,679	3.10
JP MORGAN CHASE BANK 38562	5,055	2.76
THE BANK OF NEW YORK MELLON 140044	4,292	2.35
J.P. MOGAN BANK LUXEMBOURG S.A. 384513	4,121	2.25
STATE STREET BANK AND TRUST COMPANY 505001	3,902	2.13
SMBC Nikko Securities Inc.	3,179	1.74

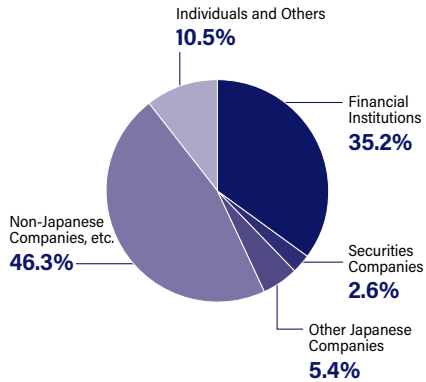
Notes: 1. The shareholding ratio calculation excludes treasury stock.
2. The Company holds 6,829 thousand shares of treasury stock, which is excluded from Principal Shareholders (above).

Shareholder Memo

Fiscal Year	January 1 to December 31
Record Date	Interim dividend: June 30
General Meeting of Shareholders	Year-end dividend: December 31
Public Notice Method	Mid-March annually
Number of Shares Constituting One Unit	Digital public notices are posted at the following URL: https://corp.asics.com/jp/investor_relations/library/electronic_public_notice (Public notices will be issued electronically on our corporate website [ENGLISH URL]. If it is not possible to post a notice electronically due to an accident or other reason, notices will be published in the Nihon Keizai Shimbun newspaper.)
Shareholder Registry Administrator and Special Account Administrative Institution	100 shares Mitsubishi UFJ Trust and Banking Corporation
Mitsubishi UFJ Trust and Banking Corporation	Osaka Stock Transfer Agent Dept. 3-6-3 Fushimi-cho, Chuo-ku, Osaka-shi, Osaka 541-8502 Japan TEL: 0120-094-777 (toll free within Japan)
Securities Code	7936

1. Shareholders can receive payment of unpaid dividends at Mitsubishi UFJ Trust and Banking Corporation Head Office and branch locations.
2. Regarding procedures for shares recorded in special accounts, shareholders should submit inquiries or requests to the Special Account Administrative Institution.
3. For changes of address, purchase requests and other procedures, shareholders should contact the securities company that manages their account.

Stock Distribution by Ownership



Publishing the ASICS Integrated Report 2021

In publishing the second ASICS Integrated Report, we have compiled a comprehensive overview of important information pertaining to the creation of medium-to-long-term corporate value, edited in a straightforward manner so as to be accessible to everyone. ASICS will steadily implement the value creation process incorporated in this report and endeavor to achieve sustainable growth. We aim to realize Sound Mind, Sound Body together with all stakeholders!

ASICS finance and IR teams led discussions regarding editorial policies and report contents through cooperation with related departments. As Senior General Manager of the Accounting and Finance Division, I declare the publication process appropriate and the content herein to be accurate.

Going forward, ASICS will continue to prioritize dialogues with stakeholders as we aim to further enhance information disclosure and deepen communication with all our stakeholders.

Koji Hayashi, Executive Officer, Senior General Manager, Accounting and Finance Division

Editor's Note

Thank you very much for reading the ASICS Integrated Report 2021!

This year, which marks the second year ASICS has published an integrated report, we have endeavored to include specific stories so that readers can gain an understanding of ASICS' value creation and competitiveness advantages with a greater sense of interest. We have also worked to make the report more legible and easier to read in printed form.

We hope this report will serve as a starting point for dialogue with stakeholders and will facilitate mutual understanding in greater depth.

Going forward, we will continue to actively seek out dialogue with stakeholders along with timely and appropriate disclosures, and hope that a more in-depth dialogue will enable a greater understanding of ASICS' financial and non-financial value. Accordingly, we welcome frank feedback and requests regarding this report.

ASICS Integrated Report 2021 Editorial Committee
Inquiries regarding the Integrated Report: ahq-org-finance-ir-t@asics.com

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Atsushi Daimyo
Mariko Miyazaki

Human Resources and
General Affairs Division

Akihiko Sadaka

C Project

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Yasuha Ishikawa

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Department

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